Zensar Technolgies Ltd. (ZENSARTECH)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: May 2023

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Symbol: ZENSARTECH
Series: EQ
Subject: Q4 FY23 Results Earnings Call - Transcript
Dear Sir/Madam,
In continuation to our letter(s) dated May 2, 2023 and May 12, 2023, please note that the transcript of the earnings call held on May 12, 2023 at 9:00 a.m. hrs (IST) for Financial Results of the Company, for the quarter and year ended on March 31, 2023, has been made available on the website of the Company at https://www.zensar.com/about/investors/investors-relation#Investor-Corner
This is for your information and dissemination purpose.
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Zensar Technologies Limited
Gaurav Tongia
Company Secretary
Encl.: As above

 “Zensar Technologies Limited
Q4 FY '23 Earnings Conference Call”
May 12 , 202 3
MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ZENSAR TECHNOLOGIES
LIMITED
MR. SACHIN ZUTE – CHIEF FINANCIAL OFFICER –
ZENSAR TECHNOLOGIES LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER– ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA ALILUGHATTA -- CHIEF
OPERATING OFFICER - ZENSAR TECHNOLOGIES
LIMITED
MODERATOR : MR. MANIK TANEJA – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 '23 Earnings Conference Call of Zensar Technologies Limited hosted by Axis Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manik Taneja from Axis Capital. Thank you, and over to you.
Manik Taneja : Thank you, Yashashvi. Good morning, everyone. On behalf of Axis Capital, I welcome you all

to Zensar's Q4 FY '23 earnings call. We have with us today; Mr. Manish Tandon, CEO and Managing Director of Zensar Technologies; Mr. Sachin Zute, CFO; and a few other members of the senior management team. Before I hand over the call to Manish, I would like to highlight that the safe harbor statement of the second slide of the analyst presentation and is assumed to be read and understood.
With this, I'll hand over the call to Manish. Thanks, and over to you, Manish.
Manish Tandon : Thank you, Manik. Hello, good morning, good afternoon and good evening, every one, and thank you for taking the time to join us today to discuss Zensar's financial results for the fourth quarter of FY '23. As Manik mentioned, we have Sachin, our CFO on the call. And I would also like to welcome Vivek Ranjan, our CHRO, and a very war m welcome to Vijayasimha, for whom this is the first call, who joined as a COO a couple of months back.
In the 4 months since starting this role, I've had the pleasure of meeting many fascinating people, including Zensar associates, industry thought leader s and clients who passionately believe in their products and services. With each interaction over these months, I have been reminded why I was excited to take on this work. At Zensar, we create experiences that put people first . We do more than sell and deliver to our clients. We build relationships with them. And through these relationships, we are always learning more about our clients ' drive and desire to serve their customers with greater speed, agility, and purpose.
To increase our addressable market, we are looking from the inside out, identifying our key strengths and capitalizing on a substantial service line investments. With the goal of optimizing execution, we also made a few key changes to our organization structure over the last quarter. Vertical business heads have been given the additional responsibility of driving a service line each helping to create a more collaborative sales environment. The capabilities of Indigo Slate and Foolproof have been consolidated under the umbr ella of Integrated Studios.
We also have added a new Chief Business Officer position to lead the Integrated Studios and champion our experience -led offerings, which are very unique by the way. A separate function of net new growth and alliances has been es tablished to focus on strengthening our alliance and hyperscaler partnerships led business. Our sales incentive plan also has been revamped with emphasis on the right incentivization to encourage cross -sell, multiservice line deals with healthier margin pr ofile.

With that, I will turn to the summary of quarterly and FY results.
For the fourth quarter of FY '23, we registered a service revenue of $145.8 million, representing a sequential Q -o-Q growth of 2% in constant currency. This translates to an overall revenue of $147.5 million, representing a sequential Q -o-Q growth of 0.4% and quarterly Y -o-Y decline of 0.3% in constant currency. For the full FY '23, we registered revenues of $604.2 million, representing a year -over-year growth of 10.3% in

constant currency.
Let me walk you through the performance of our geographies and verticals for the quarter. All numbers stated here are in constant currency. Banking, Financial Services and Insurance reported sequential Q -o-Q growth of 2.4% and Y -o-Y, year -over-year growth of 16.1% in constant currency. Last quarter, our Insurance vertical saw a decline due to right shifting of milestones at a key client, which we recognized in the current quarter. Hitech and manufacturing, including emerging registered sequential Q -o-Q grow th of 4.2% and a year -over-year decline of 4.1% in constant currency, supported by furlough reversal and growth in revenues at some of our key manufacturing clients.
Consumer Services registered sequential quarter -on-quarter decline of 12.7% and a year-over-year decline of 17.2% in constant currency, primarily due to decline in revenues at one of our key clients in the Europe portfolio. We expect to recover this revenue in the next quarter. At a macro level, we are still seeing headwinds in this ve rtical in pockets as the retail clients have tightened budgets for capital projects in response to continued high inflation and economic uncertainty.
Coming to regions. The U.S. region posted a sequential quarter -on-quarter growth of 1.4% and a year -over-year decline of 3.8%. The Europe region registered sequential quarter -on-quarter decline of 5.7% and year -over-year growth of 1.1% in constant currency. However, for the full FY '23, this region grew by a phenomenal 20% in constant currency terms. The decline in revenue this quarter was due to the right shifting of revenue recognition at a key client.
While there is continued softness in the new business environment, we saw healthy growth at several of our existing clients, and we expect the overall growth in this region to be back in Q1 FY '24.
The South Africa region saw growth momentum with sequential quarter -on-quarter growth of 4.3% and a year -over-year growth of 20.7%. Growth for full year FY '23 is 18.3% in constant

currency. In addit ion to our existing AMS positioning, the region saw sustained positive traction for our experience -led engineering and cloud -native capabilities, which has led ramp -up at some of our key clients.
Our gross margin stood at 31.9% in Q4 FY '2 3, representing a sequential quarter -over-quarter increase of 460 basis points. Our EBITDA stood at 14.5%, a sequential quarter -on-quarter increase of 320 basis points. The order book for Q4 FY '23 stood at $174.9 million, supported by healthy renewables and multiple wins across verticals.
I am pleased to share that for the fourth quarter, our last 12 -month attrition declined to 19.8%, a sequential improvement of 300 basis points. Attrition continues to moderate due to our strong

employee -centric policy, coupled with easin g supply side issues. Our employee happiness index and integral RPG employee satisfaction metric has reached a score of 84%, an improvement of 200 basis points over the last year. Likewise, we have seen a 20% increase in annual average training hours per e mployee rising from 61.8 hours last year to 74.2 hours in FY '23.
Our service lines continue to scale up and deliver targeted high -value solutions. Our integrated solutions approach, which leverages cross -sell capabilities like experience and engineering i s gaining a strong foothold with our clients. Our focused service lines, including advanced engineering services, data engineering and analytics and enterprise SaaS are growing quickly and now constitute 34.4% of our services revenue.
On the ESG front, I a m thrilled to share that the global level green energy component for our premises has increased to 17.6% compared to 7% versus last year. With this, we increased our green energy contribution by almost 150% in 1 year.
Moderator: I'm sorry to interrupt, sir . This

is the Moderator : here. The voice is a little muffled. So can you stay away from the speaker a little from the microphone.
Manish Tandon : Okay. So as we were saying, as I was saying, with this, we increased our green energy contribution by almost 15 0% in 1 year. We are also water positive, water regeneration exceeding order consumed by 120% on our Pune campus. Importantly, in FY '22/'23, we touched more than 200,000 lives through fe ver clinics and other education and communication drives in CSR.
The current demand environment continues to be challenging, driven by global uncertainty. This will delay client decision -making and impact tech spend in the near - to medium -term.
As a result, we are seeing some slowdown in pockets , particularly in Hitech and Manufacturing and in Consumer Services verticals. However, as our clients navigate the uncertainties, they are looking to digital transformation to move forward with velocity . As a steadfast partner, we continue to provide design, data and engineering offerings to help meet and redefine the challenges that matter most to the clients we serve.
In conclusion, I want to reiterate that we are on the right path in terms of strategy . We continue to keep a laser sharp focus on execution to deliver added value for all our stakeholders while keeping our clients at the front and center. With that, I will now invite Sachin, our Chief Financial Officer, to provide an update on critical fin ancial data, after which we will open the floor for questions.
Sachin Zute : Thank you, Manish. Good day, everyone, and thank you all for joining this call. In addition to Manish talking about the business, I will take you through some of t he key financial metrics for the year and for the quarter ending March '23. For the financial year '23, the reported revenue in U.S. dollar terms stood at $604.2 million, reflecting growth of 6.1% year -on-year. In constant currency, the growth for the year was 10.3%. The reported revenue for fourth quarter of FY '23 is $147.5 million in U.S. dollar terms, reflecting growth of 1.1% sequentially. In constant currency terms, revenue growth for the quarter is 0.4% sequentially. Services revenue for the quarter grew by 2.7% sequentially in reported terms and 2% in constant currency terms.

We exited Q4 FY '23 at an EBITDA of 14.5%, an increase of 320 basis points from previous quarters. Improvement in EBITDA for the quarter was primarily driven by positive impact of currency, improved trade mix, ongoing operational efficiencies, including optimization of subcontractor costs, improved productivity and better utilization on account of furlough reversals.
It was partially offset by increasing SG&A cost, increase in SG &A cost was primarily due to reversal of one -time benefit, which we had last quarter. There was a reduction in depreciation expenses. The primary reason is optimization in portfolio of lease assets and intangibles as part

of our cost optimization initiatives affected the number. Going ahead, we see some variation, but expect the same to be in the range bound for the rest of the year.

As we have emphasized earlier, our co ntinuous rigor for margin improvement through measures such as increasing fresher deployment, improving commercials, optimizing operational metrics and rationalizing cost has helped in improving the company margin. LTM attrition for Q4 stood at 19 .8%, which is lowest among the recent quarters has helped us manage the cost better.

We have had one of the best DSOs in recent quarters as collections were healthy for the company. For the quarter ended March 31, 2023, DSO stood at 74 days as against 80 days in previous quarters. Year -on-year basis, DSO improved by 16 days. For the quarter, cash and cash equivalents including investments stood at $201.5 million, $22.1 million increase from last quarter and

$45.8 million increase year-on-year. The effective tax rate for the quarter was 26.2%.

The Board of Directors has recommended a final dividend of INR3.5 per share for FY '23, subject to approval from shareholders. With this, the total dividend pay-out, including interim dividend for FY '23 will be 250% of the face value .

With that, I come to the end of my presentation and open the house for questions.

Moderator: We have a first question from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan : I think the quarter has been sort of exemplary from an execution standpoint. Now, Manish, just wanted your thoughts from a demand perspective because while margins have done extremely well, the demand commentary is soft in the context of the environment, w hich is understandable. But we have seen Hitech grow this quarter. So I just wanted your thoughts on what you're exactly seeing within each of those verticals? Do you worry about sequential declines from a demand perspective? Or how should we think a bout each of those elements for each of the verticals?

Manish Tandon : So I think, Nitin, first of all, thank you for the kind words. I agree that we have executed well as a team this quarter, and hopefully, this trend will continue. As far as demand is con cerned, my larger peers has already spoken that the demand environment is soft and so on and so forth. But I can say that what we have done in the last 1, 1.5, 2 years is to increase the addressable market for our services. So even though the market, as i t existed for us might have reduced, the overall addressable market has increased for us. And that is the way I am looking at things and my team is looking at things. We had a very, very good quarter, order booking of close to $175 million, which bodes well for at least the next quarter.

As far as verticals are concerned, we will continue to see challenges in , Consumer Services and Hitech. BFSI, actually, our portfolio is tilted more towards Insurance. So we are not seeing as many headwinds as s ome of our competitors.

And the other geographies, U.K. and Europe, we have I think, built very deep relationships over there through the client. So we are seeing continuous growth there, and that is also the case wi th South Africa. So those 2 remain bright spots from a demand perspective, even now. I hope I have answered the question.

Nitin Padmanabhan : Sure. And just another question on -- you mentioned rightsizing or sort of right shifting of revenue recognition wi th the customer in Europe, does that pertain to the pass -through? Or should we sort of think about that?

Manish Tandon : No, this is not pass -through. This is services revenue . I mean, we just missed the cut off for receiving a document. So, we had to shift that revenue upshift to the next quarter. And this happens with some accounts o r the other we have that every quarter. So it's nothing very material that you should be worried about or I should be worried about.

Nitin Padm anabhan : Sure. And lastly, on margins, just your thoughts on -- but do you think this is sort of base margin and considering the pass -through that has come off quite a bit from what it used to be. Do you think longer term margins can be higher than what it used to be, at least technically speaking, considering that the parcel is not going to be there? So maybe longer term, it can technically be higher? And are these margins sort of defensible from where it is today? That's the last question. And Manish, you voice is a little muffled, I don't know why, but yes, it's a little difficult to comprehend

Manish Tandon : Okay. Is this better?

Nitin Padmanabhan : Yes, it's better.

Manish Tandon : Okay. So on margin, I would request Sachin to provide the commentary. And what was your last question, Nitin? I missed it.

Nitin Padmanabhan : No, it was primarily on th

e margin on sustainability. Is this sort of the base? And 2, considering that pass -through is significantly lower than what it used to be. And if it is -- if that's going to be the direction on pass -through, ideally, shouldn't margins longer term technically be higher than what it used to be from a company, longer term that is, not talking about a year or any such thing, but just longer term, there is some thou ght process perspective.

Manish Tandon : So just before I hand over to Sachin to answer your question on margin, I just want to emphasize the point on pass -throughs, where pass -throughs are absolutely necessary for services revenue to accrue, we are okay wi th that. But where pass -throughs are just serving as fat calories, adding nothing to the bottom line, we don't want to encourage that. So in a nutshell, we have focused much more on services revenue. And pass -through revenue, we take if and only if, it is both margin and service revenue accretive. So that is the change in strategy.

I would let Sachin answer your question on sustainability of margin.

Sachin Zute : Thanks, Nitin, for the question. As you saw, Nitin, our margins improved by 320 basis points during the quarter, primarily due to 30 basis points impact of currency, improved trade mix of another 30 basis points. Ongoing operational efficiencies improved m argins by 230 basis points, including subcontractor cost optimization and improved productivity. Given that these are fundamental changes which are happening in the way we are working on our delivery organization , our objective will be to maintain the m id-teens trajectory for our EBITDA margins going forward.

Moderator: We have our next question from the line of Chirag Kachhadiya from Ashika Institutional Equities.

Chirag Kachhadiya : Congratulations on really very good margins in a challenging time. And in terms of revenue growth, I understand the current environment. So I don't want to ask anything on it. But I just want to know, you mentioned that the operational efficiency helped in the margin. So can you throw some deeper light like what kind of opera tional efficiencies that helped? And also the trajectory going forward, so does these margins are sustainable, and we will see a further momentum in this margin profile?

And another question, you mentioned that the three clients that resulted int o lower growth in this quarter. And you also mentioned that in coming quarters, we are confident that we will recover the revenue. So, I just want to know which are those clients? And why are we confident that we're going to recover revenue in the subseque nt quarters? Yes, that's a few questions from my side.

Manish Tandon : So margin, again, I will let Sachin take that question. We had articulated the 6 levers that we are using and Sachin can throw out light in it. I typically don't mention clients. So, I don't know which three clients we are saying we will recover revenues. Recovery of revenues, I think I said only for those clients where we couldn't recognize revenues because of lack of proper documentation.

So, as you know, there is a cut off. And if we don't receive adequate purchase orders or statements of work and so on. From a financial prudence perspective, we don't recognize that revenue. So that I'm saying we will recover. That's all. Sachin, do you want to answer the question on margin?

Sachin Zute : Sure. As I said, the subcontractors cost optimization really resulted the margins to improve this quarter. Apart from that, if you see the utilization for the company also improved, which has helped the margin for us. And as we have prev iously also stated, there are 4 to 5 levers, which currently we are working on inside the company to improve the margins, like improving the service mix of the business, improving the commercial with the customers, we are also improvin

g the pyramid at the company. Also, a lot of focus is being put on optimization of support cost -related activities. So we believe that we want to maintain the mid -teens margin trajectory going forward. And these initiatives, we believe, will help us to maintain it around that.

Moderator: We have our next question from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary : My question is regarding the growth in top 5 client, very strong bounce back from last quarter contribution and grew more than 8% this time. I just want to understand, is it what laid back our top clients and that also drove our Hitech growth? Is it a fair understanding? And how sustainable is this growth going forward?

Manish Tandon : So I think...

Moderator: I request you to -- Mr. Tandon, we are unable to hear you clearly. Give me moment, please. Participants are requested to stay connected. We have Mr. Tandon back online.

Manish Tandon : Yes. So as I was saying, one of the basic tenets that we have been working on is improving our client centricity. And if we are doing -- if we do a good job of that, that should be reflected in the growth of our top accounts, top 5 accounts. I am happy to report that some of the efforts that we put in are bearing fruit, and we will continue to have client centricity as o ne of our core tenets as we go forward.

Moderator: We have a next question from the line of Mukul Garg from Motilal Oswal.

Mukul Garg : Manish, so two questions, one for Manish and Sachin. Manish, just a follow -up on the Hitech and top 5 client growth. You guys have, in the past, indicated that the top account growth will -- given the relationship will remain kind of behind overall business growth. This quarter definitely seems like an exception, but just wanted to get per sense when you spoke about creatin g greater potential for business and adding newer areas, is that something we should think about from top account perspective as well and that growth can potentially be meaningful going forward?

Manish Tandon : So, we do not comment on individual clients per se and I don't remember at least I have never mentioned about top client growth and so on. We have always talked about top five, top 10, top 20. So as I said, I will not comment on a single client overall. But yes, the answer to latter part of your question is that, yes, if we are taking additional service offerings to the market, then if our existing client base is not willing to consume those services where we have the relationships, then how would we expect others to take up those services. S o it's a very good leading indicator if our existing client base is taking up the newer offerings and we are obviously seeing that as we progress through the year.

Mukul Garg : So maybe like if I can just -- for the first half of this question, kind of look at it slightly differently. Hitech has been an area where lot of your peers have really struggled off late because it's very visible the kind of issues the sector has been goi ng through globally. This quarter, obviously, was very good for you and partially, obviously, last few quarters were weaker. So is that something we should think about from a going forward perspective also? Or was that partially a normalization of revenues after a few weak quarters? How should we think about Hitech from next three to four quarters perspective, qualitatively, I don't expect you to give a quantitative number, but how should we think about it?

Manish Tandon : See, Hitech between Q3 and Q 4 always should be going up because in Hitech account there are lots of furloughs that happen -- in the last week of December and the first week of January. So the furlough impact is much more in December than in January. So you shou ld always be seeing

growth in Hitech, mostly

, you should be seeing growth in Hitech because of having less furloughs in Q4. So if others are reporting de -growth even after that, there is something to be worried about.

Mukul Garg : And the other question was for Sachin. If you look at -- I think the margin performance was really great this quarter, the sub -con number, the percent of revenue is now back to where it was eight quarters back. You guys have also been reporting net declines in employees for last fo ur quarters. While you do expect margins to remain range bound and mid -teens over the next going forward basis, but how should we see the overall mix change? Now will you get back to employee additions as revenue growth kind of comes back over the next few quarters? How should we think about the compensation perspective is sub -con, does it still have some more scope to go down?

Manish Tandon : Yes, I would let Vijay answer that question, Sachin, if you're okay with that?

Sachin Zute : Sure.

Vijayasimha Alil ughatta : I hope you can hear me? So, with regards to the headcount, right, I think while it is true that our overall headcount has reduced, our billed headcount has actually increased in Q4 as compared to Q3. So we believe that with the little bit more improvement in utilization, we will continue to right basically add volume growth. With regards to your second point about sub-contractors, we will be very methodical in terms of leveraging sub -cons going forward, so that we leverage only to complement where we don't necessarily have immediately available skills. So there is a little bit of scope for further reduction in terms of subcontractors as we go forward. And that is a lever that we constantly look towards managing because that impacts margins.

Moderator: We have our next question from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta : One question is about the addressable market expansion which you earlier indicated. So can you just give us some sense about what steps we have taken to expand our addressable market? And if any qualitative quantitative way if you can help us understand it ?

Manish Tandon : So yes, of course. So two years back, if you look at it, we had primarily two service lines, one was infrastructure management and the second was ADM, which is application development and maintenance. Over the last two years, we have added some of the newer technology areas

as service lines, so software as E -SaaS, for example, is one line and we are doing very well there with Salesforce, which is a brand -new practice with SAP and with Oracle.
The second area that we have added significan tly to is data. So there are -- as you know, with AI and even before, AI, data and analytics was one of the key spend areas and we were not addressing that spend area effectively. So we have added that service line and we are seeing good traction there. We also added advanced engineering services, which is basically around using agile technologies and the new technologies that are out there, including cloud technologies. And finally, we created a service line called Experience Services, which helps us desig n research, design implement and adopt end user experiences. Collectively, these services, as was mentioned add about 35% to our revenues. So that is what I meant by increasing the addressable market.

Dipesh Mehta : And to expand the presence in these expan ded service offerings, what portion of it, let's say, through M&A you intend to expand it faster? Or you think organically, largely, we can expand this addressable market? And any new areas where you intend to invest to expand addressable market further?
Manish Tandon : We may add a vertical or two, but we are looking at M&A more opportunistically rather than making it a core part of our strategy because frankly, in my 30 years in the industry, I can tell you, inor

ganic revenue is no substitute for organic g rowth. If an organization cannot grow organically, then just adding -- doing more M&A just doesn't help.
So, we are looking at, as I said, execution and improving our execution on our strategy and as a part of that, if we see opportunistic opportunities coming up in M&A and by the way we actively scout for M&A opportunities, which are attractive, which provide attractive returns to our shareholders, we will go for it.
Moderator: We have our next question from the line of Manik Taneja from Axis Capital.
Manik Taneja : I had a question related to headcount metrics, given the moderati on that we've seen or the decline that we've seen at an overall level, I was also inclusive about the decline in terms of the sales and support headcount this quarter. So just wanted to get your thoughts as to what -- how do we see this going forward? And the second question was for Sachin, in terms of our segmental margins. We have seen our IMS margins move up significantly through the course of last couple of quarters. So is this just a hardware or the pass -through element that's driving that? It will be helpful to understand that.
Manish Tandon : So on the first part of the question, I can clearly say that we are not reducing sales headcount or sales expenses, we are actually increasing our sales and marketing expense. But whatever cuts or otherwise you ar e talking about that you see is not in terms of overall cost, but in terms of driving more efficiencies and having the right people at the right positions .
So to answer your question, none of this margin improvement has actually come from reducing sales and marketing expenses because if we need to show -- grow revenue and if we need to be client -centric, which you want to, we need feet on the street and that is a wrong expense to cut.
On the overall numbers for employees, I would request Vivek Ranj an, our CHRO, to take that question.
Vivek Ranjan : So on overall headcount, something which Vijay already spoke about, so just touching on what we mentioned, our focus will remain utilization of our available talent. And as Vijay also highlighted, utilizat ion has improved, but there is still some more room in terms of improving that and we will stay focused in terms of ensuring that our billable headcount increases without need for increasing net headcount. However, the net head count is a factor which we -- which is a factor of business and we'll stay focused on that.
Manik Taneja : And the second question was for Sachin on the segmental margins.
Sachin Zute : Yes, so Manik, as you rightly said, g iven that the pass -through revenue for the company over the last three quarters has been a decline, that is a reflection of improvement in the margins,

which we are seeing. As well as, as you know, that we have seen a reversal of furloughs especially in th is quarter. That is also a reflection in the spike in the margin over there.
Moderator: We have our next question from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah : Manish, first question is post you took, you highlighted two strategy in terms of turnaround, first near-term focus in terms of margin turnaround, where we have done a great execution and it looks like the low -hanging fruits could be largely behind our margin. The second, in terms of

the revenue growth turnaround, so can you t hrow some light, how are we making sure that what we have seen the successful journey in terms of margin may even continue in terms of a successful journey in terms of the growth turnaround may not happen in the near term, but over medium to long -term. Jus t wanted to understand to make the company much more consistently growing on a longer -term level?

Manish Tandon : So frankly, I believe in the quote that in the long term all of us will be dead. So, okay lik

e in the last call, we had prom ised that we will get mixing margins by Q2 of FY '24. We have actually achieved that number in Q4 of FY '23 itself, which gives , me as a CEO, a lot of confidence in our ability to execute. And again, I would -- I watch the -- watch the short -term improvements that we want to see and one of the things that I saw, which you may not have noticed as much was that our order bookings increased from 135 million in Q3 to about 175 million in Q4 . I might be off by a couple of million here or there. Now that is a very positive sign overall as far as I'm concerned.

So, I continue to look at leading indicators and I will continue to make sure that, that we continue to execute on our promise on the revenue side also. As you know, the market i s tough, as my large r peers have indicated, we have taken certain steps, there is a push and pull. Hopefully, the push that we are making will win over the pull.

Sandeep Shah : And in terms of your G TM factor, you said the vertical heads would be also responsible for services, it was slightly bit unclear your voice was muffled. So can you throw some light? And second, Zensar has a good quality m arquee account place, especially within top 20 clients, but we also hear from peers in terms of a ris k for vendor consolidation, which is happening because of the clients focused on a cost account deal. So are we witnessing any such risk in any of our top clients? And how do we see that this two parts going forward in terms of our positioning with those c lient as a whole?

Manish Tandon : All right. So, I have been in this industry again for 30 years, I can tell you vendor consolidation is always a zero -sum gain, okay? So, if someone is telling you that through vendor consolidation, they are going to grow 10%, I think I would take it with a ba g of salt. So when the consolidation happens, you win some, you lose some, normally it turns out to be a zero sum game. And I think we have actually very sticky clients, long -term clients, clients who have been with us for several decades I would say and have been through 2001, 2008 and now through COVID and they have stuck by us. So, I hope to take market share away from o thers in this vendor consolidation rather than seed market share to them .

Sandeep Shah : And a question in terms of the vertical heads with looking at services?

Manish Tandon : Yes, vertical head, so see actually, if you look at the organization struc ture, there are five revenue units, think of them as verticals. So we have three verticals in the U.S., then we have Europe and then we have South Africa. So those are the five revenue units and we have five service lines for infrastructure managemen t services, data engineering and analytics and so on and so forth. So what is meant by that statement, is each of the revenue service line leader is also incubating and driving sales for a particular horizontal across the company, right?

So think of it as an additional responsibility that they have not only for their own revenues, but also to drive the revenues of a particular service line across the organization. So think of it as that way.

Sandeep Shah : And Sachin, sir, just wanted to understand when woul d be the wage hikes as a whole? And despite those hikes, we still believe we can continue to have a mid -teen kind of a margin?

Sachin Zute : So as you know that we have our wage hike cycle starting from Q2 of any financial year. So that will continue to happen during that period. And as I said, mid -teens is a range and we are trying to see that how we can keep our EBITDA margins in that range.

Moderator: We have our next question from the line of Mihir from Carnelian Capital.

Mihir : I underst and the top five and top ten accounts have grown really well, so just wanted to understand what is the kind of interaction that we are having i

n top five and top 10 accounts. So if you can just throw some light, what kind of interaction are we having acros s these accounts? And my second question was on the pass -through revenue. I mean we saw pass -through revenue declining over the last two, three quarters. If you can just quantify that and quarter -by-quarter as to what was that number, that will be really h elpful. And my last question was on the r oles, which are being created. I mean in the starting, you mentioned that some new rules which have been created, particularly on the integration side and synergy side. So at that point in time the work was sligh tly muffled, if you can throw some more light on that these rules that will be really helpful, Yes.

Manish Tandon : Sachin, do you want to take the first two parts of the question? I think one was top 10 and the...
Sachin Zute : Yes. Sure, Manish. So top 10, obviously, one of the major reasons is reversal of furlough revenues, which happened during Q4. That is definitely something which has affected the growth in top 10 clients for us. As far as pass -through revenues are concerned, in Q2, we had $6.6 million pass -through revenue. In Q3 , we had $3.9 million and in Q4 we had $1. 7 million of pass -through revenue. I just want to clarify one thing that ultimately pass -through is part of our services business. So wherever it's required, pass -through will be there as part of our portfolio as it's linked to any other playe r in the industry. Thank you.
Manish Tandon : Question on new roles or something, sorry, you spoke so fast, I couldn't understand if you could repeat it, please?
Mihir : So I just wanted to understand, you mentioned about new r oles being created largely on the integration side on the delivery side. So which are these rules? And if you could throw some light on that?

Manish Tandon : There are -- see, we have a new Chief Operating Officer , Vijayasimha which is on this call. We have created an experienced service line, which is basically integrated studio services. We have a Chief Business Officer appointed there. We have created a new organization for net new and alliances, so we have created new role for that. So those are the primary roles that I am talking about here.
Mihir : Sir, just an extension to the earlier one. I mean, in the top five and top 10 accounts, sir, what is the kind of interaction that you are havin g? I know what kind of revenue growth could be there, just from a qualitative angle, not a quantitative question.
Manish Tandon : So we have a very deep relationships typically with our clients. I have listed now all the three main geographies that we opera te in. And I can tell you that we have connect s at the C XO level in almost all these accounts. So, the kind of interactions that we are having in these accounts are what we normally have at a C XO level, where we talk about what's new and how we can help our clients business succeed and compete and get new revenues and improve margins and so on using the latest and greatest technologies, how we can help them save costs.
So mostly, the discussions have been -- at least my discussions are more at a strategi c level and then applying that to the technology solutions that we can bring to th em.
Moderator: We have our next question from the line of Amit Chandra from HDFC Securities.
Amit Chandra : So my first question is on the top five and top 10 clients. So is it fair to assume that the top five, top 10 clients growth is largely known largely due to the on a top client? Or is that more like widespread across clients? And also, on the cross -sell op portunities that we have within our top 10 strategic accounts because we have introduced new service lines. So what kind of cross - selling are we doing? And what is the opportunity we see from there in the top, say, 20 strategic accounts?
Manish Tand on

: I think, again, as I said, the growth that we are seeing is secular, it is not concentrated growth. So that gives us more confidence that this growth can be more sustainable. So it is not that suddenly one account has woken up and is doing something an d no, that's not the case. One of the things that I had talked about in the past, there has been a client farming strategy and I think that strategy has improved. And again, I would take you back to the order book number, which has increased significantly from 135 million or so to about 175 million. And cross -selling is happening. In fact, our service lines, the newly added service lines are growing much f aster than the traditional ADM and infrastructure services.
Amit Chandra : And sir on the subcontracting expenses, so we have seen a sharp cut in this quarter. And also, if you see in the past, we have seen such volatility in the sub -con expense then, there has been kind of cuts also in the past and then again scaled back. So how confident are we that this time it will sustain at these levels? And what led to such sharp decline in the sub -con expenses this quarter, so if you can give some more it would be he lpful?
Manish Tandon : Yes, so first of all, I just want to emphasize that we are improving margin by cutting fat, not cutting muscle. And, as you can see, subcontractors has improved, utilization has improved. So it is factors like those that are impacting this and hence, I believe that it is more sustainable. At

a deeper and a more philosophical level, the structure now in the organization is that of empowerment and accountability and the targets for margins and the ownership and the accountability go es much deeper in the organization. And of course, I would be remiss if I don't mention that Vijay has done a tremendous job in making sure that all this fa t is first found and then cut including subcontractors.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Manish Tandon : So first of all, I think thank you for all your questions, all your efforts, all your praise, all your probing, I think it's not only about these questions for us is not only about giving new answers, but also about thinking carefully as to what our investor base is thinking and looking at. And from that perspective, this call was really useful. From a company perspective, I can say that we will continue to work hard to make sure that we service our shareholders and serve them well. Thank you.

Moderator: Thank you, sir. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

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Symbol: ZENSARTECH
Series: EQ
Subject : Q1 FY24 Results Earnin gs Ca ll - Transcript
Dear Sir/Madam,
In continuation to our letter(s) dated July 12, 2023 and July 21, 2023, please note that the transcript of the earnings call held on July 20, 2023 at 5:0 0 p.m. (IST) for Financial Results of the Company, for the quarter ended June 30, 2023, has been made available on the website of the Company at https://www.zensar.com/about/investors/investors-relation?result=Quarterly-Results#Investor-Corner
This is for your information and dissemination purpose.
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Zensar Technologies Limit ed
Gaurav Tongia
Company Secretary
Encl.: As above

"Zensar Technologies Limited
Q1 FY '2 4 Earnings Conference Call "
July 20, 2023

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ZENSAR TECHNOLOGIES
LIMITED
MR. SACHIN ZUTE – CHIEF FINANCIAL OFFICER –
ZENSAR TECHNOLOGIES
LIMITED
MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER – ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER – ZENSAR TECHNOLOGIES
LIMITED

MODERATOR : MR. DEVANG BHATT – IDBI CAPITAL MARKETS AND
SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Zensar Technologies Limited Q1 FY '24

Conference Call. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devang Bhatt. Thank you, and over to you, sir.

Devang Bhatt: Thank you, Do rwin. Good evening, everyone. On behalf of IDBI Capital, I welcome you all to Zensar's Q1 FY '24 Earnings Call. We have with us Mr. Manish Tandon, CEO and Managing Director of Zensar Technologies; Mr. S achin Zute, Chief Financial Officer; and a few other members of the senior management team. Before I hand over the call to Manish, I would like to highlight that the safe harbour statement of the second slide of the earnings presentation is assumed to be r ead and understood. Thank you, and over to you, sir.

Manish Tandon: Thank you, Devang. Hello, good morning, good afternoon and good evening, everyone. Thank you for taking the time to join us today to discuss Zensar's financial results for the first quarte r of FY '24. With me on this call are my colleagues, Vijayasimha, who's the Chief Operating Officer; Sachin Zute, who is the CFO; and Vivek Ranjan, who is the CHRO.

With that, I will turn to the summary of quarterly results. For the first quarter of FY '2 4, we registered a service revenue of 149.2 million, representing a sequential quarter -on-quarter growth of 2.4% in constant currency . Our overall revenue stood at 149.3 million, representing a sequential Q -o-Q growth of 1.3% in both reported and constant currency terms.

In line with our sta ted strategy , we continue to be focused on pass -through revenues. Let me walk you through the performance of our geographies and verticals for the quarter. All growth numbers are in constant currency and correspond to se rvices revenues only. The U.S. region posted sequential Q -o-Q services revenue growth of 1.3% and a Y -o-Y decline of 0.2%. The Europe region registered sequential Q -o-Q services revenue growth of 6 .0% and Y -o-Y growth of 3.4% in constant currency. We conti nue to have good traction in the region from both long - standing and new clients. The South Africa region saw good growth momentum with sequential Q-o-Q services revenue growth of 3.4% and Y -o-Y growth of 19.6%.

Our sustained focus through our data experien ce at engineering and cloud mix capability has led to a steady growth on the back of new project ramp -ups at some of our key clients in the region.

Coming to the verticals. Banking, Financial Services and Insurance reported sequential Q -o-Q services revenu e growth of 4% and a Y -o-Y growth of 13.2% in constant currency . We are witnessing consistent growth in this vertical over the last few quarters, aided by new deal wins at some of our key clients.

Hi-tech, including emerging registered sequential Q-o-Q services revenue decline of 2.6% and Y-o-Y decline of 4% in constant currency. Manufacturing vertical registered sequential Q -o-Q services revenue decline of 0.5% and year -over-year growth of 8.2% in constant currency. Consumer Services registered se quential Q -o-Q services revenue growth of 11.5% and Y -o-Y decline of 7% in constant currency. In the Hi -tech manufacturing and Consumer Services

vertical, we continue to see softness in the overall demand environment as clients continue to defer or optimiz e their capital spend and scale back their budgets. This has resulted in reprioritization of spends at client side with discretionary projects, witnessing a reduction in scope or getting de

ferred. For the first quarter FY '24, our gross margin stood at 33. 6%, representing a sequential Q -o-Q increase of 170 basis points.

Our EBITDA stood at 18.7%, a sequential Q -o-Q increase of 420 basis points. The order book of Q1 FY '24 stood at 154.2 million, supported by healthy renewals and multiple wins across verticals. As per our usual wage hike cycle effective first July, we gave our wage hikes across the organization. I am pleased to share that for the first quarter, our last 12 -month attrition declined to 15.9% a sequential improvement of 390 basis points. In quarter, attrition continues to see a downtrend on account of easing s upply side issues and our employee -centric policies.

As one of our core principles, we continue to drive client centricity across the organization. Our annual customer engagement score for FY '23 has seen a 13.6% improvement to 66.5 in FY '23. And this is something that we are most proud of.

With that, I will now invite Sachin Zute, our Chief Financial Officer, to provide an update on critical financial data. Sachin?

Sachin Zute: Thank you, Manish. Good day, everyone and thank you all for joining this call . In addition to Manish talking about the business, I will take you through some of the key financial metrics for the quarter ending June '23. The revenue for the first quarter of FY '24 stood at 149.3 million in the U.S. dollar terms, reflecting growth of 1.3% sequentially in reported terms as well as in constant currency terms.

Services revenue for the quarter grew by 2.3% sequentially in reported terms and 2.4% in

constant currency terms. EBITDA for the quarter stood at 18.7%, an increase of 420 basis po ints from previous quarter. This includes onetime benefit of 100 basis points, primarily on account of research and development credits received during the quarter.
Improvement of EBITDA for the quarter was primarily driven by utilization improvement from 81.4% to 82.5%, which is 1.1% increase quarter -on-quarter basis. Ongoing operational efficiencies program has helped the cost of delivery during the quarter. Resizing of sales and support functions also helped us to improve the EBITDA for the quarter.
As communicated in last two quarters, we continue to focus on improving efficiencies in sales and support functions, current improvement in sales and marketing costs will be reinvested in the business through capability building and strengthening sales organiz ation further. LTM attrition levels have shown continuous improvement over quarters and stood at 15.9% for Q1 FY '24, lowest amongst recent quarters.
DSO for the quarter continues to remain healthy at 74 days. For the quarter ended, cash and cash equivalen ts, including investments, stood at USD 233.8 million, USD 32.3 million increase from last quarter and USD 70.2 million increase year -on-year. The effective tax rate for the quarter is 25.7%, an improvement of 50 basis points quarter -on-quarter. The total amount of outstanding

hedges as on June 30, 2023, were equivalent to USD 246.7 million against USD 173.7 million in Q4 FY '23.
On ESG front, we continue to make progress in line with our published ESG vision and mission. As of Q1 FY '24, our global green energy component is 17.9% of total energy consumed and our carbon emission from Scope 1 and Scope 2, saw significant reduction of 49.3% compared to our base year of FY '19. We continue our journey on water positivity with water regeneration exceeding water consumption at our Pune campus.
A weeklong celebration of World Earth Day marked on April 22, with various contests for employees and World Environment Day on fifth June, with plastic clean -up drives across our India location and local shoreline clean -up activity at Milpitas in California. With that, I now invite Vijayasimha, our Chief Operating Officer, to provide updates on business o

perations.
Thank you.
Vijayasimha Alilughatta: Thank you, Manish, and Sachin. Greetings, ever yone. Manish has provided insights about our business and Sachin just shared details about the key financial metrics. I will provide inputs about our operational efficacy and performance of our service lines. As part of sharpening our operational excellenc e, we continue to focus on pyramid optimization, managing utilization in an optimal range, calibrated usage of subcontractors as well as managing our on -site mix. Disciplined execution on these initiatives enabled us to reduce our overall cost of delivery. Enhanced fulfilment trigger enabled us to minimize the impact of volatile demands that we see due to the macroeconomic situation. This rigor enabled us to increase the billed headcount and also improve our utilization, as mentioned by Sachin, by 110 basis points.
Service lines, we continue to partner with our clients to help them deliver high -value services to their customers by leveraging the innovative offerings from our service lines. This quarter, we saw good growth in most of our service lines. On a q uarter -on-quarter basis, in reported terms, our data, engineering and analytics service line registered an impressive growth of about 12.6%. Advanced Engineering Services grew by 5.5%, Foundation Services grew by 6.7%, and Experience Services grew by 2.5%. Application Services and Enterprise applications registered a decline of 4%.
Our key service lines, advanced engineering services, data engineering and analytics and experience services continue to scale up well, making up close to 33.8% of our total reve nues. We are witnessing notable movement in our digital engineering capabilities, our generative AI engineering services offering termed AI engineering body is now listed on the Azure marketplace. In our data engineering and analytics practice, our experie nce-led approach to cloud data, engineering has resonated extremely well with our clients. We continue to focus on improving our offerings further around generative AI for data engineering, improving customer experience through AI, supply chain analytics a nd so on and so forth. With that, I now hand it back to Manish.

Manish Tandon: Thank you, Vijay, and thank you, Sachin. In conclusion, ladies and gentlemen, our disciplined program on improving margins along the identified levers has given us meaningful results over the last 3 quarters. While the near -term demand environment continues to be challenging, resulting in delayed decision -making and slowdown expense.

We are certain that the long -term secular growth in IT industry will not diminish. F urther, over the last 2 years, we have increased our addressable market through our service line investments. We are working on gaining mind share with our clients through these service lines and our conversations continue to remain positive. Our experienc e to engineering to engagement proposition is echoing well with our clients. Net new and alliance function is shaping up well, investing for sustainable long -term growth remains our top priority. With that, we can open the lines for any questions.

Moderato r: Thank you very much. The first question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Congrats on the great numbers. A couple of questions. So first is, Manish, could you give us a sense on how the outcome on cross -sell initiatives, any interesting things that you have seen so far and how it's looking like? The second is your thoughts on -- so far, the results that have come out in terms of the rest of the industry, I think they have been calling out weakness o n a going - forward basis and so on so forth.

Do you think that sort of raises the risk of sort of any revenue declines in the near term? Or do you think from a portfolio perspective bas

ed on the rigor we should still be in positive territory relatively. If you could give some colour on the consumer vertical as well and Hi -tech. And finally, what do you think could be the wage hike impact? How should we think about that Sachin? And if you could also give a sense on the net new wins during the quarter. So thos e are the questions.

Manish Tandon: Nitin, thanks, thanks for the positive commentary on the results. I think your first question was around cross -selling. So cross -selling has been positive for us. We are seeing a good amount of green shoots there. One of the ways that we measure cross -selling is how deeply we are penetrating certain accounts, and we continue to see very positive momentum on that. And our storyline around experience to engineering to engagement is showing results.

We are cross -selling a lo t of our services into these accounts. Downsides on revenues, I don't think that I can comment more than what my larger peers have commented, the market remains tough. But we continue to execute well, and we are hoping that the execution would lead to consistent results as we move forward. Consumer and Hi -tech, they remain weak spots for us, they are still work in process. I don't think some of the weakness will go away. And every day, different sorts of technology companies are declaring some amount of slowdown or furloughs or letting go of people.

So, these 2 verticals remain work in process for us, but we are seeing some newer d eals in these 2 verticals. And if 1 or 2 of them can get converted, that will be very positive for us. Wage hike impact, I would leave it to Sachin to answer.

Net new wins, we had opened 9 new accounts this quarter, which is slightly more from a run rate p erspective than what we have done in the past.

Sachin, you would like to comment on wage hike impact.

Sachin Zute: Sure. Thanks, Manish. So, Nitin, as you know that usually, our wage hike cycle is from first of July, and we have actually given a hike to ac ross the bands starting from first of July. And given the current market condition, I think we have benchmarked the wage hikes and based on that wage hikes have been given. Obviously, we don't want to make any forward -looking statements, but I can only say that given the market has softened a bit as compared with last year, the number could be slightly lower than what we did last year.

Moderator: We have the next question from the line of Mukul Garg from Motilal Oswal Financial Services.

Mukul Garg: Manish, just a bit of colour also on the BFSI space. This quarter, BFS appears to be fairly strong , so how are you seeing there has been a fair bit of roaming around BFS spending across all the industry. Is that something where you to see strength on a near -term basis? Or can that take a pause after the strong run which has happened? And Sachin, on the margin side, how should we look at the cost changes which has happened this quarter? I know you elaborated a bit, but on an absolute basis, there has been a meaningful dip in both employee expenses as well as on case and marketing side. What has really sur prised you on the spread? And how should we look at this going forward?

Manish Tandon: Thanks. So, I'll answer the first question, and Sachin can take the next one. So , on the BFSI sector, the commentary I would agree with the commentary that the competiti on has provided. The market remains tough. But again, you have to look at it in our context, where we in most of our accounts in BFSI space, we have a relatively very small market share. And as -- BFSI sector is looking to cut costs and so on. They are som etimes looking at suppliers like us who are

smaller, more agile, and can deliver same or better results at a lower price point. And I think we are benefiting from that approach.
Sachin?
Sachin Zute: Yes. Thanks. Thanks, Ma

nish. So, Mukul, as you know, for last 3, 4 quarters, we've been running a very systematic program on cost optimization. And I think the results of that continues to flow in and few of the things which has affected it is obviously the pyramid corrections, which we are seeing. The N minus 1 hiring program, which we initiated a couple of quarters back that has definitely contributed to the overall cost of the company. Apart from that, you would have seen that our utilization has also moved up in the right direction from 81. 4 to 82. 5. That ha s also contributed a bit.

Also, one of the focus areas for us has been the reduction of the cost of agency hiring. That is also something which is one of our primary focus areas . And over there as well, we have seen some movement, and that has helped correcting the overall cost structure in last 3 quarters, and the results of that is being seen in current quarter.
Moderator: Mukul, does that answer your question?
Mukul Garg: Sachin, just a bit of a follow -up on that. You guys have been guiding for mid -teens profitability, does this materially change that?
Sachin Zute: So, Mukul if you remember, we've been talking about this cost corrections and what we are doing over here is wherever there is a fat we are trying to take that fat out, create headroom for investment into growth. So as part of my opening script, Mukul, I said that the current drop, which you have seen in S&M , we will try to reinvest back into the business in further strengthening the sales engine for the company.
Manish Tandon: Yes. Sachin has reduced so much fat, that even I have lost weight.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Congrats on a very good execution despite tough macro, especially on the margins and services growth . So, Manish, the first question is in a tough macro to see more than 2% growth in services are also a positive growth of 1% despite client specific issue is very heartening, so do you believe the cross selling up -selling efforts will help you to keep main taining the group momentum even in the near term despite the tough macro as a whole?
Manish Tandon: See, again, as far as macro is concerned, I will reiterate that -- we are such a small player in such small market shares in our clients that macro should ha ve limited impact on us if we are executing well. Simultaneously, as I have mentioned before, with our new service offerings, we have significantly expanded the addressable market.
So we are relying on these 2 things to try and continue our sales and growth momentum. Last 2 quarters, we have been successful. Let's hope, this success continues as we go forward.
Sandeep Shah: And my follow -up is the green shoots about the order intake gr owth will help you to get the lead indicators about the growth momentum further increasing or not. So how are you looking at order pipeline, order intake, whether the investments efforts have resulted into this? Or do you still believe there are 1 or 2 mor e quarters in terms of investment and effort before we start seeing uptick in the order intake? And what is the percentage new business within the order intake?
Manish Tandon: So, Sandeep, thanks for that question. We track our order book based on 3 broad categories: EE, which is renewals; EN, which is existing clients, new business; and NN, which is net new clients.
I can say that on EN, which is existing clients, new business, we have had the highest order booking in the last 2, 3 quarters, which continue s. This means that we are executing well on the cross -selling program that we have and trying to penetrate deeper into accounts. I hope that answers your question.

Sandeep Shah: Okay. And just last thing on the margins. Just wanted

to understand now the no rmalized margin at the EBITDA level would be 17.8 if I step out the onetime gain of 100 bps , so is it fair to assume whatever further increment we may actually have, we may invest back in the business and we can continue in this range of 17%, 18% EBITDA ma rgin going forward. And is there any further scope for facts to be reduced? Or do you believe we have optimized on that?
Manish Tandon: So, Sandeep, that's a great question, and that is a question I ask myself also as I look back. See, as a new CEO, I have not had a chance to go through a complete cycle of 4 quarters, right? So ,

we have not seen Q3 impact of furloughs, how it will impact us. The slight slowdown that happens during holiday periods and especially in Q4, we have not seen that. So , if you ask m e what is the equilibrium margin of the business?

I would continue to say that I would like to make sure that it doesn't go below mid -teens, which has been the promise of the company till now. And we will invest some of the margins into revenue growth and in building up our employee skill base. But as I said, we will continue to make sure that the margins do not go below mid -teens as promised by the company before. And anything positive, I'll be as happy as you are.

Sandeep Shah: Okay, yes. And just last th ing, Sachin, what is the nature of onetime R&D credit? And will it continue every year in the first quarter or?

Sachin Zute: So this R&D credit is subject to certain government grants, which we get in overseas jurisdictio n and it's completely dependent on their cycle of pay-out. Like just to give you example, the similar R&D credit we got in Q3 of FY '23. But fortunately for us, it came in Q1 itself for the current fiscal. So it completely depends on their cycle, and there will not be any predictability in that right now.

Sandeep Shah: So, it can come once in a year.

Sachin Zute: Generally, that has been the cycle which we have seen historically.

Moderator: We have the next question from the line of Devang Bhatt from IDBI Capital.

Devang Bhatt: Congratulations on a good set of numbers. So last time in the Analyst Meet, you said that there are a lot of cross -sell opportunities. So, in terms of time mining, where do you see the opportunities? And which service line specifically are seeing more trac tion in our clients. Secondly, on overall basis, where do you see services line, do you see that will be a key driver of growth in the long term?

Manish Tandon: I would say to answer your first question, we have gone to the market with this theme , that we are the best company out there who can do right from research to experience, to engineering to actually engagement, both on products and on projects. And we are seeing a lot of traction on our experience services business because of cross sales.

In fact, o ur revenues from acquired entities has actually grown at a faster pace in this quarter than the rest of the business. So, we are seeing traction there. We are seeing traction in enterprise

SaaS space, which is SFDC, Oracle. We are seeing traction in advanc ed engineering services, and we believe that advanced engineering services will continue to be a growth area for us, especially with the advent of ChatGPT and LLMs and AI. So , I would say the newer service offerings obviously, you will see faster growth th an as they should, as far as overall growth is concerned.

Devang Bhatt: Great, sir. And secondly, on you said that you will focus more on not the commoditized annuity, but the other part of the annuity business. So where are you in that? And how are we pro gressing on that part?

Manish Tandon: So I think what we are trying to do, see annuity, first of all, please don't get me wrong. I love annuity business; we all do in the industry. And what I meant when I said that was -- the traditio

nal annuity business i s a large infrastructure deal or large application devel opment and maintenance deal, et cetera. These we may not be as competitive as some of our Tier 1 players, but in the newer areas like Experience services, where we sign up with clients for our total number of 10 pods of 100 people for the next 2 years kind of deals. Those are the deals that we are very interested in, and we are making good progress on those deals.

Devang Bhatt: Sir, any number on what annuity right now we have or?

Sachin Zute: Generally , we have not made that number public . We internally track it, but that's not a number which we generally disclose .

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Congratulations for the strong performance. Manish, I wanted to get your sense with regards to our margin optimization, given the kind -- given what we'v e seen with regards to our headcount metrics as well as the improvement in terms of our offshore delivery. How should we be thinking about these 2 aspects over the next 12 to 18 months timeframe.

Manish Tandon: Sachin, do you want to take that?

Sachin Zute : So Manik, as you know, , so obviously, we've been working on multiple levers in the last 6 to 9 months on improving our EBITDA margins. And as you know that over the last 3 quarters, they have definitely given us desired results. Now it's very difficult for me to give you guidance for next 2 quarters because, as you know, that we don't provide guidance. But as Manish rightly said, the objective will be to maintain the EBITDA margin in a narrow range around mid -teens. And if we have anything above that, ob jective will be to invest back into the business in

capability building and sales on a required basis.
Manish Tandon: Vijay, do you want to add anything to this?
Vijayasimha Alilughatta: Manish, I think largely, Sachin has covered. The only thing from an o perational perspective that I would like to add is that we are focused on those 3, 4 important levers, pyramid optimization as well as utilization management.

We think at this point of time that like we will operate in a narrow range when it comes to utilization, especially considering the fact that we have a fair bit of whatever macroeconomic stuff that could create volatile demand situation. So that's pretty much the only thing that I want to add apart from what Sachin has already commented.
Manik Taneja: Sure. And have you disclosed the value of deal wins in the current quarter?
Sachin Zute: We did . it's USD 154.2 million in the order book, which we have reported -- it's part of analyst presentation.
Moderator: We have the next question from the line of Nitin Padmanabhan from Investec.
Nitin Padmanabhan: Sachin, the employee costs on the BSE release, actually down 4% sequential, headcount is sort of flattish. So, what sort of explains that difference? so that was one. And second, I wanted your thoughts on where this R&D benefit is sort of recorded on the P&L. So those are the 2 things.
Manish Tandon: So, Nitin, employee costs primarily is due to a couple of reason s. One is definitely the pyramid correction, which I spoke about . Every attrition, which we've been having for the last 2 quarters, we've been filling it with N minus 1 level. And that is something which is helping the overall employee cost for us. Also, i f you look at our focus on m elting the fat which was there on -site. And I think that is something is also giving us some benefits as part of the overall employee cost optimization and a ttrition on a quarter -on-quarter basis has been dipping. And I think th e impact is also flowing through in the 4% number which you are seeing.
Nitin Padmanabhan: Okay. And on the R&D expense, I mean R&D revenue.
Sachin Zute : So it’s par

t of the gross margin for the company.
Nitin Padmanabhan: It's part of the gross margin. So within the SG&A, there is nothing unusual. That's more like a sustained rate. Or how should 1 think about that? That's a sharp drop.
Sachin Zute : Broadly you can say that. Yes, Nitin, SG&A benefits, you can say there is no significant onetime aspect right now there .
Nitin Padmanabhan: Okay. So it's only in the gross? Perfect.
Sachin Zute : Yes, yes.
Moderator: The next question is from the line of Pratap Maliwal from Mount Intra Finance Priv ate Limited.
Pratap Maliwal: Congrats on great margin performance this quarter. So, I just wanted to ask, last quarter, I think we had said we had some right shifting of revenues, particularly in the Europe geography, which seem to be reflecting in our num bers this quarter as well. So , could you just help me with quantifying the revenue, how much was that?

Sachin Zute: So obviously, that revenue, which we spoke about last quarter has been realized in this quarter. But it's not going to be possible for us to exactly specify how much that is in current number.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Congratulations on a great set of results. Sir, most of my questions have been answered. So I just would want to know in the upcoming year, what kind of player do you see in terms of what a macro environment or what -- when can we expect a bit better induc ive environment for us to keep or start growing, maybe it can happen next year or this year? what trends do you get from your interaction with clients and everyone?
Manish Tandon: I wish we had a crystal ball is all I can say. I think, there is a lot of ta lk in the U.S. of hard landing, soft l anding, semi -soft landing , interest rates. And still the economy is very resilient, at least in our largest market. In some of our smaller markets, we are seeing more impact of inflation and so on. But frankly, I don't think that things will materially change in the next 6 months at least. And that is perhaps the best I can say.
Darshil Jhaveri: Fair enough, sir. I think everyone is in the same boat. I just wanted a flavour if possible. So it's the correct thing -- it's is very difficult to guess. Yes. So I think you have that answer my question and all the best team.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Yes. Just a follow up to what Nitin has asked. If you look at run rate of sales and marketing expenses, it used to be between INR90 crores to INR100 crores. It has fallen to INR77 crores in

June '23. And Sachin, your answer to the earlier question, it believes that this run rate can continue, right? So, 6.3% as a percentage to revenue in terms of sales and marketing costs can continue despite we are looking for investments going forward.
Sachin Zute: So as I said, the objective of the current correction which you are seeing in the sales and marketing costs, we are in process of investing back into the business through the appropriate hiring, which we need to do to look at the growth for the future whenev er the cycle turns around. So those investments has already started, Sandeep. So, from that perspective, we want to invest in capability building inside the organization and ensure that we are ready for the growth when things start moving in the right dire ction.
Manish Tandon: I mean just to answer your question, we are not cutting back on sales by any stretch of imagination. Even as we speak, every week, we have 2 or 3 new salespeople joining us. They are coming in with a lot of new ideas and a lot of ener gy, and we are excited to have them on board. We will not cut muscle. We will cut fat. .
Sandeep Shah: Okay. And just Manish, you sounded slightly bearish on consumer -- the c

onsumer this quarter
has done well. So is there a one -off projects, which may not repeat going forward? And is there any large client -specific issues in any of the verticals that you foresee or this is more to do with macro versus anything else across industries .

Manish Tandon: Well, I think, look, at least for consumer, I had told you guys last time that I think the worst is behind us, right? And the team that we have is a very resilient team. They will not let go of easily. And they are opening new accounts, they are farming existing accounts, and they are doing a wonderful job despit e the environment.
Sandeep Shah: Okay. Okay. And then no large client -specific issues in any of the verticals?
Manish Tandon: No large clients with any big issues in any other verticals. We don't comment on individual clients, but you can get a sense of wh ere issues are or not there based on our top 5, top 15, 20, whatever you guys' measure that from.
Sandeep Shah: Okay, okay. And last thing, as a summary, is it fair to say apart from Hi -tech and manufacturing, we have started witnessing some green shoots o r better demand payments in the rest of the verticals.
Sachin Zute: I don't think at this point of time, we have seen any broad green shoots. So, the macroeconomic environment, which is there for others continues to be for us as well. So I think given the current situation, we are trying to see what best we can do in current environment.
Manish Tandon: It's all about executing well. With our size, if we execute well, we will continue to do well.
Moderator: The next question is from the line of Manik Taneja from Axis Capital.
Manik Taneja: Sachin, if you could detail out what you meant by replacing the existing workforce with N - minus -1 workforce. Because when I'm looking at the employee metrics that you disclosed in your annual report, it appears that the proportion of lower wage employees h as only gone down for us in FY '23 versus FY '22. So it will really be helpful if you could detail out what you meant by that.
Sachin Zute: So Manik, as we know that one of the programs which we have been running is every attrition which happens in the com pany , we are trying to see wherever possible; how can I fill that with the junior employee, which helps me to correct the cost structure on an overall basis. Historically, we did see that the pyramid was kind of a diamond. And over the last 3 quarters, we are trying to get it in the shape. So , if you look at from the Q1 of last year to now, it has definitely improved in shape. So the comparison which you might be seeing must be from the FY '22 to FY '23, Manik.
Manik Taneja: Sure. Just to confi rm, between FY '22 to FY '23, when I see the numbers in the annual report, the sub-30-year age segment essentially has reduced to about less than 41% of the total workforce versus 46% as of end of FY '22.
Sachin Zute: We can get that checked, Manik, I can touch base upon it with you offline.

Manik Taneja: S&M basis, is the understanding that you guys are giving, is that we will step up the S&M investments as we continue to invest in the business from the current run rate that we see in the current quarter?
Sachin Zute: Yes, Manik. That's correct understanding.
Moderator: The next question is from the line of Anand Agrawal from Balaji Investments.
Anand Agrawal : Congratulations for the wonderful set of numbers. I hope I mean, in the last 3, 4 years and not

in 3, 4 years, I mean, this has been the best ever performance in terms of the PAT numbers, though the top line has not grown substantially. So my question is that since company is sitting with a lot of cash. So what is the plan to deploy this cash going ahe ad so that the revenue and further business can be enhanced?
Sachin Zu

te: Thank you for the question. As you know, as we have earlier stated as well, we continue to look for opportunities to scout for targets, which adds to the capability of Zensar, and we want to continue on that journey. At any point of time, we keep on evaluating 3 to 4 targets. Once we find the right one, we want to use this cash in buying the right company. At the same time, our dividend policy as part of capital allocation continues t o be what we have done historically.
Anand Agrawal : And sir, 1 more question, last question. Just a broader picture. I just want to understand what kind of -- I mean growth in terms of percentage you are seeing going ahead, maybe a year or 2 kind of that -- just a broader question.
Sachin Zute: As Manish also said that if we would have had a crystal ball, it would have been wonderful. But unfortunately, given the current scenario, when the visibility on the business is relatively low, it's very difficult for me to actually make any comment from that perspective. But I can only say that the IT spend globally has only shown positive direction over last decade, decades and a half, and we all believe with the changing technology landscape, the prospects for the growth in this industry continues to be relatively strong.
Moderator: The next question is from the line of Sarang Sunil from RW Investment Advisors.
Sarang Sanil : Congrats on great set of numbers. So my first question, is the INR10 milli on reported as purchase of traded goods, net of this R&D credit? And if not, how has this number gone down substantially? And my second question is on the employee side, can we expect this to stabilize around this range and ramp up as good demand comes in? Or can we expect this to go down further on a net basis? And my final question -- is it possible to give some color on how you are able to bring down the attrition level to this range? And Manish, is something you feel Zensar is doing differently compared to other companies? Those are my 3 questions.
Sachin Zute : So can you just repeat your first question, please, because we could not get that clearly.
Sarang Sanil: Sure, sir, the INR10 million number reported on the financials as purchase of traded goods. Is this net of R&D credit that you received?

Sachin Zute: So there is no linkage between R&D credit and INR 10 million traded goods, which you are referring to. The R&D credit benefit which we got is currently factored into the gross margin. And the INR10 million -- INR10 million traded good is part of the revenue line item, which we have reported. Now for the attrition question, I'm going to request my colleague, Vivek to comment on.
Vivek Ranjan: Thanks a lot, Sachin. Thanks, Sarang, for the question. Yes, you are right that what we have in terms of our retention, it is best in class. And as Manish mentioned, we h ave very employee - centric policies combined with the initiatives which we have taken that helps us a lot. And from the perspective of our culture, we are very strongly focused on creating a happiness ecosystem, where employees learn and thrive. That has he lped us a lot. And also, we have taken a set of initiatives to ensure that there is a high level of investment in learning and there is a culture of recognition and managerial capability build, all of which has ensured that we are best -in-class when it com es to retention, and we stay focused in this pursuit.
Sarang Sanil: Okay. So also on the employee count, what do you expect?
Sachin Zute: On the employee count, the hiring will happen depending on how the demand shapes up. We are very closely working out t he current demand environment. And given that the attrition across the industry has slowed down, our ability to fulfil in a very short time has definitely improved. So, depending on demand environment, we will be taking that cal

l.
Moderator: Thank you. Lad ies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Manish Tandon for closing comments. Over to you, sir.
Manish Tandon: Well, I would like to thank you all for being on this call. There we re a lot of results today in this sector. I'm pleased to see that you've decided to attend this call. I'm sure, as you go through the results, you will have more questions and we have an excellent Investor Relations team, who can help in answering all these questions. So thank you, once again and thank you for congratulating us on our good results.
Moderator: On behalf of Zensar Technologies and IDBI Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

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Symbol: ZENSARTECH
Series: EQ
Subject : Q2 FY2 4 Result s Earnin gs Ca ll - Transcript
Dear Sir/Madam,
In continuation of our letter(s) dated October 9, 2023 and October 18, 2023, please note that the attached transcript of Earnings call held on October 17, 2023 at 5:30 p.m. hrs (IST) for Financial Results of the Company, for the quarter ended September 30, 2023, has been made available on the website of the Company at https://www.zensar.com/about/investors/investors-relation?result=Quarterly-Results#Investor-Corner
This is for your informatio n and disseminatio n purpose.
Kindly take the same on record.
Thankin g you,
Yours faithfully,
For Zensa r Technologie s Limited
Gaurav Tongia
Company Secretary
Encl.: As above

“Zensar Technologies Limited Q2 FY24 Earnings
Conference Call”

October 17, 2023

MANAGEMENT : MR. MANISH TANDON – CEO & MD
MR. SACHIN ZUTE – CHIEF FINANCIAL OFFICER
MR. VIVEK RANJAN – CHRO
MR. VIJAYASIMHA ALILUGHATTA – CHIEF

OPERATING OFFICER
MODERATOR : MR. PRITESH THAKKAR – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Zensar Technologies Limited, hosted by Motilal Oswal Financial Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pritesh Thakkar from Motilal Oswal Financial Services Limited. Over to you, sir.
Prites h Thakkar: On behalf of Motilal Oswal, I welcome you all to Zensar Tech's Q2 FY24 Earnings Call . We have Mr. Manish Tandon – CEO and Managing Director of Zensar Tech; Mr. Sachin Zute – Chief Financial Officer; and a few other members of the senior manageme nt team.
Before I hand over the call to Manish, I would like to highlight that the safe harbor statement of the second side of the earnings presentation is assumed to be read and understood. Over to you, sir.
Manish Tandon: Hello, good morning, good afternoon, and good evening to everyone. Thank you for taking the time to join us today to discuss Zensar's Financial Results for the second Quarter of the Financial Year 2024 .
With me on this call are a few distinguished colleagu es; Vijayasimha – Chief Operating Officer, Sachin Zute – Chief Financial Officer, and Mr. Vivek Ranjan – CHRO.
Our Q2 performance shows continued strength and demand for our service lines, particularly around Experience Services, Advanced Engineering, Data Engineering and Analytics. Q2 revenue crossed $150 million, a sequential quarter -on-quarter growth of 0.6%. Our PAT registered a sequential quarter -on-quarter growth of 130 basis points and year -over-year growth of 940 basis points. Earnings per share saw a growth of 11.3% quarter on quarter.
Let me walk you through the high -level performance of our geographies and verticals for this quarter :
The Europe and South Africa region has shown good growth momentum on account of our service line diversification and new wins across long -standing and new clients.
We saw a decline in the US region due to project closures in a few key customers.
On the vertical front, I would also like to take this opportunity to update that we will start tracking Healthcare & Lif e Sciences as a separate vertical. In the last four quarters, we have identified certain key strength areas, Healthcare being one of them. We see a long -term potential

in Healthcare and have already identified leadership around it. It is an existing busine ss for us and we have realigned our verticals to that effect.
Apart from this, we have also realigned our other verticals in line with our leadership structure.
Coming to the sequential Q -o-Q constant currency growth for the verticals :
Our services revenu e in Banking & Financial Services grew by 3 .0%, Manufacturing & Consumer Services grew by 6.7%, while Hitech declined by 8.3%, and Healthcare & Life Sciences saw a decline of 1.7%.
I am pleased to share that for the second Quarter , our last -twelve -months attrition declined to 13.1%, a sequential improvement of 280 basis points.
This quarter, we gave salary increases which w as better than the industry average and ha s been very well received by our associates across all levels.
With that, I will now invite Sachin Zute – our Chief Financial Officer, to provide an update on critical financial data.
Sachin Zute: Good day everyone and thank you for joining the call today. In addition to Manish talking about business, I will take you through some of the key financial metrics for the quarter ending September 2023.
The revenue for th

e second Quarter of FY24 stood at $150.2 million in US dollar terms, reflecting a growth of 0.6% sequentially in reported terms and 0.2% in constant currency terms.
Gross margin for the quarter stood at 31.8%, a decrease of 180 basis points quarter on quarter.
The decline was primarily due to a wage hike impact of 190 basis points, reversal of one -time benefit of 80 basis points, which was mentioned in the last Quarter's Earnings Call. It was

partially offset by the exchange gain of 30 basis points and utilization benefits of 50 basis points.
SG&A has improved by 170 basis points. Wage hike had an impact of 30 basis points on SG&A, which was compensated by a reduction in discretionary spends. Further, during the quarter, we had finalized our annual management bonus of FY23, which had a one -time positive impact of 160 basis points on SG&A. Normalized SG&A has remained flat quarter -on-quarter basis.
EBITDA for t he quarter wa s at 18.6%, lower by 10 basis points against last quarter. Net of one -timer, EBITDA would have been close to 17%. After Q2 of last fiscal, we have consistently improved our EBITDA margins. This was a result of rigorous efforts driven across the organizatio n, which involved several tracks including improving commercials, focus on services revenue, optimization of subcon , improving utilization, control on attrition, and reducing talent acquisition cost resulting in a Y -o-Y improvement of approximately 10 perc entage points on EBITDA.

These measures have enabled us to make investments into focused areas of business.
Our objective continues to maintain margins at mid -teens trajectory for the financial year despite current demand softness.
LTM attrition levels h ave shown continuous improvement over the quarter and stood at 13.1% for Q2 FY24.
DSO for the quarter stood at 79 days.
For the quarter ended, cash and cash equivalents including investments stood at $227.1 million, a $6.7 million decrease from last quarter. Quarter -on-quarter decline is due to advanced tax payment, dividend payout, and annual bonus payout of FY23 in Q2 FY2 4.
Order book was 194.8 million for the current quarter. This also includes some spillover from the previous quarter and certain renewals which closed earlier in this quarter itself.
Effective tax rate for the quarter is 22.7%, an improvement of 300 basis points quarter on quarter.
ETR improved due to credits received at foreign locations during the quarter, part of which are expected to continue for the balance of the year.
Total amount of outstanding hedges as on September 30,2023 was equivalent to $289. 1 million against $246.7 million in Q 1 FY24.
On the ESG front, as of Q2 FY24, we have taken specific initiatives to increase green energy component and reduce energy consumption to achieve our goal to reduce Green House Gas emission by 11% compared to FY23 . We have achieved approximately 25% green energy component in our energy mix globally. We continue our journey on water positivity with water generation exceeding water consumption at our Pune campus.
With that, I now invite Vijayasimha – our Chief Operat ing Officer, to provide updates on business operations.
Vijayasimha Alilughatta: Greetings everybody. Manish has provided insights about our business and Sachin has shared details about the key financial metrics. I will share details about our operational efficacy, service line performance, and capability enrichment initiatives.
We are continuing our journey on operational excellence and making good progress on key imperatives like pyramid optimization, managing utilization in an optimal range, and calibrat ed usage of subcontractors while managing our onsite mix. Disciplined execution on these parameters enabled us to minimize the impact of wage increase on cost of delivery.
Enhanced fulfillment rigor enabled us t

o minimize the impact of volatile demands due to macro -
economic situation. This rigor enabled us to improve our utilization by 60 basis points.

This quarter, we saw good growth in many of our Service lines.
On a quarter -on-quarter basis in reported terms, our Advanced Engineering Service line registered a growth of 7.8%, Experience Services grew by 3.1%, Application Services and Enterprise Application Services grew by 0.2%, while Foundation Services remained flat. Data Engineering and Analytics saw a decline. Our key Service lines continue to scale up well, making up to 34 .0% of our total revenues.
We are continuing to deliver value to clients via our “Experience -Engineering -Engagement ” continuum of service offerings. As part of this, we have developed multiple assets that can help our clients navigate the complex AI ecosystem. These assets help our clients identify the right set of use cases and technology solutions to achieve competiti ve differentiation. We are accelerating our Talent Transformation journey to increase the depth and breadth of subject matter expertise of our employees on emerging technologies as well as appropriate business domains.

With that, I now hand it back to Manish.
Manish Tandon: There are signs of continued softness due to the difficult macroeconomic environment impacting customer technology spend decisions. We are carefully watching the demand environment and continue to stay close to our clients so as to r espond to their needs and accordingly adapt our investment plans.
Over the last 4 quarters, our thrust on client centricity, execution excellence, and employee -centric policies have yielded positive results.
Continued focus on execution of strategy throug h accelerated go-to-market partnerships and sales rigor with the goal of investing in long -term growth remains our top priority.
With that, we can open the lines for questions.
Moderator: We will now begin the question & answer session. The first question is from the line of Mr. Nitin Padmanabhan from Investec.
Nitin Padmanabhan: I had a couple of questions on the deal wins. I think on the face of it, the deal wins look strong at 1.3x book to bill. Normally I would assume that this would lead to a strong Q4 , but I think you made a few qualifications there saying there is a spillover and the renewals. Could you give some color there? And assuming a strong Q4 with these deals flowing through into Q4 revenue, is that a wrong assumption? Just wanted your thought s on how to think about this.
Sachin Zute: Nitin, as I said that $194.8 million order book which we reported has spillover from Q1. There are certain deals which got spilled over from Q1 to Q2, and there are a couple of deals which we were expecting to sig n in Q3 got signed in Q2 itself. So, the normalized run rate could be very close to what we reported last quarter. It will be better than the last quarter. As far as Q4 is

concerned, Nitin, I think it's too early for us to give you any flavor given the cir cumstances which we are dealing with, and as Manish specifically called out, the demand environment continues to be challenging, and I think we will be only able to comment on that as we move forward.
Nitin Padmanabhan: So, here's the challenge. The broad thought process was that margins will improve – we have done extremely well on margins – and growth should be tail -ended. And at least on the face of it, it looks like based on the deal wins that it could be. What are the concerns that you have? I did noti ce that Hitech is down sharply and maybe Q3 is soft because of furloughs. So , I just wanted your thoughts on how to think about this. Do you think that these deal wins will not convert to revenue or there are possibilities of delayed convert to revenue?
Manish T andon:

The way we report the order book, the deal wins will convert and the entire $194.8 million is going to convert to revenues. The question is that you are filling the bucket from one end, but we don't know what will be the leakage of revenues du e to furloughs and due to lower number of working days and so on and so forth in the quarter. You can be assured that if we are showing 194.8, 1. it's a very precise number and 2. we will get those numbers.
Nitin Padmanabhan: Lastly, before I exit the floo r, what are the areas of worry from a vertical standpoint at this point in time? And when do you think Hitech can potentially bottom out?
Manish T andon: I think if you look at our performance overall, except for Hitech as a vertical, we have done very well actually. We have done well in Africa. We have done well in the UK and Europe. We have done well in financial services. We have done well in consumer se rvices. Our Experience services business is growing. Horizontals, we are seeing growth, pretty much everywhere.
Except for Hitech as a vertical, the growth has been very very promising across the board. But when will Hitech recover? I think that's a trilli on dollar question, not even a billion dollar question because as you know, today 70% of the capital spend in the US economy is on technology and technology related products. And as we are seeing elevated interest rates and quantitative tightening, I perso nally feel that unless we see a dampening of interest rates and a dampening of quantitative tightening, I don't think it will be easy for the Hitech as a vertical turnaround.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securi ty.
Sandeep Shah: Sir, I just wanted to know within the Hitech vertical, is it a pain within one top client or these are pains beyond some of the other top clients within Hitech ? And the way I look at it is these clients are a pain point for Zensar in terms of suppressing growth on a year -over-year basis. So, we can have 2 solutions. One is to open more purchasing windows in these accounts or actually accelerate the growth in the other segments outside these accounts. Which path we are looking for in te rms of diversifying and minimizing this risk which suppresses the growth of Zensar year after year?

Manish Tandon: One is, I am not as pessimistic about Hitech as you are. 1) I think once we get our act together in this vertical, it will turn around. 2) As you have seen, we have added Healthcare as we have identified Healthcare & Life Sciences as a vertical and which we are going to put a special focus on. We have also opened 8 new logos in this quarter. So, there is a lot of action happening on the sales s ide. And actually that is reflecting in the order book of $194.8 million that Sachin talked about.
Sandeep Shah: In terms of the rejuvenated go -to market, accelerated sales growth aggression, Manish, is it fair to assume the roadmap in terms of quarterly TCV is on the up rather than remaining more or less at the same range of $150 million to $170 million on an adjusted basis?
Manish Tandon: As I mentioned in the previous answer – you have seen the order book number – I think it will depend on wha t we see in terms of revenue leakage because of furloughs or specific client situations or anything. It's just dependent on that. It's a balancing act that we have to do every quarter. And as you know, this quarter Q3 is a very very tough quarter for the e ntire industry because of furloughs and lower number of working days.
Sandeep Shah: And second, Sachin, a question about the first half normalized EBITDA margin. Even if I skip off the one -off in the 2nd Quarter , it looks like at 17.8% and the wage hike is largely behind, and we are still maintaining a mid -teen kind of a guidance. So, is it fair to assume the margin g

uidance is slightly more conservative or do you see some unforeseen headwinds, maybe related to furloughs, in the coming quarters?
Sachin Zute : Sandeep, furloughs is a very much known phenomena for the industry and for us as well. So, from that perspective, the guidance which we provided for the year actually baked that in . Apart from that, as Manish said, we have now created room for creating i nvestments in our capability building and, in our sales, & marketing department. From that perspective, that investment will definitely have some dilution from the current levels.
Manish Tandon: Just to reiterate on PAT, I don't know how many of you noticed that in the first half of this year, we made more than what we did in the entire last FY23. At least that is something that we internally are very proud of.
Moderator: The next question is from the line of Mihir Manohar from Chameleon Asset Advisor s.
Mihir Manohar: When you mentioned the normal EBITDA is 17% versus the reported number of 18.6%, what is the gap here which is there and what exactly is this?
Sachin Zute : The gap is due to the one -time reversal of management bonuses for FY23, which the decision was taken during the current quarter and reversal of that has come in the current quarter's P&L. As you all know that FY23 was not a very good year for us as a company and we have very high performance driven criteria on the basis of which managem ent of the company gets its bonuses, given the performance, we have seen the one -time positive impact of 160 basis points on the margin. If you take that out, the normalized margin would be close to 17%.

Moderator: The next question is from NGN Puranik fro m Enam Asset Management.
NGN Puranik: I have a question. You talked about capability building and pyramid rationalization, and these are the best leverage available for an IT services company. If you can elaborate on what all you are doing on the vertical and horizontal capability building at the individual level and at the company level.
Vijayasimha Alilughatta: On the capability building front, we have basically 2 dimensions. One is deepening the technology capabilities of our associates around the 5 Service lines that are associated with Advanced Engineering practices, which is nothing but cloud -native capabilities. We are also significantly increasing the capability of our associates around the Experience Services as well as Oracle, SAP, sales force kind of a thing. Outside of that, we see a strong market for AI and Generative AI. As we speak, we have embarked on the journey of upskilling our people across the Generative AI spectrum. That is completely fully in force. And finally, given our growth potential, we see that we also need to basically have our people sharpen their domain skills because techno -functional skills are what is going to be the need of hour to deliver value to our clients. So, we are shar pening the domain skills as well. And of course, the other things associated with leadership training, project management training, and things like that. We have a very structured capability enrichment program with individualized learning paths for each of our associates, and that is beginning to yield results. Some more work to be done.
NGN Puranik: Can you summarize in terms of the capability building which you use for client operations. What are the key services you are building the capability? Is it how big is the focus on analytics? You talked about customer experience and engagement and others, but in terms of analytics, how big is the focus?
Manish Tandon: No, I think there's a huge amount of focus, Mr. Puranik, on Experience Services which includes both the research, design, UI, and customer experience. We have a very compelling practice on Data Engineering and Analytics already. By the way, we have integrated the generati

ve AI
capability with our Data Engineering and Analytics capabilities because we believe that without data, there is no artificial intelligence. It can only be artificial dumbness. So, we have combined the two and we believe that all these newer Service lines are going to be big growth areas for us. And we are actually seeing those in the results.
NGN Puranik: How many projects you have done using analytics with generative AI?
Manish Tandon: Nobody has done any projects, and if they claim that they have done projects, it may be a single digit number, but we have done close to 100 proof s of concept for our clients. And not every proof of concept translates into real projects because the technology is still fairly nascent no matter what people tell you; it is fairly nascent. It is not really ready for prime time on the enterprise, especia lly on the customer side.
NGN Puranik: So, it can be both productive and predictive?

Manish Tandon: Yes.
NGN Puranik: From a productive perspective of improving your own operations and predictive in terms of building solutions for the client?
Manish Tandon : Yes. And most of the use cases that we are seeing the clients use it for is more on the productive side rather than predictive side because on your inside stuff, you can afford a higher error rate than on the client -facing stuff. So, most of the use case s that we are doing POCs on with our clients and for ourselves actually are related more to productivity improvements rather than predictive capabilities.
NGN Puranik: When you say you are building capability at different levels, how do you leverage this? Is using fixed price one option because fixed price projects are very difficult to manage because if they go wrong on estimation either time, cost, effort, value, or anywhere or scope mainly, but when you have people who have better Experien ce capability, can you take a bigger risk of doing fixed price projects where the margins can be greater?
Manish Tandon: Actually, there are 2 ways of using this concept. One is, as we found out with certain clients that they didn't have the budget to do a n all-natural intelligence project. By introducing artificial intelligence and improving the productivity in a low -risk fashion, we were able to reduce their overall spend by 50%. And then they had the budget to do the overall project. That is one way of doing it. Fixed price, the technology is so new that we don't really want to take high -risk fixed price projects, but proof of concepts, demos, etc., we are doing it on a fixed price basis and it's not very risky.
Moderator: The next question we have is fro m Mr. Pritesh Thakkar.
Pritesh Thakkar: I just had a question. What I was asking was on the SG&A, you mentioned that the impact on wages was 30 bps for this quarter. Are we expecting any residual impact for the next quarter?
Sachin Zute : No, nothing apart from what I called out.
Pritesh Thakkar: I was asking on the client buckets. What is driving growth for the Beyond Top 20 clients? Because, it reported 9.5% Q -on-Q growth while your top 20 accounts declined by 4.9% Q -on-Q.
Sachin Zute : Pritesh, if you look at when Manish joined, at that point of time, he clearly called out that we are going to start a new organization within our sales team which will focus on the net new business for the company. For the last 2 quarters, there have been a lot of hiring whic h is happening over there, and gradually we definitely think that that engine will start picking up and will help us grow outside the top 20 clients for the company.

Manish Tandon: And we are already seeing it, Pritesh, that the non -top 20 clients are grow ing faster. And this is primarily because of 2 things. One is Net New logos and the second is that in our smaller clients,

we are doing much better on farming and hence trying to increase the numbers.
Pritesh Thakkar: In the Q3 quarter, since we have the furloughs and holidays coming in, do we expect the impact to be in a similar line to what we had last year or you expect the growth to be a little severe given we have these macro headwinds coming in?
Sachin Zute : Pritesh, normally we don't give a forward -looking guidance on this subject, but what I can say is that it will be in line with the last 2 or 3 years' impact which you saw.
Pritesh Thakkar: The reason why I'm asking is because we signed a strong PCB this qu arter. I thought if there is any ramp -up coming in from there and we should see a little bump -up in Q3 vis -a-vis the last quarters.
Sachin Zute : I think the furloughs are part of the industry and part of the numbers which we have be en reporting over the years, and we do feel that we will see the impact of furloughs for Q3. Along with that, if you see the macro environment is also definitely not helping us. From that perspective, you

can actually take the impact which you saw over the last 2 or 3 years in Q3. On the similar lines, we are expecting given the current situation.
Moderator: The next question is from the line of Mr. Sameer Dosani from ICICI Prudential AMC.
Sameer Dosani: Congrats on a robust execution during the quarter in difficult times. On Healthcare , I am sure you would have formed GTM strategy, and leadership was inducted. If you can share some strategic high -level pointers of what your thought process is, that will be helpful. The second part is on BFSI. In times like these where expenses from banks are struggling actually, your growth has remained robust. What are those parameters or what are those things that you are doing differently? If you can just highlight what are the key differentiators there.
Manish Tando n: First of all, on Healthcare & Life Sciences I will reiterate. I think without even calling it a vertical, we have had a good presence in Life Sciences and Medtech overall and a couple of Healthcare accounts. We believe that adding domain capabilities to this mix and offering a broader range of our services to the Healthcare & Life Sciences sector will yield richer dividends than if it was hidden in the emerging area. We will start by enhancing our domain capabilities in this area and marrying our offerin gs with the domain capabilities and taking them to the market. That is broadly the incubation strategy, at least for the first 2 or 3 quarters.
BFSI, we are doing quite well. Two reasons; one is, in BFSI, especially on the insurance side, we have specializ ed in certain packages and we have both the technical depth and the domain capabilities to go deeper into these areas. And once we have entered this, we have expanded using our other offerings. That has worked well in overall BFSI for us.

Sameer Dosani: For Healthcare , you would have already inducted leadership, etc. That process is behind us. That's how we should think of?
Manish Tandon: Yes. Again, as you know, I myself have a lot of experience in Healthcare & Life Sciences. So, I will incubate the leader ship there. And yes, we have hired someone who brings the requisite talent from both the domain and sales perspectives.
Moderator: The next question is from the line of Sandeep Shah from Equirus Security.
Sandeep Shah: Just, Sachin, wanted to understand th ere is a dramatic improvement in the offshore revenue mix over the last several quarters. Even in this quarter, there has been a higher improvement. So, is it fair to say in the last few quarters, the volume growth is much higher than the reported US dolla r revenue growth? And a followup question in terms of gross margin tailwind, utilization is higher and offshore revenue mix is higher. Are we sti

ll foreseeing some further headroom in spending in these 2 -3 levers, which can impact on the gross margin? I do agree investment may impact the SG&A and not the direct cost level much. And the third is, what is the reason for absolute decline in depreciation and amortization, and whether the 2Q level is a normalized level of depreciation and amortization?
Sachin Zu te: Earlier when we used to have product revenues as part of our portfolio, they used to get counted as part of on site. Now, with our focused efforts on services revenue as part of our revenue mix has changed over the last two quarters, and that is also w hat is getting reflected in the offshoring numbers which are getting reported.
Sandeep Shah: Is there a further headroom in the offshore revenue utilization rate increase going forward? And what is the reason for absolute decline in depreciation and amorti zation? Whether Q2 level would be sustained or there is one -off and it may increase from Q3?
Sachin Zute : Let me answer the second question. Then I will hand it over to Vijay to answer your first question. As far as depreciation is concerned, the acquisitions which we had done over the years, the amortization has been coming down over the last few quarters, and that is what is getting impacted. Going forward, we believe that we will be in this range of what we reported in Q2.
Vijayasimha Alilughatt a: To your question about offshore distribution as well as utilization, I think we are now seeing that the offshore ratio is at a fairly stable level or optimal level. So, we don't expect significant movement from these levels. Utilization is also fairly o ptimal. It will be range bound depending upon the sensitivities associated with certain quarterly phenomena. Otherwise, I think we will operate in the current utilization range.
Moderator: The next question is from Devang Bhatt from IDBI Capital.
Devang Bh att: Last time, you had alluded that you will not target large deals till margins are stabilized. Now that margins have reached comfortable levels, are you targeting any large deals and in which

area are you seeing traction? Are there any large deals in th e pipeline? And if yes, if you could elaborate the nature of that deal.
Manish Tandon: Let me first start by defining what large deals are for a company of our size. Anything with 5

million ACV or 25 million TCV is what we consider as a large deal. By that definition, we are working on a few deals. I cannot quantify the deals just now, but I can tell you that at least 4 or 5 deals we are working on. You know that the win rates on these large deals and the competitive intensity is very high. So, we are not r eally projecting anything from these deals just yet. But to answer your question, yes, we are in the market for large deals. And I can also tell you that wherever we have gone in, we have been received well. We may not have won the deal, but we have been r eceived very well.

Devang Bhatt: Are we seeing cost efficiency kind of a deal or a digital transformation kind of a large deal?

Manish Tandon: We are not seeing digital transformation kind of large deals. That is for sure. We are seeing large deals more in the cost takeout space.

Devang Bhatt: And, sir, you had said that 95% of the company's growth comes from farming. In Hitech, what are you doing to drive that growth in mining the clients in Hitech ?

Manish Tandon: In Hitech , 1) we are trying to change our sales force and enable them to be much more proactive, 2) we are trying to build higher level relationships with our clients, build greater relationships, and 3) our messaging and our work in the Experience to Engineering t o Engagement continuum is resonating very very well with our clients. You will be surprised to know that in the Hitech space, we actually worked with some of the top clients in the industry.

De

vang Bhatt: The European region did very well. Which verticals drove that growth?

Manish Tandon: Banking & Financial Services and Manufacturing & Consumer Services (MCS), both of them did well for us.

Moderator: The next question is from the line of Chirag Shah from White Pine. Please go ahead.

Chirag Shah: Sir, my first question is, you mentioned in your opening remarks that Data Engineering and Analytics have seen a decline. Can you indicate why it is and how do you look at it from the next 12 to 18 months' perspective?

Manish Tandon: That is because Data Engineering and Analytics was concentrated more in the Hitech vertical. And since the Hitech vertical declined, there was a corresponding effect on the Data Engineering and Analytics vertical.

Chirag Shah: So, it is more industry driven rather than applicat ion driven or line business driven. That is the right understanding, correct?

Manish Tandon: Yes.

Chirag Shah: Sir, the second question is on the margins front. In your annual analyst meet also, you indicated your aspiration is mid-teens margins and stability in margins within a particular band. Now, since 2 quarters, you are there. If I do H1, you are almost there . And also your aspiration to reinvest in the business to build up capabilities may be at a slightly faster pace than what your peers may be doing. So, how should one look at margins from here on? Is there a case of reset on the higher side or is there a c ase of to be slightly cautious or these are normalized margins and as activity picks up, there could be significant uptick that one can see?

Sachin Zute : As I said that first of all, we want to bring predictability in our margins and create a trajectory in our margins. For the last 3 to 4 quarters, we have been able to work structurally towards that. As you know, though currently the industry is going through tough times, as the growth returns, we want to ensure that Zensar is ready to take advantage of tha t growth from the capability perspective as well as from the sales perspective. We have already started investing in building up our sales force. That's the reason I specifically called out that on a quarter -on-quarter basis, normalized SG&A has remained f lat. And with these kind of margins, we are creating headroom for us to further invest into business into the areas in which we see it is needed to be invested. From that perspective, I think our goal will be to continue to be in the range of mid -teens mar gin. Anything over and above that in some or the other way, we want to invest back into the business and be ready for the growth when industry turns around.

Chirag Shah: If I rephrase or re -summarize, current margins that we have seen in H1 are kind of nor malized margins unless for a negative shock that comes across in the business. That is the right way to look at it?

Manish T andon : 18.6% is not mid -teens. It's almost adult.

Chirag Shah: I am looking at H1 excluding that 150 bps of revers al because the SG&A pertains to last year, which we had provided.

Sachin Zute : These are the headrooms which we have created for ourselves, which we want to invest back. So, the normalized margin which we as management team are targeting is mid -teens, whic h is between 14% to 16%. Anything over and above that will be reinvested in some or the other form back into the business.

Moderator: The next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: Just a quick bookkeeping one. What is the proportion of net news in the total TCV this time?

Sachin Zute : On an overall basis, my EE is two -third of my book and one -third of my book is EN and NN.

And my NN is in lower single digits right now, Nitin.
Manish Tandon: $2.5 million

Moderator: The next question is from the line of Dipesh from Emkay Global. Please go ahead.
Dipesh Mehta: I just want to understand about the reinvestment and the margin trajectory. Typically, right now, let's say we are at 17 adjusted EBITDA margin and 14 to 16 is the range what we indicated. Usually, what time period it requires for you to optimally operate within that 14 to 16 percentage range? Because, investment will take some time. But considering the next 2 -3 quarters, typically how long it will take for you to start operating within the targeted range?
Sachin Zute : If you look at our hiring process on the leadership, it's already on. As Manish clearly said that we have already on -boarded our Healthcare leader as well and there are a couple of other hirings which are happening in the company. From that perspective, the process is already going on, and we will see the impact of that in Q3 and Q4.
Dipesh Mehta: So, broadly, by year -end, we should operate within the optimal range of 14 to 16, where the focus would be on accelerating revenue growth. Is it the right understanding?
Sachin Zute : Apart from that, we also have to see, as one of your colleagues asked, we will also need some investment in case we win any large deal or something like that. Correct? And as you know that large deals initially, at least for a few quarters, are not margin accretive deals. If something comes our way, we want to ensure that we are ready for that.
Dipesh Mehta: And last question is about the client and client mining related thing. Let's say we have roughly around 47 odd clients giving more than 5 million kind of revenue. Top 20, we are seeing some weakness. And obviously we always maintain that client mining is a lo ng term kind of growth potential and all those things . I am just trying to understand if you can give some sense in the last 2 -3 quarters, the new clients which we added, the quality of those clients compared to…. Obviously, we are seeing some challenges i n top 20 and there might be some mix change. So, if we can provide some qualitative aspects in terms of the kind of clients which we are adding?
Manish Tandon: 1) Our target account list is companies greater than $2 billion in revenues. And mostly the effort in adding clients is going towards those clients only. Sometimes smaller clients come to us with a larger project. We are happy to take them. But our focus is always on companies with revenues greater than $2 billion. 2) If you look at the order boo k, I think the EN (Existing -New) portion is pretty strong over the last couple of quarters, which means that the farming engine is working and the farming engine is not only working, but it's working on cross sales, so to say. Those are the 2 data points t hat I would like to share.
Moderator: Our next question is from the line of Jalaj from Svan Investments. Please go ahead.
Jalaj Manocha: The first question is with regards to the last discussion in the analyst meet, which was around the target to reach to a quadrant 1 in terms of the performance growth -wise. What would it take us to be there, i.e., where we want to be there? That's one thing. And secondly is the sales and sales support team right now in place or there is still some more headcount to be adde d there? Because, I do see that there is a certain attrition there also.

Manish Tandon: Top quadrant remains our goal. And as I said, we will not reach that goal in 1 quarter or 1 year or so. We are targeting that we will move up a quadrant every year, so to say. Currently, we are at the bottom. The second thing is on sales. As far as headcount is concerned, I think we are there. As far as quality is concerned, the jury is still out there and we continue to look at sales performance at an individual level a nd counsel people who are not performing. And we will continue to do

that.
Moderator: As that was the last question for today, I would now like to hand the conference over to Mr. Manish Tandon for closing comments.
Manish Tandon: Thank you very much for sp ending time this evening with us. We hope we answered all your questions. If there are more questions, we have a wonderful investor relations team. You can address your questions to them. Thank you very much.
Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you everybody.

Call: Feb 2024

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Symbol: ZENSARTECH
Series: EQ

Subject: Q3 FY24 Results Earnings Call - Transcript

Dear Sir/Madam,

In continuation to our letter(s) dated January 12, 2024 and January 23, 2024, please note that the transcript of the earnings call held on January 22, 2024 at 6:45 p.m. hrs (IST) for Financial Results of the Company, for the quarter ended on December 31, 2023, has been made available on the website of the Company at https://www.zensar.com/about/investors/investors-relation?result=Quarterly-Results#Investor-Corner

This is for your information and dissemination purpose.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Zensar Technologies Limited

Gaurav Tongia
Company Secretary

Encl.: As above

“Zensar Technologies Limited Q3 FY24 Earnings
Conference Call”

January 22, 2024

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ZENSAR TECHNOLOGIES
LIMITED ,
MR. SACHIN ZUTE – CHIEF FINANCIAL OFFICER ,
ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER , ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER , ZENSAR TECHNOLOGIES LIMITED
MODERATOR : MR. DEVANG BHATT – IDBI CAPITAL LIMITED

Moderator : Ladies and Gentlemen , Good day and welcome to the Q3 FY24 Earnings Conference Call of Zensar Technologies Limited hosted by IDBI Capital Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during this conference , please sig nal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devang Bhatt from IDBI Capital. Thank you and over to you.

Devang Bhatt : Thanks Dorwin . Good evening everyone. On behalf of IDBI Capital, I welcome you all to Zensar Tech Q3 FY24 Earnings Call.

We have with us Mr. Manish Tandon – CEO and Managing Director of Zensar Tech, Mr. Sachin Zute – Chief Financial Officer and few other members of the senio r management team.

Before I hand over call to Manish I would like to highlight that the safe harbor statement of the second slide of the earnings presentation is assumed to be read and understood. Over to you, sir.

Manish Tandon: Thank you Devang. Hello, good morning, good afternoon and good evening everyone. Thank you for taking the time to join us today to discuss Zensar Financial Results for the third Quarter of FY24.

Along with Sachin, I have Vijayasimha – our Chief Operating Officer and Vivek Ranjan – our CHRO , also on this call to take your questions.

It's been just over a year since I joined Zensar and exactly a year since I first spoke to all of you. In my first call, I mentioned how proud I am to be leading Zensar. Fast forward one year , I won't change a thing I said then.

As an organization, our strong investments in our service lines and our vertical bets and of course our people have all come together to create a stronger and resilient organization that has client centricity as its core tenet. Over the past year, we have made good progress on the goals we set for ourselves. Our customer conversations are positive , our deal pipeline continues to be healthy , our order booking remains stable, and our profitability has been robust.

Our expertise in designing digital experiences and engineering it to deliver superior engagement is sho wing strong traction among the clients. Though the Third Quarter is seasonally a soft quarter , we registered serv ices revenue of $144.5 million, a sequential QoQ decline of 3 .0% and year-over-year growth of 1.3% in constant currency.

Our Margins continue to remain healthy w ith profit after tax growin g by 700 basis points on a year-on-year basis. LTM attrition further improved to 12 .0% from 13.1% last quarter.

Coming to the quarterly performance of our verticals :

This being a seasonal quar ter comparison of the year -over-year performa nce is perhaps more appropriate.

In constant currency terms , on a yea r-over-year basis our Services revenues in Banking and Financial Services grew by 12.6%. Manufacturing and Consumer Services grew by 5.5%, Hi-

Tech and Healthcare declined by 9.6 % and 14.3% respectively.
Despite the unexpected deeper and w ider furloughs , from an overall revenue, margin, and order book position. I am very satisfied with the performance of the company.
With that, I will now invite Sachin, our Chief Financial Officer to provide an update on “Critical Financial Data” . Sachin, over t o you.
Sachin Zute: Thank you, Manish. Good day everyone and thank you for joining this call.
In addition to Manish talking about business I will take you through some “Key Financial Metrics” for the quarter ending December ‘23:
Revenue for the 3rd Quarter of Financial Year 2024 stood at 144.7 million US dollar reflecting decline of 3.2% sequentially in constant currency terms and

3.7% in reported terms.
The Services revenue for the 3rd Quarter of Financial Year 2024 stood at 1 44.5 million in U.S dollar terms reflecting year -on-year gr owth of 1.8% in reported terms.
Gross margin for the quarter stood at 31.1% , a drop of 70 basis points quarter -on-quarter.
Decline was primarily due to exchange impact of 10 basis points , impact due to furlough and utilization 200 basis points, which was partially offset with our existing operational efficiency program, higher leave utilization a nd reduced discretionary spends i mpacting the margins positively by 140 basis points.
SG& A has increased by 70 basis points quarter -on-quarter. This includes a reversal of 160 basis points benefit , we had last quarter , on account o f lower management bonus payout, exchange had negative impact of 10 basis points.
PDD reversal for the quarter positively impacted the mar gins by 110 basis points.
EBITDA for the quarter was at 1 7.2% up 20 basis points against last quarter adjusted EBITDA margins.
Our a djusted EBITDA margins for YTD stood at 17.3% well above our guided range of mid-teens .

We closed the quarter with higher cash and cash balances that stood at $248.3 million compared to $227.1 million in Q2 of FY24 , with the addition of $21.3 million in the quarter.
DSO for the quarter stood at 75 days, 4 days lower than previous quarters.
The order book remains healthy at $167.5 million for the current quarter with a consistent new logo addition.
As you have seen, Hi-Tech has been a sluggish quarter for the industry, which is true for us as well. However, apart from lower reve nues from some large Hi-Tech customers we have witnessed gr owth in other parts of business , despite this being a quarter with higher than usual furloughs.
The effective tax rate for the quarter stood at 23.8%. The total amount of outstanding hedges as on December 31st, 2023, was equivalent to $313.7 million against $289.1 million in the previous quarter.
The Board of Director have approved an interim dividen d of Rs. 2 per share for the Financial Year 2024 , which is 100% of the face value .
As we have consistently m entioned, we continue our rigor on improving execution, focusing on strategic cost optimization levers a nd maintaining a resilient bottom line.
As we forge ahead, our financial strategy remains anchored in driving growth, ensuring profitability and making required investments into the focused area of business.
On ESG front, we have achieved significant improvement in our ESG scores from rating agen cies like Ecovadis and DJSI. We have officially committed to aligning with SBTi which is now available on SBTi website itself.
We have deployed organic waste converter in our Pune campus resulting in in -house treatment of 100% organic waste .
With that, now I invite Vijayasimha – our Chief Operating Officer to provide updat es on business operations. Vijay.
Vijayasimha Alilughatta : Thank you Manish and Sachin. Greetings everyone.
I will share details about “Operational Efficacy, Service Line Performance and Capability Enrichment Initiatives” .
First, on “Operational Efficacy”:

We are continuing our journey and making good progress on key imperatives like pyramid optimization, managing utilization in an optima l range, calibrated usage of subcontractors and managing our onsite mix.

Our f ocus on operational excellence e nabled us to minimize the impact of seasonal headwinds in Q3 like the quantum of furloughs, extra holidays and leaves. Our utilization was 310 ba sis points higher in Q3 of FY24 as compared to previous years Q3. Excluding the impact of furloughs and leaves the utilization improved even as compared to Q2 of FY24. The rigor associated with accelerated fulfillment and capability enrichment cont

inued in Q3. We had a
gross addition of 627 employees in the quarter.
Service lines : While we had good volume growth across many of our service lines, revenue was impacted by seasonal headwinds . On a quarter -on-quarter basis i n reported terms , our Advanced Engine ering Service line registered a growth of 3 .0%, Experience Services remai n flat Foundation Services and Data Engineering an d Analytics saw a decline of 2 .0%, Application Services and Enterprise Applications Services saw a decline of 8 .0% which was primarily on account of furloughs.
The share of revenues from Advanced Engineering Services, Data Engineering and Analytics , Experience Services and Foundation Services increased from 52.2% in Q2 of FY24 to 54.2% in Q3 of FY24.
Capability enri chment : As part of our talent transformation journey , we are proactively multi - skilling our col leagues in a structured manner v ia the Service Line Academies . Our industry services groups have established domain academies in the respective vertical to enhance the ability of our collea gues to deliver superior business value.
The immersive programs launched to enrich the capability of our key talent in the areas of solution a rchitecture, product management, program management have enabled us to create a sizable pool of home -grown talent in these areas. The in -depth learning programs from our AI academy h as enabled our engineers and data scientists to develop advanced skills in generative AI space.
We leveraged our advanced generative AI skills to implement innovative solutions for a legal services client of ours which enabled them to reduce processing time by 90 plus percent in some value chains.
With that, I now hand it back to Manish .
Manish Tandon: Thanks Vijay and Sachin.
The last few quarters have been tough for the industry due to macroeconomic uncertainties and the customers have seen cuts in their discretionary spends. We continue to collaborate with our customers in such times.

We have strong systems in place and our capabilities are interlocked to tap into any available opportunity. Client success is our parameter and will keep moving in the right direction, focusing on growth and investing for the same.
With that, we can open the line for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.
Devang Bhatt: So, one is that now you are s tabilized your margins so when we will see a improvement in growth and which segments are you focusing to drive that growth and what are we doing to reduce the higher dependence on clients?
Manish Tandon : So, I think as far as this quarter is concerned except for the Hi-Tech segment and also t here was a few specific client w here because of the furlough and so on deeper and wider furlough we saw declines, b ut if you exclude that then all parts of our business have done better than last quarter.
So, I'm pretty bullish about our growth prospects, revenue growth prospects as far as non-Hi-Tech vertical is concern ed. Hi tech is under stress, i t is under stress for everyone. I mean there are other verticals that are under stress fo r everyone like Banking and Financial Services which is doing well for us, b ut Hi-Tech we are also suffering and hope fully given that the furloughs should come down in this quarter hopefully the w orst is behind us.
Devang Bhatt: And sir as you highlighted that there are some headwinds in macro. So , what are we doing to mitigate the same I mean are we trying to grow that I mean some specific segments or some specific clients are you targeting?
Man ish Tandon : I think first of all as I pointed out earlier , last year we have taken a lot of steps to manage and improve our client penetration and revenues. One is we

have increased the addressable spend
through add ition of several Service Lines including Experience Services, including ESAS which includes Salesforce, Oracle, SAP and everything, and Advanced Engineering Services a nd we are seeing good growth in these new Service Lines that we have added.
Besides that, I mean you have to stick to your core, client centricity , takes care of your employees, take care of your clients in tough times , then we'll see the bene fit. Also, we are trying

to ride on to the newer trends that we are seeing in the market like Generative AI a nd so on to see how we can piggyback on those trends and accelerate our revenue profile.
Moderator: Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Manish our deal wins have let us say on a tra iling 12-month basis have sort of picked up it's up 23%. Just wanted your thoughts on a couple of things. So , one has the deal wins of Q1 and Q2

completely ramped up and do you think that the following quarter will be a growth quarter despite c ontinuation of furloughs so that's the first one.
The second is how are you thinking about Hi-Tech at this point in time, w hen do you see this sort of the trajectory sort of at least stabilizing is the sec ond one a nd I have one more as well I'll follow up post this?
Manish Tandon: Yes Nitin. Good to hear from you. I think on the first question on deal wins as you can see compared to the same quarter last year our deal wins have gone up by $37 million and if you peel the onion a little bit more you will find that most of these deal wi ns are coming from Existing New which means that our farming engine what we had invested in is working to our satisfacti on and that's very encouraging to see.
The second question was, will the next quarter be a growth quarter or not ? As you know we don't give projections for the next quarter. So, I cannot comment on it and 5 million plus clients have also gone up overall and what was your third question Nitin.
Nitin Padmanabhan: The third one was when do you think Hi-Tech can sort of stabilize a nd you seeing incremental deal wins at some point that will start offsetting the pain that you're seeing from the client?
Manish Tandon: I think look that’s a hundred million dollar question as to when we will see the thing, the Hi-Tech sector for everyone is under stress a nd even as we speak Nitin I was hearing that even Google has announced new job cuts and so on. I mean the jury is still out there, b ut as I said, except for Hi-Tech I see other parts of our business firing much bet ter.
So, as soon as this furlough impact etcetera a nd project clo sure impact etcetera goes away we should hopefully see growth.
Nitin Padmanabhan: And lastly, if you could give your thoughts on BF SI, Consumer Services and Healthcare as well on how are you seeing those sort of pan out?
Manish Tandon: So, for us BF SI has done pretty well. We have grown 12.6% year -over-year and Manufacturing, and Consumer Services also grew by 5.5% year -over-year and besides that we are doing well in UK and Europe and also in South Africa which are big markets for us. So , as I said I mean things are looking up except for the Hi-Tech vertical.
Moderator: Thank you. The next question is from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.
Naveen Baid: Just wanted to confirm on what was the order backlog this quarter?
Man ish Tandon : We look at order booking and not order backlog. Our order booking was $167.5 million which was about $37 million more than the same quarter last year.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities Private Limited.
Sandeep Shah: M

anish I think the pain in a Hi-Tech and that too from a top client within the Hi-Tech is a we ll accepted fact for Zensar and it's been accepted fact for the investor as well, b ut to surpass that we have to ac celerate the pedal in terms of d riving growth in other accounts in Hi-Tech and the other verticals, s o are we geared for the same ? do you believe the time has come in terms of driving this incrementally better and that will help us to compensate the headwinds comin g on the growth coming through Hi-Tech account year -after-year and q uarter -after-quarter?
Manish Tandon: As I said e xcept for Hi-Tech as a vertical we are seeing secular momentum overall in other vertical s and geographies. I mean, i f we continue to see significant s tress in Hi-Tech , I don't know whether the growth wil l be enough to offset or if Hi-Tech remains flattish or grows slightly then I see us growing significantly.
Sandeep Shah: And sir what do you believe because the growth outside Hi-Tech in this quarter has been flat to a decline in trend except for the BFSI. So , is it largely because of furloughs?
Manish Tandon: Largely because of furloughs and this time the furloughs were much deeper and wider than what I have seen in the past few years.
Sandeep Shah: Just a related question Manish do you expect some of these most of these f urloughs to reverse in the fourth quart er and Sachin if you can quantify the impact of furloughs o n this quarter's revenue?

Vijayasimha Alilughatta : I will take the first portion of the stuff. I think we are seeing some sort of a mixed bag in terms of furlough reversal in Q4. Some of the sector s like Hi-Tech are going to continue to have furlough in the early part of the quarter whereas some of the other sectors are not going to h ave the impact of furloughs. So, there wi ll be some impact of furloughs i n Q4 as well. Sachin, you might want to quan tify.

Sachin Zute: So, Sandeep c ombination of furloughs and utilization has impact of close to 200 basis points on our gross margins and normally the data of the split we don't make it public.

Sandeep Shah: And Sachin if I presume you said in the opening remarks provision for doubtful debts has been reversed in this quarter which impacted margin by 110 basis point to Qo Q positively. So , will this be a headwind in the coming quarter and if yes w hat could be the headwind impact?

Sachin Zute: Yes, obviously as you know PDD is a one time impact which we registered in Q3, but broadly other parts of our operational efficiency track continue to work. If you look at , let's talk about utilization in Q3 of last year , my utilization was below 78% i t was 77. 6%. This time my utilization is over 80%. So , there will be levers like this which will be available for us going forward.

Sandeep Shah: And last thing on the depreciation there has been absolute decline, so any one of in the EBITDA margin, EBIT margin apar t from provision for doubtful debts led through depreciation or any other items?

Sachin Zute: See, depreciation has been impacted due to multiple facilities which we have be en vacating across the globe includin g India and US. So, the impact of that can be seen over there. Apart from that, the amortization of earlier acquired subsidiaries is also having impact over there, b ut I don't foresee a significant change in that number in near future.

Moderator: Thank you. The next question is from the li ne of Nikhil Choudhary from Nuvama . Please go ahead.

Nikhil Choudhary: First question is on top accounts , while Man ish you mentioned that incremental PPP is coming from client mining, can you clarify is it coming from top five clients given we are seeing the contribution from top five continue to decline?

Manish Tandon: No, actually we are converting our lot of clients as we are moving up. T o answer your questi

on,
it's obvious that it is not coming from the top fiv e clients. The data shows that, b ut we are trying to move up the number of clients from bracket from less than 5 million to above 5 million , from less than 10 million to above 10 million a nd that is where we are seeing a lot of success.

Nikhil Choudhary: Second is regarding the margin I think on margin you continue to surprise and even in this quarter despite of reversal we have seen margin EBITDA margin close to 17% and we have seen some of the levers like offshoring utilization clearly playing out in la st few quarters.
So, is it fair to assume the current quarters EBITDA margin will be what we can look forward to in FY 25 and maybe next coming qua rter?

Sachin Zute : So, it's very difficult for me to talk for FY25 and going forward I think our guided band has been 14 to 16 because we think that that is a more sustainable range which we can work on going forward because we still want to create as we'v e been saying , we are working on few of the large deals which will have impact on the margins in short run.
Then obviously the enabling of the re-skilling of my delivery team is parallelly happening at the same time if you see my investments in S&M is also going up. So , this is the room which we have created to ensure that in long run it helps us to grow faster.

Moderator: Thank you. The next question is fr om the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Just to clarif y you mentioned 14% to 16% basically allows for lar ge deals that could ramp up. So, have we won anything that is likely to execute and thereby have an immediate impact on margin?

Manish Tandon: No, I don't think we can state anything or any large deal whi ch will have impact on the margin just now. You have to build in the capability to do large deals right and as we all know well that the large deals typically are not very margin accretive in the initial stages. So , we have created that cushion. We also wa nt to create some cushion to invest in sales and marketing and so on.
So, that is what we are trying to do.

Moderator: Thank you. We have the next question from the line of Vikas Ahuja from Antique Stock Broking . Please go ahead.

Vikas Ahuja: So, if I look at some of your peers their commentary has incrementally started turning positive and if I remember correctly in one of your interviews you have talked about demand continues

to remain a nd mega deals are occurring, but you are also seeing an equ al num ber of that being cancelled. So, anything changed for us in last one and half month s I mean things have incrementally tur ning positive for us?
Manish Tandon: As far as the macros are concerned , I don't think there has not been a material change in th e macros that we have been seeing ov er the last couple of quarters a nd I don't think it is materially going to change for the n ext two quarters a lso the overall macro.
Vikas Ahuja: And also, the other part regarding that mega deals you talked about that y ou have been seein g some cancellations on that side overall, anything has improved on that front as well?
Manish Tandon: No, actually what I was quoting was that for every two large deals getting signed , one existing deal is getting cance lled or something like that. So, that is what I had said, but we are at a stage where we have to first win some good amount of large deals and then hopefully w e can comment on cancellations, b ut what I was commenting on was what I had heard in the industry discussions.
Moderator: Thank you. The next question is from the line of Sandeep Shah from E quirus Securities Private Limited . Please go ahead.
Sandeep Shah: Manish you might have answered this, but for a consistent growth for Zensa r over the next three to five years , the three things might have to be addre

ssed. One is the large deal team formation which caters to the pipeline and converts the pipeline faster.
Second being the farming of the existing t op clients or target clients an d third being the hunting of must have clients on an ongoing basis a nd the fourth being having a required door openers or service capability in the portfolio across verticals.
So, can you throw light whether Zensar has addressed all these four in terms of restructuring and reorganization or still some of this is work in progress and when do you expect these to get addressed a nd we can actually grow in line with the industry?
Manish Tandon: All these things have been addressed. A re they perfect? The answer is no. There's always room for improvement. So, from a strategy perspective all th ese four items have been addressed a nd

we are seeing as I said we are seeing some green shoots , already our farming as I mentioned EN is the highest existing new deals is highest over the last few quarters which is a very encouraging sign and shows that farming is working.
We have opened 9 Net New logos. Quite a few of them are Fo rtune 500 companies overall. So, all those things are happening. It is n ot that they are not happening, b ut you cannot be binary that either they are not happenin g or happening perfectly, so it i s always a journey.
Moderator: Thank you. The next question is from the line of Ganesh Shetty an Individual Investor . Please go ahead.
Ganesh Shetty: Sir, are y ou looking for any acquisition b ecause we have got considerably cash and cash reserves and especially in Healthcare sector we are having less exposure, s o whether this sector can be scalable through acquisition?
Manish Tandon: Yes, we are looking at all avenues including acquisitions . Almost every week we look at a possible acquisition target and t he team is actively working on, b ut we'll n ot buy something just for the heck of it.
So, where we see a strategic fit and the right price, I have a fiduciary responsibility to the shareholders to conserv e cash and we continue to look, b ut we are not going to throw money at doing an acquisition if it's not worth it.
Ganesh Shetty: Sir my second question is regarding that Hi-Tech performance for last so many quarters. So , as we see no ray of hope in the near future, are we also planning to reduce some exposure like reducing our investment and deploying the resources in ever growing sector like BFSI and consumer, can you throw some light on this ?
Manish Tandon: We always keep looking at our portfolio and we don't do it at a sector level, but we actually do it at an account level, and we go and see where we want to invest, where we want to maintain and where we want to divest. So , we continue to do all three and we do it at an account level instead of trying to do it at a sector level.
Moderat or: Thank you. We have the next question from the line of Jalaj from Svan Investments. Please go ahead.
Jalaj: Could you touch upon the sudden degrowth or rather than both life sciences and Hi-Tech , is it all the complete impact is because of the furloughs or are there some client specific issues or some project related issues there?
Manish Tandon: No, a lot of impact is because of furloughs and there are some project cancellations also. So , projec t completions and not cancellation overall. So, both those issues are there.

Jalaj: And could you touch upon the nature of the PDD which you talked about 110 bp s in fact which
vertica l was it and some nature of to it color to it?
Sachin Zute : So, I won't be able to disclose i n which vertical it was and all, but what I can tell you that
according to the accounting norms beyond certain days if the collection is not happ ening , so, we
need to create a provisi on o

f the same in the books. So, according to our accounting policy we
had created that provision in earlier quarters . In Q3 that collection actually happened. So , with
the collection w e had to reverse the PDD and that's w here you are seeing 110 basis impact.
Manish Tandon: I just want to emphasize this is an ongoing thing there is nothing one time that we have done
something or anything. This is we are just following our ac counting policies and showing you
the impact that' s all.
Jalaj: Manish this would be for you maybe little long-term questions two, three years or five years
down the line what as per you are what are you seeing as a growth driver for the organization
and where are we moving maybe you could talk about some IG industry group level or a service
line how do you see the growth coming out more from a drivers perspective?
Manish Tandon: One of the repositioning that we have done i s along the lines of Experience, Engineering ,
Engagement. We are perhaps the only company of our size which can do these all three things
together and in sync with each other.
As more and more digital projects are getting done, i t is not about just experience or just
engineering or just engagement, but a combination of three and that is a unique value proposition
that is resonating really well in our client base, it is helping us differentiate in the market.
So, I am hoping and I'm seeing some green shoots there also that this overall strategy will get us
to the growth an d the top quartile performance t hat I'm looking at in the next three years.
Moderator: Thank you. The next question is from the line of Sandeep Shah from Equ irus Securities Private
Limited . Please go ahead.
Sandeep Shah: Manish o ne of the lead indicators for us to judge whether the strategy is running or not running
could be tracking the deal pipeline. So , can you throw some light in terms of how the deal
pipeline at the end of December looks like both on a QoQ and YoY basis, is it growing higher
than your expectation or it's not meeting your expectations?
Manish Tandon: Yes, the deal pipeline is stable to better than same time last year. So, that's about all I can say
because we do not disclose the numbers per say, but I can tell you that it's same or better as
compared to last year.
Moderator: Thank you. The next qu estion is from the line of Jalaj from Svan Investments . Please go ahead.

Jalaj: Mani sh with regards to the offering or the repositioning you talked about, could you specifically
touch upon the Healthcare vertical because I believe that in your previous role you have been
managing the same. So , could you talk a little about the repositioni ng of us as a Zensar as a
company and the industry trends there?
Manish Tandon: So, this is the second quarter since we have split out the Healthcare as a vertical , actually we
were doing close to 9% to 10% of our revenues was coming from Healthcare and the obvious
thing was that without focus this kind of revenue can be generated then with focus a lot more
can be generated and that you would have seen in the results of the other players in the indust ry
most of them have shown significant growth in Healthcare and life sciences.
So, we have spun it off or we have created a new vertical and we will continue to invest in getting
exceptional grow th in this particular vertical a nd yes, I will use my experi ence in th e industry
from the past.
Jalaj: So, from a service line offering or offerings we have right now in Healthcare , do you feel like
we are there or some more investment s need to be made there or an M&A would be required in
this vertical further?
Manish Tandon: Both M&A and investments , we are not there. As I said we have just started the vertical it's
barely two months old, three months old. So , we are hiring some excel lent peo

ple. We are
looking at M&A. I mean whatever it takes we want to do it because this is a pretty good vertical
to be in.
Jalaj: And some industry trends if you were to talk about maybe some micro payer segment, payee
segment whatever you see like the re?
Manish Tandon: So, payer segment is pretty saturated as far as I see it. I mean there is not too much scope for
new players . I would say t he innovation segment, which is med tech and life sciences, etc etera .
There we will see much more innovation is happening and innovation happens a gile companies
like ours who have a complete suite of offerings f rom experience to engagement s we tend to do
better. Provider space is very large, but again provider space is pretty focused o n onsite only
kind of deals. So, we will have to pick and choose w hat we will take and what we wi ll not take.

Moderator: Thank you. The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.
Devang Bhatt: So, apart from Healthcare any specific ar ea that you plan to do M& A, or you have identified any particular segments to do M&A?
Manish Tandon: Yeah, we have a complete M&A strategy in place and there is a corporate development team focused exclusively on M&A a nd we have fairly detailed strategy in place.

Devang Bhatt: And in terms of say generative AI . are you seeing some traction or in which segments are you seeing generative AI traction?
Manish Tandon: We are seeing a lot of traction, but prim arily in proof of concepts. Last time in one of the calls I had mentioned that we are doing close to 100 proof -of-concepts overall in the Gen AI space, but a lot of them are either revenues is small or we are doing it pro bono to get into win larger d eals using Gen AI space, b ut we are doing a lot in that area.
Devang Bhatt: And sir in terms of say segment wise maybe in medium term which segments are you seeing green shoots and which segments are you seeing headwinds I mean vertical wise?
Manish Tandon : Headwind is obvious Hi-Tech and rest of the things I said I have been doing pretty okay. So, that is pretty much the answer and basically we are in just four verticals we don't want to spread ourselves very thin. So, that is where those headwinds and tailwinds are and as I said even BFSI knock on wood we have seen growth where other competitors and other industry colleagues have seen negati ve growth.
Moderator: Thank you. Next question is from the line of Jalaj from Svan Investments . Please go ahead.
Jalaj: So, picking up your brains a little more on Healthcare . Do you guys expect that Healthcare would contribute to somewhere mid-teens or a higher level of the top line in the n ext two to three years?
Manish Tandon: Yes, obviously the hope is there that it will contribute disproportionately. I mean without creating a vertical it was contributing 9 %, 10%. So , if you're creating a vertical hopef ully it will give us that growth.
Jalaj: And one thi ng which you eluded upon and which your peers have been saying majority of them had a good quarter -on-quarter and YoY in Healthcare . So, some specific issues for us since YoY we had a huge de growth there on a small bas e also?
Manish Tandon: A particular completion of a few projects an d also some amount of furlough a nd companies who are seeing growth they are working primarily in the payer s egment where this is the open enrollment season this quarter. So, they see an uptick in revenue.
Moderator: Thank you. The next question is fr om the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Could you give us some color o n the deal wins that we have won in the quarter maybe by vertical where are you seeing t he more strength or even if you could gi ve a trend over the last three quarters w here h ave you seen the big

gest trend from a deal win perspective when you look at verticals?
Sachin Zute : So, Nitin we don't give the split of deal wins by vertical s, but what I can tell you is that…

Nitin Padmanabhan: Just qualitatively?
Sachin Zute : So, qualitatively if you look at obviously my order book is reflecting consistent im provement on a year -on-year basis. Last quarter we reported $194 .8 million, t his quarter we reported $167.5 million, which is on a YoY basis t here's a significant improvement if you see starting from Q1 itself. So, for last three quarters we had a pretty h ealthy order book which represents the deals and as Manish said especially in this quarter our existin g new portion of the deal wins h as been one of the highest in last maybe 10 quarters. So, I think that is the reflection of the farming which is happening across the vertical s except the Hi-Tech where we are seeing some headwinds.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference ove r to Mr. Manish Tandon for closing comments. Over to you, Sir.
Manish Tandon: Thank you all for joining this call which turned out to be a very important day in the history of this country and also holiday. I'm very grateful that you could join even on a holiday. Thank you very much.
Moderator: Thank you. On behalf of IDBI Capital that concludes this conference. Thank you all for joining us you may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

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Symbol: ZENSARTECH
Series: EQ

Subject: Q1 FY25 Results Earnings Call - Transcript

Dear Sir/Madam,
In continuation to our letter(s) dated July 23, 2024, please note that the transcript of the earnings call held on July 23, 2024 at 8:45 a.m. (IST) for Financial Results of the Company, for the quarter ended on June 30, 2024, has been made available on the website of the Company at
https://www.zensar.com/about/investors/investors-relation?result=Quarterly-Results#Investor-Corner

This is for your information and dissemination purpose.

Kindly take the same on record.

Thanking you,

Yours faithfully,
For Zensar Technologies Limited

Rajiv Mundhra
Authorized Signatory

Encl.: As above

“Zensar Technologies Limited
Q1 FY'2 5 Earnings Conference Call”
July 23, 202 4

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ZENSAR TECHNOLOGIES
LIMITED

MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER – ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA A. – CHIEF OPERATING OFFICER –
ZENSAR TECHNOLOGIES LIMITED
MR. NIMESH KHEMKA – GLOBAL FINANCIAL
CONTROLLER – ZENSAR TECHNOLOGIES LIMITED

MODERATOR : MR. AMIT CHANDRA – HDFC SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Zensar Technologies Limited Q1 FY '25 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to a sk questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conferenc e over to Mr. Amit Chandra from HDFC Securities. Thank you, and over to you, sir.

Amit Chandra: Thank you, Michelle. Good morning, everyone. On behalf of HDFC Securities, I welcome you all to the Zensar Technologies' Q1 FY '25 Earnings Call . We have with u s Mr. Manish Tandon, CEO and Managing Director , and few other members of the Senior Management Team.

Before I hand over the call to Manish, I would like to highlight that the safe harbor statement of this second slide of the earnings presentation is assum ed to be read and understood. Thank you and over to you Manish.

Manish Tandon: Thank you, Amit.

Hello, Good morning, Good afternoon, Good evening, everyone. First of all, thank you for joining the call today on the Budget announcement day. I appreciate your energy and interest in Zensar. With me on this call are a few of my colleagues, Vijayasimha, Chief Operating Officer; Vivek Ranjan, Chief HR Officer; and Ni mesh Khemka, Global Financial Controller.

Client centricity has been a core tenet for us at Zensar. Our highest -ever Customer Survey score in FY '24 shows that we have made significant progress in establishing ourselves as strategic partners of choice amon gst our clients. We have started FY '25 with green shoots across key parameters and have witnessed good momentum across our portfolio.

Our employee happiness score has been at an all -time high of 84% for the last two consecutive years. Average Annual Variable payout was 100% for FY '24. Effective July 1, we have announced the annual salary hike for all our employees as per schedule, unlike some of our industry peers. LTM attrition further improved to 10.6% from a very low of 10.9% last quarter.

With our EEE proposition and our domain -led approach, we have enabled our clients to achieve their transformation goals. We continuously enhance our service offerings to meet the evolving needs of our clients with tailored solutions.

As a part of our strategic invest ments, we are pleased to announce that Zensar will acquire BridgeView Life Sciences, a Pennsylvania -based technology and consulting solutions company in Life Science s industry, specializing in pharmaceutical commercial segment. This move reinforces our foc us on the Healthcare and Life Sciences vertical and bolsters our end -to-end pharmaceutical commercial quality and regulatory capabilit ies.

For Q1 FY '25, our revenue stood at $154.4 million, which is a sequential quarter -on-quarter growth of 4.2% in reported currency and 4.3% in constant currency.

For the second consecutive quarter, we have registered sequential Q -o-Q growth across all our verticals. In constant currency terms, on a Q -o-Q basis, our revenue in Healthcare grew by 6.9% Banking and Financial Services had a growth of 6.8%. Manufacturing and Consumer Services grew by 2.7%, and even TMT, Telecom, Media and Technology, grew by 1.2%.

With that, I will now invite Nimesh, our Global Finance Controller, to provide an update on the critical financial data. Nimesh?

Nimesh Khemka: Thank you, Manish. Good day, everyone, and thank you for joining this call. In addition to Manish talking about the business, I'll be taking you through some of the key financial metrics for the quarter ending June '24.

The reported revenue for the

first quarter of financial year '25 is $154.4 million in U.S. dollar
terms, reflecting a growth of 4.2% sequentially. In constant currency terms, the revenue grew by 4.3% sequentially.

The gross margin for the quarter stood at 30.4%, a drop of 20 basis points quarter -on-quarter basis. The decline was primarily due to increase in operational costs including travel , visa, licenses impacting margins by 150 basis points, which was offset by the exchange benefit of 20 basis points, increase in utilization and volume positively impacted the margin by 40 basis points and onetime benefit of 70 basis points on account of the R&D c redit received during the quarter.

SG&A has increased by 110 basis points on a quarter -on-quarter basis, primarily on account of a provision created for doubtful debts for one of our customers who had filed bankruptcy under Chapter 11.

We exited Q1 FY '25 EBITDA at 15.2%, which is in line with our given range of mid -teens. Our PAT stood at 12.3%. Order book for the quarter stood at 154 million.

Cash and cash equivalents increased further by $19.2 million to $280.9 million, and DSOs impro ved by 1 day to 72 days on account of healthy collection contributing to overall financial health and operational agility of the company.

With that, I now invite Vijayasimha, Chief Operating Officer, to comment further on Q1 FY '25 results.

Vijayasimha A. : Thank you, Manish and Nimesh. Greetings, everyone. I will share details about our operational efficacy, service line performance and capability enrichment initiatives.

We are continuing our journey on the operational excellence and making good progress. Our utilization improved by 20 basis points sequentially and 140 basis points year -on-year. The rigor associated with accelerated fulfilment and capability enrichment continued in Q1. We had a gross addition of 855 employees in the quarter. Our overall he ad count increased by 47 compared to Q4 of FY '24. As described by Manish, our voluntary attrition reduced to 10.6%.

Service lines, the offering from our Service Lines and industry services groups continue to resonate well with our clients. The share of re venue from our Service Lines, that is Advanced

Engineering Services, Data Engineering and Analytics, Experience Services, Cloud and Infrastructure Services increased to 53.2% in Q1 of FY '25, which is 100 basis points higher sequentially.

On a quarter -on-quarter basis, in reported terms, Data Engineering and Analytics grew by 17.9%. Advanced Engineering Services grew by 9.3%. Cloud Infrastructure and Security, which was previously called as Foundation Services, grew by 4 .0%. Application Services and Enterprise Applications grew by 2 .0%. Experience Services revenue dipped by 3.1% coming off a stellar previous quarter growth of 9.1%.

On the capability e nrichment front, we are continuing to build upon the strong outcomes of FY '24. Our talent transformation effort is focused on accelerating the shift towards T and Pi shaped skills through gamified learning events developed by our Service Line Academies. W e deepened our focus on Healthcare, BFSI and MCS domains by expanding multilevel domain training and certifications.

Partnerships with key technology providers have been instrumental in delivering cutting -edge certifications and collaborative learning experiences in AI, GenAI, Data Engineering and Cloud.

Our continued innovations in AI/GenAI have enabled us to deliver significant benefit to our clients. We are helping clients build a robust cognitive infrastructure and collaborating with them to effectively leverage our innovative AI solutions like Engineering Buddy, Data Buddy, Business Avatars , Responsible AI framework, etcetera to deploy secure, scalable, and sustainable solutions for their micro -vertical level business challenges.

With that, I hand it back to Manis

h.

Manish Tandon: Thanks, Vijay a nd Nimesh.

The macroeconomic situation, along with geopolitical threats and cybersecurity challenges continues to make the environment volatile. We expect the markets to remain unchanged in FY '25. Our strategic focus and investments in key areas have hel ped us drive resilience across our business. While concentrating on growth trajectory, we are constantly working on to develop the skills and resources necessary to support our clients in reaching their objectives.

With that, we can open the line for quest ions.

Moderator: First question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: Congrats on a strong quarter. Manish, I had a few questions -- you did mention that the environment remains unchanged and can be volatile. The current q uarter, the deal wins have been relatively flattish year -on-year and the book -to-bill is 1. And I think as an outsider, basically, what we have seen is there's a reasonable correlation between the wins and the revenue generation in the following quarters.

So just wanted your thoughts there in terms of is there a reasonable backlog that could help in the near term? And two, how is the pipeline looking? And does that sort of give confidence? And also, from a large deal in the pipeline, how does that look?

Manish Tandon: All right. So, Nitin, first of all, we are very happy with the order bookings that we had this quarter. If you compare it to the same quarter -- this is a seasonal number. And if you compare it to the same quarter last year, it is almost flat, which is a good sign becau se, I think, last Q2, we delivered some decent results. So hopefully, we'll be able to do something equivalent this time also based on order book.
And again, from a pipeline perspective, the pipeline is okay. There is a lag in order booking because, last q uarter, we did $180 million or so in order books. So, some of that is already there.
With that said, Q2, I think we have not seen the full impact of this cybersecurity outage. In the past, when this has happened, some of the dollars allocated towards proje ct suddenly g ot diverted towards more cybersecurity. That is one.
And the second thing is that we are seeing some furloughs in the tech sector, which are happening in this quarter, which is the first time that it has happened in the last few years that I know of. So, there is momentum definitely, but there are also headwinds. So we are cautiously optimistic about Q 2 based on our order bookings, based on our pipeline and based on what we are seeing in the market.
I know you have not asked about the margin, but I'm sure that the next question is going to be on the margin. So, I just want to make clear that the 15.2% EBITDA margin has an one -timer of 1.1%. And hence, the effective normalized margin should be 16.3%EBITDA margin. This is because of Chapter 11 re organization filed by one of our clients. And in line with prudent accounting, we have taken the entire receivables of that client and put them -- provided for them, although there is a reasonably good chance of some recovery. So effectively, the normalize d margin of this quarter is also 16.3% instead of the reported 15.2%.
Nitin Padmanabhan: Great. Just a follow -up on the margin, right, so when you look at it , going forward I think this quarter, we also had some reasonable on -site shift. And do you think t hat sort of files in the second half of the year? Do you think there are some offshore shift s in the second half? Second is, from a wage increase perspective, what do you think would be the broad kind of impact? And finally, on the travel and visa and lice nses, which is the 150-bps impact, how much of that is sort of nonrecurring? If you could just isolate that portion out, will be helpful.
Manish Tandon: Vijay, you want to answer?
Vijayasimha A.: Ye

s. I think the wage increase, as Manish said, we have given, I think, industry -level wage increase. That is likely to have a $3 million impact on a quarterly basis going forward. But we are ta lking, perhaps, in terms of operational efficacies like pyramid optimization and so on and so forth to, like, help min imize the impact of the wage increase.
With regards to your question around visa, travel as well as licenses. Licenses is going to be recurring, whereas visa and travel are one -timers that we saw in Q1. And I think the third point was around on -site ratio. While the on -site mix, in terms of revenue, increased by 1.4%, the effort mix only increased by about 0.4%. We think that it will be in that range. It ’s a small range. Depending on the type of projects, there ’ll always be a 0.5% here and there that will happen. So those are the 3 factors that did impact the operating margins in Q1.

Nitin Padmanabhan: Sure. The visa and travel, what would be the one -timer, if you could just quantify?
Vijayasimha A.: I mean, we have some travel for whatever, projects starting and stuff like that. So those things were why it increased a little bit.
Nitin Padmanabhan: Yes. I'm just trying to figure out the tailwind from that in the following quarter. That's all.
Vijayasi mha A.: No, I think it's too small to, like, talk about a tailwind from that.
Moderator: The next question is from the line of Nikhil Choudhary from Nuvama.
Nikhil Choudhary : My first question is regarding the furloughs. Manish, what you highlighted, it's relatively usual to see furloughs in this quarter. So can you highlight any particular vertical or geo you are seeing this kind of furloughs .
Manish Tandon: These furloughs usually happens in TMT as a vertical, which is telecom, media and technology. So that is the vertical where it is happening.
Nikhil Choudhary : And any quantification, Manish, if possible?
Manish Tandon: No, we wouldn't like to comment on the quantification.

Nikhil Choudhary : Got it. Moving on to the Chapter 11, which on e of the clients had filed, how much will be the impact on receivables, the write -off?
Manish Tandon: Receivable was -- the write -off was $1.7 million, 1.75 million, right?
Vijayasimha A.: Yes, yes.
Manish Tandon: $1.75 million, which translates to about 1 .1% in margin dilution because of that. So that's our impact . The normalized EBITDA margin should be around 16.3%.
Nikhil Choudhary : And just one follow -up, Manish. Generally, when this kind of event happened, companies continue to serve the client for som e period till they reach some agreement. So, is it fair to assume even in next quarter, you will have impact from this client?
Manish Tandon: No. As per Chapter 11 norms, whatever you do after the bankruptcy is filed, those receivables are covered by the bankruptcy financing laws. And we are also one of the -- we have also positioned ourselves as one of the key creditors or strategically important critical vendors, so we have a better chance of receiving .
I hope it was not another Crowdstrike incident. But we were discussing bankruptcy. And see, first of all, this is a small client, about $300 k per month of billing or so. And what I was trying to tell you is that the receivables that we have post -bankruptcy filing, the work that we do post - bankruptcy filing, as per the bankruptcy laws of the U.S., they have to be paid.
And there is bankruptcy fi nancing arranged for that by the client, and we will get paid for that.
Anything that was before that, which is that $1.75 million or so that we are talking about, has

been already provided for in the books. So, there is no further risk associated with thi s as far as shareholders are concerned.
Moderator: The next question is from the line of Manik Taneja

from Axis Capital.
Manik Taneja: Manish, just wanted to understand this comment around furloughs in the High-Tech vertical. If you could elaborate in term s of what's driving this. I presume this is largely true within the top customer. And how should we be thinking about our earlier thought process about seeing sequential revenue growth every single quarter through FY '25 in the backdrop of some of these challenges? And the second question was with regards to margins while you alluded to the onetime impact in the current quarter. How should we be thinking about -- some of our operating levers…
Manish Tandon: So first...
Manik Taneja: Sorry, there are some background noises . So, I was just requesting to understand about your margin outlook for the year.
Manish Tandon: Yes, margin outlook for the year remains unchanged as before. We have said mid -teen EBITDA margins. We are still there i n that range, and we will continue to maintain that outlook, number one. Number two was your point about furloughs. I do not comment on individual clients. So there are furloughs in the TMT sector. You are free to gauge whatever you want to gauge from it, number two.
Number three was growth quarter -on-quarter irrespective of this, I mean, that's what I get paid for. But we are committed to making sure that we deliver. Irrespective of the environment, we continue to deliver growth quarter -on-quarter to our i nvestors. And until now, since we have been there as this new management team, we have delivered growth every quarter, except for Q3 of last year.
Moderator: The next question is from the line of Chirag Shah from White Pine Investment Managers.
Chirag Shah : Just one small follow -up on this after -revenue provision that you made in your P& L. One, you said that the revenue account was $300 K annual, right?
Manish Tandon: Per month.
Chirag Shah: Per month. Okay. Sir, my question is can you talk a bit about what is the size or a broader indication of what kind of customer that was, one and what is the tail risk that we have if the U.S. cycle turns for -- not turns around on the negative side. What is the tail risk we have for the smaller accounts that we have? If you can just speak about these, it would be helpful.
Manish Tandon: So, first of all, we don't want to comment on the sector or the client. It'll be inappropriate for us, number one. Number two is you talked about tail risk. As you see, our DSO is the best that it has been in the last 10 years, okay? And our provisioning policies remain very robust. So, there is no -- I mean, look, 1 or 2 clients might go under sometimes as a part of creativ e destruction

of capitalism. You will continue to see growth -- clients growing, clients falling off the way.

And as your management team, it's our responsibility to manage it.
We are trying to manage it. We will manage it in a relatively efficient and ris k-free fashion for our shareholders. And as I said, the best way of looking at it is in terms of DSOs, and our DSO is best in class or best for us in the last 10 years. So , our quality of revenue is solid.
Chirag Shah: Okay. So just to clarify on this thin g. We are seeing that we don't have many smaller accounts, which could be vulnerable. That is the way to understand. There could be one of ways I understand -- I'm not even denying that it's an important part of business, but there is no major tail risk as such, where every quarter or once a quarter for -- we may have -- once a year, we may have to make this kind of provisions or bigger provisions. That is the way to understand, correct?
Manish Tandon: I have been here for 6 quarters now. This is the first time that we are making provision and that also 1.1% of revenues.
Chirag Shah: Yes, sir. The quantum is very small, I agree. I'm not even debating that. I'm just trying to understand ou

r customer profiling because, most of the time, we focus on top 10, top 15, maybe top 20, 30 customers. We don't talk about the Tail, which could be aggregate level, 8%, 10% of revenue, 15% of revenue.
Manish Tandon: The Tail risk, from my perspective, see, there are Tail accounts. The first question to ask as a service provi der are the Tail accounts because of us or because of the client. So, there are lots of logos in the Tail accounts, which we have not been able to farm effectively. And the focus there is to farm them.
There are tail accounts where we don't see too much potential, so we restrict our commitments to those accounts in order to maintain our basic servicing. So, you have to look at it at a portfolio level. From a financial perspective, as I said, we have very , very conservative provisioning policies. And I don't see much risk in terms of...
Moderator: The next question is from Sandeep Shah from Equirus Securities.
Sandeep Shah: Manish, in the last Analyst Meet, you said you are aspiring to add a large deal acr oss just the vertical segment where we operate. So , any update on that? And what are the prospects of improving traction on the large deals in FY 2025?
Manish Tandon: Only 1 quarter -- Sandeep, only 1 quarter is over in the FY '25. So, we are still gunning for it. There are a few in the pipeline. And hopefully, we should be able to convert 1 or 2 of them.
Sandeep Shah: Yes. So , what I meant is do you believe the pipeline creation and the growth on the large deals is increasing because of the efforts and the focus?
Manish Tandon: Yes, of course. I mean, as -- like any good operating team, you have to keep looking at the data and looking at -- to see if there are -- if whatever you're doing is making sense and having an

impact. And we definitely see the impact -- the positive impact on our pipeline as far as large deals are concerned.
Sandeep Shah: Okay. And sir, based on the revenue run rate of the bankrupt account, it looks like it's 0.6% to the top line. And there would be also furlough in the TMT in the Q2. So is it fair to assume this, too, could be a headwind on the growth in the Q on a Q -on-Q basis, despite that, you are saying we are cautiously optimistic? So, do you believe a 4% growth scenario can be maintained? Or there would be headwind and those momentum may not be maintained because of these headwinds?
Manish Tandon : Sandeep, I wish I could answer your question. I have asked the Board that we should be ab le to give guidance in quarters , with that analyst calls will be shorter but there's still -- the Board is deliberating on it. But yes, I mean, it's my job to tell you that -- what the headwinds are and what the tailwinds are. And that's what we are trying to do there, and you can make your own assessment.
Sandeep Shah: Okay. But this bankruptcy account could have a tailwind on the growth in the Q2, right?
Manish Tandon: Bankruptcy, whatever was a tailwind of ours is already gone. We already had renegotiated the contract. So, this was baked into our numbers. And as I said, whatever we are going to bill post -bankruptcy filing, which was July 7, I think, from July 8, that is , anyway, going to come to -- will get paid on priority. So, there is no headwind per se , whatever is the headwind was in terms of a receivables and that we have provided for already.
Sandeep Shah: Okay. Okay. And Manish, with furloughs being there in the Q2, is it fair to assume this time, Q3 could be slightly better? Or there will also be a seasonal softness in Q3 because of furloughs continuing in Q3 over the year?
Manish Tandon: So, the fundamental nature of the industry has not changed, Sandeep. Q3 has been furlough for the industry for very long, and I don't see that changing in a hurry.
Sandeep Shah: Okay. And last question, in terms of second quarter, we have c

alled out $3 millio n worth of
wage hike impact. That would be roughly 180, 200 bps to the margin. Is it fair to assume most of it could be compensated? Or we believe flattish margin is the best-case scenario? Or a base case scenario?

Manish Tandon: That's a 3-billion -dollar question. We are working every day to mitigate the impact of the wage hikes. We are taking lots of actions. And there's a whole bunch of actions like permanent optimization, the on -site offshore ratio , all sorts of things are there. And we are working on making sure that, that is mitigated to the extent possible.

Moderator: The next question is from Amit Chandra from HDFC Securities.

Amit Chandra: So, my question is on the BFSI vertical, obviously, we have seen a strong recovery there. So, if you can throw some more colour what is happening there. Are you seeing some increase in the discretionary spend there? Or is it more structural? Or is it more due to some shorter -term projects there?

Manish Tandon: So, Amit, BFSI vertical, for us, has been relatively strong throughout, and our underperformance has been primarily due to the TMT vertical. So, over the period, if you look at -- over the last few quarters, every time, in BFSI, there has been a positive mome ntum. And this quarter, it is showing up very well, but that momentum has continued to build for us, and this sector has done well for us. Regarding your question on is it onetime projects or is it going to continue, well, I hope it is going to continue be cause even where we are doing projects, we have larger projects, which we don't see ending quickly.

Amit Chandra: Okay. And sir, we have been investing in the Healthcare and Life Sciences vertical, so we have also seen a strong recovery there in terms of g rowth. So, if you can throw some more colour on the acquisitions that we have done in terms of the BrdigeView health care, which is in the Healthcare consulting space. So, what kind of synergies will we see there? And what are the earnout targets there?

Manish Tandon: So, Amit, financially, whatever we had to communicate on the acquisition, we have communicated in the filings. But the Strategic rationale, I can spend a little bit of time to explain that. See, first of all, as you know, we started the Health care and Life Sciences vertical in Q2 or Q3 of last year 2024, so one-way was to look at small tuck -in acquisitions in the right area, so we actually created a Go-to-market strategy.

We figured out that this is the space that we want to go after, which offers quick returns, and it's more strategic. And so, we zeroed in on BridgeView Life Sciences. And in the charter, it might have been lost, but this is basically we are going after Pharma Commercial area, and this is Veeva related.

And as you know, those who follow this industry, that Veeva has decided to move away from Sales Force, and we expect a lot of work to be happening on these movements, both in Sales Force and in Veeva. So that is the Strategic rationale for doing this acquisition. We are getting some very good talent with it. We just had our first town hall with the BridgeView Life Sciences team. They are very excited about joining us, and we are also very excited about having them as a part of our team.

Amit Chandra: Okay. And now if you can comment on the Africa as a geography because it has been weak for 4-5 quarters now. So how do you see that geography? Is it still strategic to us? Or we are trying to...

Manish Tandon: South Africa is a strategic geography for us, and it has not been -- see, the problem there, it has not been weak for us. In fact, actually the volume growth in that geography has been very good and constant currency growth has been good. It is just that the rand has declined by 10% or so from $16 to I think $18 -point -something, and that gets reflected -- that does

not show up in the
numbers.

But South Africa is doing very well for us from an organic growth perspective. We have the who's who of that countr y as our client, and this is one country that Zensar actually has a larger presence than most of its Indian , larger peers also. So , it's a very strategic industry for us, and we will continue to invest in it, and we will continue to invest for growth.

Amit Chandra: Okay, sir. And on the furloughs that you mentioned, obviously, we are seeing for the very first time. But in this quarter, we had the full quarter impact of furlough? Or we'll see the full quarter impact in the next quarter, specifically furlough s?

Manish Tandon: Furlough is about -- mostly it varies from 1 week to 2 weeks based on listing and it happened in

July. So , you have not seen the furlough impact in this quarter.
Amit Chandra: Okay. And in terms of the hiring plans, how do you see that in -- like we are running at 84% kind of utilization and what are the hiring plans? How many freshers do you want to hire in this year?
Manish Tandon: This is the first time that the actual net head count has increased.
Vijayasimha A : Second quarter in a row .
Manish Tandon: Second quarter in a row that the net head count has increased. So , we are being -- first of all, I mean, when you see utilization of 84%, we have to give credit to the C OO and the delivery teams and this thing, that they are -- it's not ju st about hiring. It is about cross training so that we can utilize the people that we have already. It is one of the most people -friendly policies that we have as a company.
We invest a lot in training, cross -training of our people so that we can re -deploy those people first rather than trying to hire new people from the market. And wherever possible, we are looking at onboarding freshers I think we onboarded about 50 last quarter, and we will onboard maybe 100 or so in this quarter also.
Moderator: The next question is from Nitin Padmanabhan from Investec.
Nitin Padmanabhan: Manish, from the other verticals, which is, I think, TMT, Manufacturing, Consumer, how has the cross -sell sort of initiatives sort of helped so far? And how is that do ne? So that's one part.
And I think the very fact that you are even thinking of our guidance means and this not -- that has improved structurally, which was in the case earlier. So, thanks for that. But just some thoughts on these 2 verticals on the cross -sell and the pipeline and all of that would be helpful.
Manish Tandon: So, in MCS, most of the -- in fact, growth, as you remember what Vijay said, growth has been coming primarily from cross -sell only. And that is reflected that in our TAM, in our Service Lines. Between Q4 and Q1, we have a 100-basis point increase in revenues on service line, right? What used to be 52%, 53% is now, whatever, 53%, 54%. And that itself is an indication that the cross -selling mechanism is working well.
The other mechanism th at we also track is account planning and to see how we are using our Service Lines to penetrate accounts, and I'm happy to report that those are also doing that.
Nitin Padmanabhan: Sure. Perfect. And just one last question. On BridgeView, any thoughts on h ow margins are versus the rest of the company?
Manish Tandon: It'll not to be margin dilutive or EPS dilutive this year is all I can say.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Yes, sir. Just a question, Manish. I think, earlier, you indicated that this year, we aspire to be in line with the industry growth. And next year, we can be in the leaders' quadrant in terms of the growth rates. So looking at the current macro environment, do you believe we are on track for this? Or anything else you woul

d like to highlight, which will take us in that growth path?
Manish Tandon: Sandeep, you are best positioned to answer that question. Yes, all the quarterly results are coming this year, this quarter. Almo st everyone is through. And you know our quarterly number, the quarterly number of the industry. So, you are in the best position to think and comment on it. We are committed to making things happen, which are in line with what we have promised to the mark et.
Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadiya : So, Manish, I have 2 questions with respect to Telecom and BFS vertical. So how do we see, for the next 3 remaining quarters of the fiscal? And what sort of discussion going on for these 2 verticals?
Manish Tandon: We are very positive about all our verticals. So , as I said, we are seeing -- this is the second quarter in a row where all our verticals have shown sequential growth. And we are hoping that we will continue to maintain that momentum going forward.
Chirag Kachhadiya : Any pecking order, like, which verticals do that, like, who do well in incomi ng quarters, and you have more expectations from one of them ?
Manish Tandon: All these verticals are like my kids. So happy with success of each one of them. There's no favourite amongst them.
Moderator: Ladies and gentlemen, that was the last question for today. I would now hand the conference over to Mr. Manish Tandon, Chief Executive Director and Managing Director for closing comments. Over to you, sir.
Manish Tandon: Thank you. And first of all, as I said before, today is budget day. This is a very smal l event in -- compared to what big event is going to happen today. So, appreciate your interest in attending this call with us. As the management team, we remain committed to making things work for our shareholders and look forward to talking to you again next quarter. Thank you very much.
Moderator: Thank you, members of the management. On behalf of HDFC Securities, that concludes this

conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

(no extractable text — likely a scanned image PDF)

Call: Jun 2025

(no extractable text — likely a scanned image PDF)

Call: Jul 2025

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July 28, 2025

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Scrip Code: 504067 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai 400 051

Symbol: ZENSARTECH

Sub: Q1FY26 Results - Earnings Call Transcript

Dear Sir/Madam,

In continuation to our letter dated July 15, 2025 , please note that the transcript of the earnings call held on Tuesday , July 22, 2025, at 4:30 P.M. (IST) w.r.t discussion on the Financial Results of the Company for the quarter ended June 30 , 2025, has been made available on the website of the Company at https://www.zensar.com/about/investors/investors -relation#Investor -Corner

This is for your information and dissemination purpose.

Kindly take the same on record.

Thanking you,

Yours sincerely,
For Zensar Technologies Limited

Anand Daga
Company Secretary

"Zensar Technologies Limited Q1 FY '26 Earnings
Conference Call"

July 2 2, 2025

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER , ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER , ZENSAR TECHNOLOGIES
LIMITED
MR. PULKIT BHANDARI – CHIEF FINANCIAL OFFICER ,
ZENSAR TECHNOLOGIES LIMITED
MODERATOR : MS. SHRADHA AGRAWAL – ASIAN MARKETS
SECURITIES PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Zensar Technologies Q1 FY '2 6 Earnings Conference Call hosted by Asian Markets Securities Private Limited .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Shradha Agrawal from Asian Markets Securities . Thank you, and over to you, ma'am .

Shradha Agrawal: Thank you, Huda. Good evening, everyone. On behalf of Asian Market s Securities, I welcome you all to Zensar Technologies Q1 FY '2 6 Earnings Call.

We have with us today from Zensar Management Team, Mr. Manish Tandon – CEO and Managing Director, Mr. Pulkit Bhandari – Chief Financial Officer and few other members of the Senior Management Team .

Before I hand over the call to Manish, I would like to highlight that the Safe Harbor Statement on the 2nd slide of the earnings presentation is assumed to be read and understood. Over to you, sir. Thank you.

Manish Tandon: Thank you, Shradha . And hello, good morning, good afternoon, good evening, everyone. Thank you all for taking the time to join us today to discuss Zensar's Financial Results for the 1st Quarter of FY '2 6.

Pleased to have with me senior members of my Management Team :

- Pulkit – our CFO
- Vijayasimha – our COO, and
- Vivek Ranjan – our CHRO.

This quarter, we proved what's possible when trusted relationships meet strong execution. Artificial intelligence has become central to our strategy , driving 30% of our active pipeline and reshaping how we deliver value. With over half of our talent now upskilled in AI and Gen AI, we are not just adopting to change . We are engineering it.

In addition, 20% of our order booking consists of AI -influenced wins. Some of you may have noticed it already, but all wins and case studies in our releases this quarter showcase what we have done using AI.

For Q1 FY '26 , Zensar reported revenues of $162 million, a sequential Q-O-Q growth of 3.3% in reported currency and 1.9% in constant currency. On a Q-O-Q constant currency basis,

revenue rose 5.5% in Telecom munication , Media & Technology. 2.9% in BFSI, 5.2% in Healthcare , while Manufacturing & Consumer Services declined by 4.1%.

Effective July 1 st, we have announced the salary hikes for all our employees as per schedule, unlike some of our industry peers. Our LTM attrition further improved to 9.8% from 9.9% in the last quarter. Our gross profit stood at 30.5%, sequential growth of 20 bps Q -on-Q and order book remains healthy.

We saw continued resilience in our key accounts and a healthy pipeline of AI -driven deals fueled by our ongoing investments in emerging technologies. Looking ahead, while we anticipate some macro -driven variability in client budgets, our diversified portfo lio and focus on high -value offerings positions us well for sustained momentum.

With that, I will now request Pulkit to provide an update on critical financial data.

Pulkit Bhandari: Thank you, Manish. Good day, everyone. Thank you all for joining this call.

I will take you through some of the key "Business and Financial Metrics " for the quarter ending June '25 :

Overall, macro environment remains challenging with growth slowing in both U.S. and Europe, along with business capital expenditure showing only marginal improvement. We are seeing CIOs pausing on net new spending due to macroeconomic uncertainties.
However, GenAI remains in demand . 62% of CEOs and senior executive identified AI as defining the future of competition for the next 1

0 years. We are committed to fostering
sustainable relationships with our clients by leveraging robust farming strategies, enhanced with AI-driven value proposition s and cost takeout deals.
The reported revenue for the 1st Quarter of Financial Year '26 stood at $162 million in U.S. dollar terms, reflecting a growth of 3.3% sequentially in reported terms and 1.9% in constant currency terms.
Our EBITDA this quarter stood at 15.2%, a drop of 40 basis points quarter -on-quarter. Decline was majorly due to :
• Investment in sales and marketing , and
• Increase in travel and other spends.
Our PAT for the quarter stood at 13.1%.
Some other key highlights :
• Quarter -on-quarter growth in all key service lines

• Added order book of $172 million in this quarter, which is 11.7% growth Y -o-Y. Average tenure of our order book is increasing with more complex and high -quality engagements, including managed services.
• Cash, including investments, stood at $315.7 million
• DSOs improved by 1 day sequentially and stood at 72 days.
On ESG front :
• We have successfully completed reasonable assurance audit for BRSR, core and limited assurance for selected GRI parameters for FY24 -25 for the first time and submitted the same core assurance report on stock exchange.
• Our CDP score for 2024 has been revised from C (Awareness) to B (Management) level post score appeal.
With that, I will now invite Vijay – our Chief Operating Officer, to comment further on Q1 FY '26 results.
Vijayasimha Alilughatta: Thank you, Manish and Pulkit. Greetings, everyone.
I will share details about our “Operational Efficacy, Service Line Performance and AI Journey ”:
Our utilization for the quarter stood at 84.3%, which is 40 basis points higher year -on-year. The rigor associated with accelerated fulfillment and capability enrichment continued in Q1 FY '26.
We had a gross addition of 728 employees this quarter. Our voluntary attrition reduced to 9.8%, which is 10 basis points reduction sequentially and a Y -o-Y reduction of 8 0 basis points.
Service Lines :
• We have reorganized some of our service lines to deliver additional value to our clients.
Our Advanced Engineering Services, Experience and Engagement Services practice have now been reorganized into Products & Platforms, including CMO services.
• The share of revenue from our service lines increased to 68.9% in Q1 FY '26, which is 170 basis points higher quarter -on-quarter and 380 basis points higher year -on-year.
• On a quarter -on-quarter basis :
o Products & Platforms, including CMO Services, grew by 10.1%.
o Cloud Infrastructure and Security Services grew by 5.2% .
o Data Engineering and Analytics grew by 2.5%.
o Enterprise Application Services grew by 1.3%.
On the AI Journey :
We launched ZenseAI, our GenAI accelerator platform. Our clients have been extremely appreciative of the key features of this platform, namely Connected intelligence, multi -modal search and enterprise -grade agent ic AI models.

ZenseAI increases engineering velocity , enhances value realization and legacy modernization programs and help s optimize AMS and IT operations cost . Underpinned by a solid responsible AI framework, prompt guards and agent observability engines, this platform ensures transparency and helps democratize AI.
We continue to deliver significant value to our clients in key AI engagements. A couple of examples :

• We partnered with a leading global fintech company to develop a GenAI -powered solution that helps customers identify a wide range of suitable investment opportunities by aggregating data from multiple stock exchanges and financial data sources.
• The innovative use of model context protocol enabled implementation of streamlined workflows and unlock smarter decision -making in t

he retail operations space.
Leveraging this , a South African retail er has been able to reduce manual efforts by 65%.
In Q1, we significantly accelerated our AI capability building initiatives by enhancing our Ignite AI Academy learning programs across Foundational, Deep Tech, Techno -Functional and Thought Leadership dimensions. The enhance program s have received highly positive feedback from our clients and are driving meaningful outcomes. GenAI capability enrichment has now been made mandatory in every employee's annual learning and development plan.
With that, we can now open the line for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the li ne of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Hi, good evening. Congrats on the quarter. It is nice to see good growth in most vertical, especially TMT. Do you believe the headwinds on TMT are largely behind us? So , that is the first one. The second is just your thoughts on MCS considering we have had two relatively softer quarters, how do you see that going forward? And I have a few more.
Manish Tandon: Hi, Nitin , thanks for the question , and thanks for your message on the results. Yes, we are very pleased with the results based on what we are seeing in the industry. I would say on TMT, again, I think the worst is behind us, but will there be consistent growth ? I am not sure at this stage because as we see every day, some of the larger players are announcing layoffs and so on. So, I would say the wor st is behind us, but will we see consistent growth ? I am not sure at this stage.
On MCS, we were coming off a very strong Q3 of last year. And hence, it has been slightly muted. Also, the impact of the Liberation Day is felt much more on Manufacturing and retail sector than in others because this is the first order impact, so to say, on these sectors. And hence, we are seeing a little bit of impact there. With that said, I think we should see growth in MCS in Q2 is what we are projecting.

Nitin Padmanabhan: So, from a pipeline perspective, do you think it still looks good? And do you think it sort of get back s to that $200 million kind of a range that we have had in the past? Or does that look challenging at the moment?
Manish Tandon: Yes, see , again, it's the uncertainty in the market that will ultimately reflect in the pipeline. And also, there is a seasonality associated with the pipeline . So, that's why when we do pipeline comparison and order bookin g comparison, we try and do it with the same quarter of last year.
And there, we have grown about 12% or so, which is a good sign. Hopefully, we will continue to see growth in order bookings and in pipeline year -over-year in subsequent quarters also. But the uncertainty is definitely having an impact.
Nitin Padmanabhan: Just one last question for Pulkit. Pulkit, how should we think about margins on a going -forward basis considering the sub -cost and other things?
Pulkit Bhandari: So, I think one of the costs which is going to play out next quarter is definitely going to be ASR.
As Manish called out, that we are probably amongst a few companies which have done the salary hikes across the organization and which is a very reasonable hike, I would say , that we have taken up . So, to that extent, there willbe an impact on margin
Again , on the ESOP side, it is still outstanding. The scheme is out there for consideration. And as and when basically that comes into play, that will have some impact on margins next quarter.
So, I would urge and request you to kind of have these two factors into consideration when you triangulate the overall mid -teen guidance that we gave on margins . So, I would not be able to give you the exact number today, but I would say these two factors are definitely goi

ng to have some impact.
Moderator : Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Thank you for the opportunity and congratulations for the steady performance and heartening to see the sequential growth on the TMT side. Manish, basically, since the time you came on board, we have seen a steady increase in our on -site, in our offshore digital revenue delivery and while you have said that we don't plan for a particular number, but if you could help to understand as to how much room do you see in terms of further optimizing our offshore revenue delivery? That is question one.

The second question was with regards to the sequential increase in subcontracting expenses that you have seen. If you could talk about what's driving that?
And the third one is, we continue to maintain a very steady utilization rate while hiring numbers haven't gone anywhere. When should we probably be thinking about hiring, essentially catching up with the re venue growth ? Those would be my three questions.

Manish Tandon: Yes. So, first question , Manik , is, as I said, I will repeat what I said before, I don't solve for offshore percentage or on -site percentage. I base it on the client's demand more than anything else. It, of course, helps us that our offshore revenues are going up as a percentage. It helps the margin, but please also remember that it puts pressure on the top line also because then the top line doesn't grow as fast as it could be. And I hope you guys are noticing that.
Your second question was on subcontracting costs. So, Pulkit, do you want to take that?
Pulkit Bhandari: So subcon costs will basically come back in line with what it has been previously. There were third -party costs, which have got incurred this quarter, which will kind of get normalized. And there ha ve been some headcount increase as well there, which will also get normalized.
Manish Tandon: And what is the third question, Manik?
Manik Taneja: The third question was with regards to headcount . Basically , during the course of last several quarters we have just been optimizing our utilization , head count largely been unchanged or moved in a very small range and to start with revenue catch up with regards to our revenue growth .
Manish Tandon: We don't want it to catch up with our revenue growth. If we are doing a good job on AI and so on, then actually we should be able to deliver higher revenues with less headcount. That is what AI is all about, right, to some extent.
And second is we put in a lot of hard work and effort in maintaining , optimizing our cost model and improving our utilization. And as I said, the lead times for hiring, et cetera, have come down, and we have tweaked our model to be in line with the lead time in hiring also. So, this is a very good thing, something that Vijay, I, Pulkit and others are very proud of.
Manik Taneja: And the last one is question to Pulkit with regards to the ESOP impact. If you talk about the potential impact on margins from the proposed ESOP plan. If you could just help us understand that from a modeling standpoint on a go -forward basis?
Pulkit Bhandari: So, if you are talking about the historical plan, it is a different thing, but the current plan is still under consideration. It hasn't been approved as yet. And a lot will depend in terms of how the plan gets improved, how also the grants happen because the char ge starts happening from the date of the grant. And a lot will be dependent on that.
Manish Tandon: But we remain committed to making sure that we are in the mid -teens margin range.
Pulkit Bhandari: Yes.
Manik Taneja: Inclusive of some of these cost basically or the investments whichever you want to say --
Pulkit Bhandari: Yes. Despite this, basically, it should be in the same ballpark range, y

es.

Manik Taneja: I will get back to the queue, but just if you could clarify on the wage hike that you have implemented from July, if you could call out the extent of offshore and onshore wage hikes and is it for all our population ?
Pulkit Bhandari: So the wage hike is across the board, including offshore and onshore, but we don't give a split in terms of how much is where. Of course, the wa ge hikes in India will be slightly higher versus what you will see in U.S. and U.K. and South Africa. So, it is all dependent on that particular geography, but we don't give a split in terms of the quantum of the wage hike .
Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Congratulations again on the execution in difficult times. So, just within TMT, is it the top client that has also contributed to the growth and what has driven ? Is it the earlier areas which we used to target as higher budget, or are we mining that client in terms of entering into new area? So , I just wanted some clarity .
Manish Tandon: We have opened new locals. We are mining them. And obviously, for the large client also, we are trying to open new areas . So, I mean , it is very difficult to say exactly how much has come from renewals versus this thing, but if you are seeing growth, then that is primarily coming from existing new and net new . So, that is where the growth is coming from in TMT.
Sandeep Shah: And any progress in terms of large deal ? I do believe we have done well in the second half of the last financial year. And in one of the analyst meets , you said we are targeting for one large deal every quarter . So, can you give some color in terms of closure, if any, in this quarter? And

how is the pipeline looking on the large deal, both on Q -on-Q and Y -o-Y?
Manish Tandon: Y-o-Y, it is definitely looking good, I think, the pipeline closure depends on a lot of things, including luck . And all I would say is we are working hard and just watch this space, is all I can say.
Sandeep Shah: And sir, just a related question, one of your large peers have said large deals are coming more on cost takeout and vendor consolidation and there is an extreme pricing pressure. So, are we also witnessing that kind of pressure in some of the large deal pursuance ?
Manish Tandon: We don't go after existing large deals. We create large deals . So, for us, large deals is about being innovative and solutioning, not about bidding for things which have been bid for rebid and bid for 15 years in the past. When you do that, then it is always a race to the bottom. We don't want to be in that race.
Sandeep Shah: And just on margins, few questions. Pulkit just wanted to understand, is there any onetime R&D credit which gen erally happens in this quarter. And second, in the second quarter, we may have a headwind from wage hikes as well as ESOP . And in the third quarter, because of furloughs, generally margin gets impacted because of the higher bench cost . So, in that scenario, you

believe the margin walk could be slightly tougher in the next 2 quarters and still, we believe we could be closer to 15% for the full year?
Pulkit Bhandari: So, let me give you some qualitative aspects for next few quarters. But more importantly, for this quarter, the first question that you asked, if there is any R&D aspect to it. All I can say is that if there is something which is, say, one -timer, there may be like a compensating element to that. And to that extent, basically, what you see is more normalized margin than anything else, at least for this quarter. And we woul d rather not go into any small one -timers here and there because that is part and parcel of the business may happen, may not happen . So, that

you can
ignore for now . That's a response to your first question.
Second, going forward, I think, as I have mentioned before, there are two factors which are going to play out, right? ASR and ESOP as and when it gets approved and implemented. The time frame of approval is what we know. The time frame of implementation is something which we do not have full clarity as of now, yes. And that will also determine basically what the next quarter looks like and the quarter after that.
Also, will these two factors have some impact on margin? Absolutely, they would. At the same time, right, are we taking actions on costs? Are we tapping on to other levers? Yes. And to that extent, there may be a lead lag effect , but you should factor these two aspects. At the same time, we will exercise those levers over a period of time, but they may not be a matching concept on everything all the time, right? So , you have to be mindful of that.
Sandeep Shah: And just a last clarification to what Manish sir said in our opening , in one of the replies, I think offshore has increased materially . So, is it fair to assume volume growth is actually much better versus the headline growth of 1.9% on Q -on-Q?
Manish Tandon: Yes. Volume growth, not in terms of number of people, but our PPR and PPC has been increasing slightly, so to say . So, the whole idea of using AI and all this is trying to do more with less . So, it is kind of difficult to break up and say, because if I say volume, then you will say oh, last year, last quarter, you had 10,700 people, this time you have 10,600 people. It is not pure volume , but it is a factor of several things, including improved productivity, improved utilization and better PPR and PPC.
Moderator : Thank you. The next question is from the line of Shradha Agrawal from Asian Market s Securities. Please go ahead.
Shradha Agrawal: Congratulations on another good quarter. Two questions from me. Last quarter, we highlighted our aspiration of double -digit growth in '26, given 1Q has been a broadly good quarter for us . So, I am assuming we stay with that commentary of aspiration al double -digit growth this year.
Manish Tandon: That was a question or hope --
Shradha Agrawal: That is the reaffirmation that I want from your end on the double -digit growth guidance.

Manish Tandon: No, no. That was before Liberation Day happen in the U.S . But first of all, I never have said that we will do double -digit growth. All I said is that we are committing to showing growth every quarter. And that is what we are focused on from an execution perspective that we want to be predictable, we want to be sustainable in terms of our margins, predictable in terms of our growth. And that is what we are focused on.
I never promised double -digit growth. But yes, I did promise that we will try and grow sequentially every quarter, which has been the case by the way for us for the last 12 quarters ,

except one , quarter Q3, where there was large furlough.
Shradha Agrawal: So, on that aspect again, so with steadiness in the top accounts, so do we expect the lesser seasonality of furloughs in Q3 that might happen this year?
Manish Tandon: See, the furlough is not just about top account or this thing. Furlough happens in sectors, including Banking , Technology , there are certain geographies where furlough s happen . So, it is too early. I mean , we are in July. Furlough happens in December. It is too early to make any predictions on that. The only prediction that we can make is that furlough will happen. To what extent, we don't know.
Shradha Agrawal: And sir, just a last question, our top accounts have done very well this time around with the top 5 clients growing almost 5% and Top 20 growing 7% . So, is it more broad -based across the top client portfolio s or driven by one, two accounts that we have seen

such strong traction?
Manish Tandon: No, it is more broad -based. In fact, if you noticed, the number of $20 million accounts have gone up from 4 to 6 same quarter last year was 4, this quarter, it's 6. Similarly, $10 million -plus accounts have gone up and similarly $5 million to $10 million accounts have al so gone up . So, overall, this is more broad -based , and that is the way we like it to be.
Moderator : Thank you. The next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.
Girish Pai: Manish, 3 months back, you had talked about a right shifting of demand, especially in the month of March. Has that demand come back in 1Q? Or has it been right shifted again into the next quarter or the quarters ahead?
Manish Tandon: There is a right shifting of demand. I mean , that is why if you look at the order bookings , they are less than the previous quarter. And as long as the tariff uncertainty prevails, people will focus on only the essential project s. They will not focus on new capital projects, for example, and so on. So, uncertainty is having an impact, definitely. And you have seen it in the results of IT companies across the board . So, I don't know whatever has right shifted has come back or not , but the uncertainty continues to persist.
Girish Pai: On this aspirational double -digit number, you didn't want to kind of commit to that. But would FY '26 be a better growth year compared to FY '25?

Manish Tandon: We hope so. But again, we try not to give forward guidance and we take the Safe Harbor statement seriously . So, we will not give forward guidance. But as a management team, we are committed to make sure that for our shareholders, for our employees and for our customers, every quarter is better than the previous one.
Girish Pai: You talked about a salary hike starting 1st of July. What will be the impact from a basis, I mean , the number of the basis points impact? And what are the offsetting factors that you kind of think about either in the next quarter or the quarters ahead? What are the levers that you are kind of working on?
Pulkit Bhandari: So, I think this question has come up now multiple times . So, rather than giving you an impact in terms of percentage terms because the revenue is still something which is under work , I can give you a quantum in terms of salary hikes . So, we are looking at somewhere close to $3 million of wage hike impact , which is going to come in Q2.
And as regarding absorption, something similar to what I said earlier. It is a lead lag situation where the h ikes are implemented now. The recovery on the basis of prices , on the basis of growth happens over a period of time . So, that is the only framework that you will have to work with.
But yes, so if there is a number that you are looking for, it is $3 million in terms of quantum.
Girish Pai: My last question, Manish, is regarding talent cost. And while the supply side seems to be like pretty good right now, attrition is low, is there a pocket on the supply side where there is a cost pressure still there , like AI talent , is the AI talent cost inflating at a faster rate tha n it used to say, I mean, than the normal inflation in salary costs?
Manish Tandon: Fortunately, we don't need people like Facebook needs where you have to pay $10 million and $100 million to attract AI talent, some super genius, or whatever super -intelligent or whatever.
AI, we are creating our AI talent ourselves. It is not that all this talent is available in the market.
So, AI is such a new technology that we have to create talent from within .
So, I would say that AI is an area where we are going to spend a lot on talent, but obviously there will be pockets where the technology costs will be higher . There is the cybersecurity staff, for example, or there will be one or two hot technolo

gies here and there where there will be
talent will be more expensive. But that is part of the industry.
Moderator : Thank you. The next question is from the line of Jalaj Manocha from SVAN Investment. Please go ahead.
Jalaj Manocha: So, Manish, this was one thing, one observation specifically as you talked about the slowdown

specifically in retail and Manufacturing , specifically you gave a flavor to the U.S. economy. But when I see for sequential growth, it appears that Europe as a economy has degrown and U.S. has done better. So, where is this mismatch coming from? How should I read these two things together?

Manish Tandon: U.S., we are executing well. Europe, we have not executed as well as we wanted to. Also, there were certain one -off revenue things because of the large deal that we signed in Europe, which might be creating a bit of distortion here and there. But overall, we are very bullish on Europe.
Jalaj Manocha: So, I just wanted to understand...
Manish Tandon: They have a fairly aggressive target for this year.
Jalaj Manocha: No, so, I was just trying to understand that you had told about that Manufacturing and retail not performing so well because of the tariff issues in the U.S. But then the degrowth has happened in Europe economy or Europe as a geography, and vis -a-vis if I compare it with the verticals, it happens to be in Manufacturing . So, just trying to have a geography flavor there.
Manish Tandon: Yes. So geography flavor , as I said, see, we have signed a large deal which was announced in March, April , April or May. Yes . So, there have been some distortions because of that in revenues from Europe. But overall, as I said, this will get cleared pretty soon and you should see revenue growth back in Europe very quickly.
Pulkit Bhandari: So, I think the point is that don't link Europe macroeconomics with basically our Europe performance, as Manish is calling out that we could have done better in terms of execution, which is what we are pushing to do now.
Jalaj Manocha: Understood. That explains. And my second question was with regards to deal wins. So, should I consider it that you also alluded in the commentary or prepared remarks that we have had a managed services flavor coming to our deal . So, the average tenure is increasing . So, shouldn't we have higher growth or accelerated growth in the deal wins in that scenario? Just wanted to have your thoughts around that? And basically, would it give us the top quartile, or the one quartile move each year as we had discussed at the start of when Manish ha d joined? So , are we comfortable with the current set of deal wins we are having right now?
Manish Tandon: We can always have more deal wins. Are we comfortable? Based on what I am seeing in the industry, we are, I think, pretty well -placed as compared to others. But can we do more? Yes, we can and we will do more. And yes, as we do more managed services, we will see larger deal duration s, which will be reflected in the order book ings. And as you can see year -over-year order bookings are seasonal to an extent . And as you can see, our order booking has year -over-year gone up by 12%.
Pulkit Bhandari: Managed services t hat you just spoke about in terms of how is it reflected in the order book , don't see it for just this quarter. You have to see it for last, I would say, few quarters and then look at the managed services part . So, in the last 3 quarters we were more than $200 million in terms of order book. And that also , it is not that managed services or deal duration is specific to this quarter. It has been the case over last, I would say, 4 quarters . So, the deal duration has gone higher than what it was before .

Moderator : Thank you. The next question is from the line of Nikhil Chou

dhary from Nuvama Wealth. Please go ahead.
Nikhil Choudhary: Manish, just want some clarity on Manufacturing and Consumer verticals. You have rightfully called out at the beginning of last quarter that this is the vertical which will get impacted. But what's ahead from here on? Is it fair to say that this vertical will also start g rowing, although maybe lower than company average , but will deliver growth from here?
Manish Tandon: At least Q2, I am predicting growth in this vertical. Beyond that, again, there is a lot of , and this Manufacturing and Consumer is the industry which has the first order impact of tariffs . So, what will happen post that, I don't know. But at least in Q2, we are projecting growth in this vertical.
Nikhil Choudhary: And second one, in Africa, we have been growing slower than the company average, right? In last quarter, you have highlighted you have made some strategic investments , also hired some senior leaders . So, any update there? Or has that geography now bottomed out and you are seeing incremental momentum, especially in deal win and pipeline?
Manish Tandon: Yes. The new leader has taken over as of 1st April , and he is on the job . All of us in the company are supporting him. And we are seeing some green shoots , but green shoots turning into flowering plant s takes some time . So, hopefully, in the next couple of quarters, we will see the impact.
Nikhil Choudhary: Just one more time trying my luck on deal win side . So, the comment you have made that the

tenure of the deals are improving, the complexity of deal is improving . So, is it fair to say that your ACV is also showing basically accelerated growth, maybe high single digit, low double - digit type of growth while we have o verall deal win number?
Manish Tandon: No, the ACV is not , if the deal duration is actually increasing, then the ACV is actually going to come down, right? It is not going to increase.
Nikhil Choudhary: No, Manish. S o, what I mean is with the deal itself is growing , is the ACV is also growing , let's say, a high single digit. Obviously, it will grow lower than overall deal win because of the tenure , but is it growing faster, let's say, in high single digit?
Manish Tandon: You mean the ticket size of the deals, right? From an ACV perspective, the ticket size of the deal is increasing, yes. If that is your question , the answer is yes.
Nikhil Choudhary: Basically, Manish, I wanted to understand if ACV is growing on Y -o-Y basis in, let's say, high single digit more or less giving us an indication of…
Pulkit Bhandari: No, no, that guidance we will not give that i s ACV increasing at a particular percentage or not. But structurally, ACV is going up versus last year, but we will not give any percentage around that or any number around that because that is a direct reflection to the revenue as well.

Moderator : Thank you. The next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Thanks for the follow -up. Manish, for my question, you alluded to some headcount cuts by large tech companies . So, just wondering, are you worried about any risk to the Experience Services business from this?
Manish Tandon: Yes. We are worried about some of the impact that it might happen on particularly the marketing side of the Experience Services business because one of the areas where AI is disrupting significantly is in the marketing space because a lot of content genera tion is happening using AI. And while we are also using it to our benefit , but there is a downward pressure on the budget because of that. And yes, it is a good catch, Nitin, that you are right, that Experience Services , particularly on the marketing side or the Indigo Slate side of our business may get negatively impacted because of that.
Nitin Padmanabhan: But is it

a significant portion of the overall Indigo Slate business or just a part of it?
Manish Tandon: It is a part of it. It is not a significant part of it, but it is a part of it. I mean , it depends on how you define significant. The business is $7 million , $8 million a quarter business . So, in the overall scheme of things, it is not that critical for us.
Nitin Padmanabhan: Got it. And last year, we won two large deals is what I remember. Have those started converting to revenue? Or you are yet to see them begin to convert or reach a steady state?
Manish Tandon: No, t hey have started to convert into revenues.
Nitin Padmanabhan: Right. But have they sort of achieved steady state or will continue to have benefits from this even on the following quarters?
Manish Tandon: Steady state, the deal structure that we use is try to annualize and straight line the revenues to the extent possible because we don't want too many ups and downs, right?
Moderator : Thank you. The next question is from the line of Dhanshree from Choice Institutional . Please go ahead.
Dhanshree: My question is regarding the last time you had said 44% of the pipeline is AI driven . So, if you can give more color on , is there any change in that commentary and how is our conversations with the clients with regards to AI pipeline? And more if you can tell something on agentic AI or agentic AI focus and how these things are leading to our growth in focus services, as you spoke about like you are transforming the Advanced Engineering Services and all into Product and Platform . So, what is the future o r long-term plan we have set in for this, like if you can just throw some more light or elaborate on the strategy, that would be helpful.

Manish Tandon: As I said in my opening comments, as far as AI and GenAI is concerned, we are not just adapting to change. We are engineering the change. And we are one of the few companies who have reported this time formally as to what percentage of our pipeline is AI -infused or AI -led and also what percentage of our order bookings is AI -infused or AI -led.
So, we are playing this game to win. This is a fork in the road . And the way we see it, it is the fork in the road for industry . And we want to win this time as the industry turns. And we are doing everything in our power to make sure that we take the right fork and come on the winning side.
I would encourage you to read our press release and our analyst , this thing, the case studies and so on that we highlighted. That is showing , as I said in my opening remarks, this is the first time

that I told the team to give all the case studies that need to be of critical projects, need to be AI -led or AI -infused . So, all the projects are AI -led and AI -infused and it will give you an idea of the kind of work your company is doing.
Dhanshree: And if you can just let me know out of th e total TCV win, what was net new?
Pulkit Bhandari: We don't give a bifurcation of net new.
Manish Tandon: You are breaking up on that . I didn't hear the question, sorry.
Dhanshree: Yes, out of the total TCV win, what is the net new percent , if you can share ?
Pulkit Bhandari : Net new .
Dhanshree: Net new wins percent?
Pulkit Bhandari: Order book , we don't give.
Manish Tandon: We don't normally give those breakups.
Dhanshree: And the last question is on our top client account . So, last time w hen we had inter acted , you mentioned that has come down from a certain percent to around high single digits . So, is this maintained, or it has further come down or increased, if you can share ?
Manish Tandon: It is around 10% or so is what I remember. I am not tracking it very closely, but it is around 10%.
Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Ju

st if I look at the cash generation led to a war chest of closure to around 15% of the market cap. So, any expected usage of the cash? Are we also looking for a slightly bigger size M&A to accelerate our journey to $1 billion, which may help us to grow even faster once we achieve $1

billion? And second, in terms of outstanding hedges, if I look at, it has declined on a Y -o-Y basis by closer to 75%, 80% . So, is there any change in the strategy in terms of hedging?
Manish Tandon: Right . So, a great question. I think, first of all, you guys should do something about the market cap. Rather than me trying to do something about the cash, you should do something around the market cap.
Sandeep Shah: So, you commit double -digit growth then it will automatically happen.
Manish Tandon: Second thing is cash is an asset, not a liability. And thirdly, I will ask Pulkit to take that question as to how , what he want s to do with all the cash that we have.
Pulkit Bhandari: Yes. So, I think when you look at the current cash balance, of course, there is a dividend, which is outstanding. And the dividend roughly to the tune of $29 million will get paid out, I would say, sooner than later . So, you should adjust cash for that. Despite that, our cash balance is good. More importantly, our cash conversion on a yearly basis has been pretty good for the last few years.
As regarding future plans, I think we are open . We want to invest. We want to invest in terms of large deal creation. Also, capital allocation from an M&A perspective, we are always looking for ideas, right? And for the right idea, we would go in. Of course, the re are far and few right ideas . So, we have to be patient and kind of wait for the opportunity to come our way.
But I would say that, yes, I think it is something which is going to help us in fueling growth in many ways. And when I say large deal creation, I mean to say that basically, we can structure deals, we can invest upfront in order to create large deals, which makes sense. But at the same time, w e will be extremely prudent in whatever we do .
That is why the cash has got accumulated because we have been very prudent, and we have been very mindful of the usage. And we will keep you posted in case something comes up and there is an update for all of you.
Sandeep Shah: Yes. And sir, just on hedge s?
Pulkit Bhandari: Sorry, what was the question there?
Sandeep Shah: Outstanding hedges have declined Y -o-Y by 7 5%, 80%. Any change in strategy?
Pulkit Bhandari: So, the market is , the FX is like extremely volatile, right? And to that extent, it makes sense to just be as conservative as you can, and that is what we are doing . So, we have moved from certain positions, and we are just focusing on I would say, balance sheet hedges. That is what we are doing because in the current environment, taking positions either way s is as per us is not advisable.

Moderator : Thank you. The next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.
Girish Pai: You had mentioned that in the EU, U.K. market, you had some issues with some large deal. Was this the Tesco deal that you won? And has the revenue kicked in, in 1Q? Or will it kick in starting

2Q?
Manish Tandon: We don't answer questions on specific clients, Girish . You know it well.
Girish Pai: Okay. You spoke about MCS being impacted on because the first order impact of tariffs. Manish, in your opinion of which particular sectors would have a second order impact, I mean, according to your thoughts?
Manish Tandon: I mean , second order impact, see, again, then second quarter impact , if Manufacturing and consumer have the first order impact and the second order impact is , as you know, the U.S. economy, 70% of the U.S. ec

onomy is driven by consumers. And if there is a consumer weakness on the consumer side, then everything becomes fair game including Banking and financial services, credit card debt, mortgage default, everything becomes a fair game . So, as long as the consumer is resilient, as far as the US economy is concerned, second order impact will be limited. But if the consumer is not resilient, then everything is going to be fair ga me.
Girish Pai: My last question is sort of with vendor consolidation deals . In the market, are you seeing them becoming more competitive compared to, say, from a pricing standpoint, a productivity passback standpoint compared to, say, 6 months back?
Manish Tandon: See, vendor consolidation deals are a race to the bottom. We don't want to get consolidated out definitely. And we have created , in most cases, we have enough client relevance and mind share that we will not easily get consolidated out. But proactively going after vendor consolidation deals is a race to the bottom . I don't think I am ready for it.
Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to Mr. Manish Tandon.
Manish Tandon: Thank you, everyone. Thank you, Shradha , and all of you for attending this call. As always, it is a pleasure to interact with you, get your perspective as valuable investors and shareholders. From a management perspective, as I have said, we are deeply committed to executing well and trying to outperform the industry to the extent possible. And hopefully, we will continue with the same momentum as we interact for Q2 and beyond. Thank you.
Moderator: Thank you very much. On behalf of Asian Market s Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 10, 2025

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Scrip Code: 504067 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai 400 051

Symbol: ZENSARTECH

Sub.: Q2FY26 Results - Earnings Call Transcript

Dear Sir/Madam,

In continuation to our letter dated October 27, 2025 , please note that the transcript of the earnings call held on Friday , October 31, 2025, at 9:00 P.M. (IST) w.r.t discussion on the Financial Results of the Company for the quarter and half year ended September 30, 2025, has been made available on the website of the Company at https://www.zensar.com/investors/investor -corner

This is for your information and dissemination purpose.

Kindly take the same on record.

Thanking you,

Yours sincerely,
For Zensar Technologies Limited

Anand Daga
Company Secretary

“Zensar Technologies Limited Q2 FY-26 Earnings
Conference Call”

October 31, 2025

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , ZENSAR TECHNOLOGIES
LIMITED
MR. PULKIT BHANDARI – CHIEF FINANCIAL OFFICER ,
ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER – ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER , ZENSAR TECHNOLOGIES LIMITED
MODERATOR : MR. KEVAL BHAGAT – MOTILAL OSWAL

Moderator : Ladies and gentlemen, good day, and welcome to Zensar Technologies Q2 FY '2 6 Earnings Conference Call , hosted by Motilal Oswal Financial Services Limited .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Keval Bhagat from Motilal Oswal. Thank you and over to you, sir.
Keval Bhagat: Thank you. Good evening, everyone. On behalf of Motilal Oswal Securit ies, I welcome you all to Zensar Technologies Q2 FY '2 6 Earnings Call.
We have with us Mr. Manish Tandon – CEO and Managing Director, Mr. Pulkit Bhandari – Chief Financial Officer , and few other members of the Senior Management Team.
Before I hand over the call to Manish, I would like to highlight that the safe harbor statement on the 2nd Slide of the Earnings Presentation is assumed to be read and understood. Over to you, sir.
Manish Tandon: Thank you, Keval . And hello, good morning, good afternoon, good evening, everyone, and thank you for joining this call on a late Friday evening. Besides Pulkit and Vijay that Keval mentioned, we also have Vivek Ranjan – our Chief HR Officer, Chief People's Officer, also on this call.
This quarter, Zensar delivered steady revenue and margin growth through disciplined execution and a sharp focus on capability building. We continue d to scale our AI talent and deepen our commitment to delivering meaningful experiences for our clients.
We are proud to announce the launch of ZenseAI , our next generation platform designed to elevate how we deliver on our core value proposition of Experience, Engineering, and Engagement. In a first -of-its-kind example, we have updated our website, zensa r.com, to showcase our AI -led transformation.
I would encourage you to visit our AI chatbot on that website. These milestones reflect our drive to deliver secure, personalized, and enduring value to our clients. Our strategy remains clear, client -centricity, adopt to global shifts, and lead with AI.
Moving towards our quarter performance :
For Q2 FY '2 6, Zensar reported revenues of $162.8 million, a year -over-year growth of 4.2% in reported currency, and 3.4% in constant currency. It translates into a sequential Q-o-Q growth of 0.5% in reported currency.

On a Q-o-Q reported currency basis, revenues rose 5.6% in Banking and Financial Services, 3.9% in Healthcare and Life Sciences , and 0.1% in Manufacturing and Consumer Services , while Telecommunication, Media , and Technology declined by 9.9%. This performance underscores our ability to drive momentum consistently, even in a dynamic market environment.
As we mentioned last time, effectively July 1st, we announced annual salary hikes for all our employees. Today, we are pleased to inform you that we have absorbed the impact of one -time bonuses and annual appraisals without compromising our operational pac e and margins. Our gross profits improved to 31 .0%, sequential growth of 50 bps quarter -on-quarter, EBITDA improved to 15.4%, sequential growth of 20 bps Q-o-Q, and with improved utilization. This coupled with 9.8% attrition demonstrates our commitment to employee recognition and financial discipline, while continuing to execute our strategic priorities.
With that, I will now invite Pulkit Bhandari - our Chief Financial Officer, to provide an update on critical financial data.
Pulkit Bhandari: Thank you, Manish. Good day, everyone. Thank you for joining this call.

I will take you through some of the key business and financial metrics for the quarter ending

September '25:
The overall macroeconomic environment remains unchanged. Evolving U.S. policies, particularly around trade tariffs and visa regulations are creating further challenges across businesses. However, cost optimization and productivity -linked programs are gaini ng traction, supported by cloud modernization, cybersecurity, and early generative AI initiatives. Clients are increasingly focused on vendor consolidation and outcome -based engagements, driving selective deal momentum. The reported revenue for the second quarter of financial year 2026 stood at $162.8 million in U.S. dollar terms, reflecting a growth of 4.2% Y-o-Y and 0.5% sequentially in reported terms. In constant currency terms, Y-o-Y revenue grew by 3.4% and sequentially it remained flat.
Our EBITDA this quarter expanded by 20 bps sequentially , despite absorbing impact of wage hike, offset with favorable exchange gains. Additionally, operational improvements such as enhanced utilization, improved shore mix, and targeted cost control initiatives have contributed positively to our margin performan ce. Our PA T for the quarter stood at 12.8%.
Some other key highlights :
• We launched ZenseAI , agentic AI platform to drive enterprise -level innovation and intelligence.
• Zensar was named a challenger in Avasant Digital Masters Award in 2025.
• Our order book for the quarter stood at $158.7 million.
• Our book -to-bill ratio for the first half of the year is 1.02, indicating a sustainable business momentum.

• Cash including investments, stood at $293 .0 million post -dividend payout declared in previous quarter.
• DSO increased by 3 days to 75, majorly due to exchange impact.
• Our attrition was constant at 9.8%.
• Our d iluted EPS grew to INR 7.9 per share, which is 16.2% growth Y -o-Y.
On ESG front, Zensar received CRISIL ESG score of 71 , up from 69, placing it in CRISIL 's highest “Leadership ” category for ESG ratings.
With that, I will now invite Vijay, our Chief Operating Officer, to comment further on Q2 FY '26 results.
Vijayasimha Alilughatta: Thank you, Manish and Pulkit. Greetings, everyone. I will share details about our operational efficacy, Service Line performance, and AI journey.
Our utilization for the quarter stood at 84.8%, which is 200 basis points higher Y-o-Y and 50 basis points higher Q -o-Q. The rigor associated with accelerated fulfillment and capability enrichment continued in Q2 FY '2 6.
We had a gross addition of 831 employees. Our voluntary attrition was 9.8%. This is the third successive quarter where our voluntary attrition has been below 10%.
The offerings from our service lines and industry services groups continue to resonate well with our clients.
• The share of revenues from our service lines increased to 68 .0%, which is 150 basis points higher Y -o-Y.
• On a Y-o-Y reported currency basis :
o Cloud Infrastructure and Security Services grew by 14.1%
o Data Engineering and Analytics grew by 9.2%
o Products and Platforms, including CMO Services, grew by 4.3%
o Enterprise Application Services had a degrowth of 2.6%.
Our ZenseAI platform continues to find resonance among our clients. We have further enriched the agent library of our platform by creating many relevant industry -specific domain agents. We have also created agents that accelerate legacy modernization.
AI capability enrichment of our people has gained additional momentum. Over the last 4 months, more than 5,000 people have deepened their skills by leveraging the multi -tiered learning journeys in AI, Gen AI, and Agentic AI.
We have also intensified the focus on enhancing the leadership proficiency in emerging AI areas, thereby creating a pool of strong strategic consultants who guide clients on their AI first transformation journey.

We continue to

deliver significant value to our clients in key AI engagements. Some examples of value delivered are :

• We executed an application modernization program for a global financial major as part of their customer experience improvement program , leveraging our innovative Gen AI solutions across the SDLC cycle, we were able to accelerate go -to-market by 25%.

• We have built a real -time AI -powered fraud analytics solution to process mobile claims. The model reduces the workload for claim processing by 40%, with an accuracy of 96%.

• We delivered a computer vision -based defect detection system that significantly enhances a leading client's quality control processes in industrial tube manufacturing.

• We are partnering with a large retailer to create an agentic AI -based ecosystem to build APIs in a factory model. This is driving cost efficiencies to the tune of 70%.

With that, we can now open the line for questions.

Moderator: Thank you very much.

We will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question comes from the line of Nitin Padmanabhan from Investec India. Please go ahead.

Nitin Padmanabhan: Yes. Hi, good evening, everyone. I think we had a good quarter from a BFS I and Healthcare perspective, but I think TMT has been a pain point again. And it appears, at least on the service line side, that this is on the experience services side. Could you give us some context there? And do you think this has sort of bottomed out from t hat perspective? Any color Top Client versus Experience Services alone? And do you think it's bottomed out? So, that's the first question.

Manish Tandon: Hi, Nitin. Thank you for your question. This is Manish. So, yes, we have seen a good amount of traction in all our other verticals except TMT. And what I would say is I see a more secular trend on TMT in terms of the amount of money that is being put in CapEx by some of our clients. And you would have seen a lot of announcements in terms of rationalization of workforce and RIFs that they have done and that they are planning to do.

As a very senior CEO said that you can have either GPUs or people, not both. So, we are seeing that a lot of O pEx is being rationalized in the TMT space to spend it on CapEx -related things. And we don't see this trend going away in a hurry, unfortunately.

The fortunate thing for us is that as we have been saying that our exposure to the TMT sector has been coming down successively. And hence, the impact on us will hopefully be less going forward as compared to others who have higher exposure to the sector.

Nitin Padmanabhan: Got it. Got it. So, we have 2 verticals which haven't been really firing, right? So, one is TMT and one is MCS. It's done maybe slightly better earlier, but this quarter has been soft. What do you think will sort of get a consolidated double digit growth for us? Because I think last year we did 2 large deals and anything on that front that could sort of help improve growth, anything from an acquisition perspective that could help sort of alter the portfolio in some form. How are you thinking about this?

Manish Tandon: So, Nitin, to be frank, except for this TMT headwind, I am feeling very, very positive about our business. Our pipeline is quite good, including our large deal pipeline.

From a pipeline perspective, we have one of the highest qualified pipelines that we have seen in our history, including a good large deal pipeline. It's just a matter of converting some of these things in the next couple of quarters.

And you know w e are a company that is focused a lot on execution. So, I feel, except for this TMT headwind, I actually feel very good about our business. I feel good about, as I said, our pipeline. I feel very good about the fact that despite giving

salary hikes and taking about a 2%

EBITDA hit, we were still able to deliver mid-teen margins.

So, again, as I said, I feel very good about what we are doing on AI. And as I said, except for this TMT thing, feel pretty good about the business.

Nitin Padmanabhan: Got it. Got it. Very helpful. Any thoughts on the deal wins? This quarter has been soft. You think it's just a timing issue and it should start coming back? Because at least it looks like the pipeline is pretty strong and all of that. So, you think we should start seeing a bounce back from a deal win-closure perspective?

Manish Tandon: Yes, I think it's just a timing issue. Because of the Liberation Day , tariffs and all that, uncertainty was introduced in the market. So, a couple of deals got shifted to the next quarter. Also, when I looked at it, typically this quarter is low on renewals , because most of the renewals happen in Q4 or in Q1. And it's summertime in Europe, so again, business is a bit slow there. But when I go deeper into my order bookings, I see a reasonable amount of traction on Existing New and NN. And henc e, I am not really too worried about what I am seeing there.

Nitin Padmanabhan: Perfect. Perfect. Thank you so much. I will come back for a follow -up. All the best.
Manish Tandon: Thank you, Nitin .
Moderator : Thank you. Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Yes. Thanks for the opportunity. Manish, if I look at the book -to-bill in this quarter being 0.97x, which is one of the lowest in the last 11 quarters, and even if you need to report a flat TCV this year, the ask rate in the next second half would be about $220 million. That looks like a tall task.

And business visibility in terms of growth beyond FY '26 will be dependent upon TCV growth happening in FY '26 . So, in that scenario, are you worried that the billed TCV this year may hamper the growth in the next year outside TMT as a concern which you have highlighted?
Manish Tandon: So, Sandeep, again a great question. Look, am I worried? I am paranoid about everything. But this is not something that I am really worried about primarily , because I think the pipeline that we are dealing with is pretty good. It's a question of being able to convert a couple of them quickly. And we are hoping that we will be able to announce some of them soon enough.
So, I am not unduly worried about it overall. And again, it's a question of perspective. If that hit on TMT was not there, we would have grown something like 4% this quarter , right? So, it's a matter of perspective. And as I said, I feel good about our business.
Sandeep Shah: Okay. Manish, just further here, are you targeting TCV growth this year that will happen on $775 million TCV booked in F Y '25?
Manish Tandon: See Sandeep, there are only a few numbers that I track and worry about. And like you, I am most worried about top line and bottom line , and that is where the focus is.
Bottom line, as I said, we have been very focused and consistent in terms of mid -teens EBITDA delivery. In fact, our PAT, if you look at cash conversion of our EBITDA, it's one of the highest in the industry. Our PAT is 12. 8%, close to 13% on an average. So, that is really, I feel, exceptional overall.
So, to answer your question, am I really looking at higher, lower TCV or am I really worried about it . I don't think so.
Sandeep Shah: Okay. And just last few things, 3Q generally has a furlough season for you and the industry. How do you see the performance in 3Q this time?
Manish Tandon: See Q3 is a weak quarter for everyone in the industry. The furlough impact will be there. It will happen to us also, like others. The only silver lining in the drop in TMT in Q3 is that the furlough impact will be perhaps less in Q3 than it would have been had

TMT grown. So, I don't see any material change in the furlough situation overall for the industry. But since our exposure to TMT has successively reduced over the years, I am hopeful that we will not be impacted as much.
Sandeep Shah: Okay. And just last thing, offshore revenue mix has gone up. So, is it fair to assume the volume growth is higher than the headline growth?
Manish Tandon: Yes, we are. One of the reasons why we have been able to deliver better margins is that we have been able to get a lot more work done offshore , and that is a positive for us. And we are seeing some amount of volume growth. Obviously, although our headcount is not increasing, but our utilization is increasing. So, yes, there is perhaps more volume growth than what is being reflected in the revenues.

Sandeep Shah: Okay. Thanks. I have a question on margin . Will come in the follow -up. Thanks.
Manish Tandon: Thanks, Sandeep.
Moderator: Thank you. Our next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Hi, thank you for the opportunity, Manish. Just wanted to prod you with regards to a weakness that we have seen in the Hi-tech vertical. If you could help us understand, is this some particular customer specific as has been the case over the course of last several years? Or this will be probably more broad -based , and especially given over the course of last 2-2.5 years, you have focused in terms of diversifying the presence in this industry segment. That's question number one.
The second question is with regards to our performance in other verticals like Financial Services . If you could help us understand what are you seeing on the ground and how should we be thinking about possibly the furlough value? You did mention that the furlough impact will be much lesser, but it will be good to understand in terms of how you are thinking about furloughs compared to the July quarter , heading into the third quarter in the Hi-Tech world. Thanks.
Manish Tandon: I think I have answered the first question, but I will reiterate it that it doesn't matter whether it's

1 client or 2 clients or 3 clients. What we are seeing is that there is a secular trend in the technology, particularly in the technology space where they are investing heavily on CapEx, on GPUs, on data centers, and that money has to come from somewhere , and that money is currently being shifted from OpEx.
I am sure you are reading the same newspapers that I am. Almost everyone has announced a significant layoff in the tens of thousands, not in thousands. So, I would say it is more a secular trend than a client -specific trend that we are seeing.
On the other vertical, as I said I have been very positive about. We are doing really, really well, knock on wood, in Banking and Financial Services and Insurance . We are doing well in Healthcare and Life Sciences .
I think things are really picking up in Manufacturing and Consumer Services for us. And i f you look at the other things, things are looking up for us in both Africa and in Europe. Almost all other parts of the business seem to be doing okay. And as I said, it's just a question of making sure that we can take the hits in TMT , and we can make up for those in the other verticals.
Manik Taneja: Sure. And o ne last question with regards to our non -delivery workforce. We have seen a significant increase in the first half compared to last year. Is this some reclass issue or there is significant investment around sales and account management that you have probably stepped up to this first half of the year?

Manish Tandon: I am sorry, can you explain what you mean by non -delivery workforce?
Manik Taneja: So, I was just referring to the non -delivery workforce . At least it appears to.. .

Manish Tandon: What do you mean by non -delivery?
Manik Taneja: So, the overall headcount minus the technical headcount.
Manish Tandon: Okay, just give us a minute.
Pulkit Bhandari : This is a minor increase of around 40 people. And t his is across the board. It is not just basically sales. It will be across multiple other functions which are there. So, we don't really see this as any major deviation or major cost.
The workforce is basically on sales as well. But yes, t his will be each and every headcount which may be there in multiple support functions.
Manik Taneja: Okay. And one last clarification question. You mentioned about confidence of closing certain large deals for you in the foreseeable future. If you could help us understand or provide us some color as to which industry segments are you essentially seeing some of these deals being in advance d stages . Thank you.
Manish Tandon: All I can say is that we are seeing these in sectors where we are doing well , and we are not seeing these in sectors where we are not doing well. Beyond that, I would not like to comment.
Manik Taneja: Thank you, Manish. Wish you all the best.
Moderator: Thank you. Our next question comes from the line of Keval Bhagat. Please go ahead.
Keval Bhagat: Thank you for the opportunity . Manish , so in the last quarter, you have highlighted that nearly 30% of active pipeline was AI-driven , right, and then 20% of bookings were AI-driven . So, has that proposal increased or decreased in Q 2? What kind of client use cases are scaling faster? And in which vertical we are seeing a good amount of traction?
And also, could you share an early feedback on ZenseAI adoption? So, are clients moving from a pilot to production stage ? Or are you beginning to monetize this platform beyond POC stage? Yes. Thank you.
Manish Tandon: So, I just wanted to share that good news with you and thank you for asking that question. 28% of our order bookings this quarter are AI -influenced order bookings. Now, I just want to clarify what AI -influenced means. AI -influenced means that we led with an AI -infused solution to the client. And from last quarter, as you said, 21%, this quarter, it is about 28% overall. Pulkit, do you want to add any more color?
Pulkit Bhandari: No, I think that's good enough. On this kind of solutions which…

Manish Tandon: Yes, solutions. Vijay, you want to give some color on all the interesting stuff that we are doing on AI? And hey guys, just go to our website and there is this beautiful chatbot, that AI -bot, not chatbot, AI -bot that we have created on our website. It eve n answers financial questions. So, you can ask the quarterly revenues for the last four quarters and all and it will give you some of those numbers. You can ask us about our capabilities, etc. I mean, this is true AI in action. Vijay, over to you.
Vijayasimha Alilughatta: Yes, I think on the ZenseAI platform, we are seeing a lot of traction and resonance with our clients. Broadly, there are 2 -3 dimensions where the clients are leveraging it. The connected

intelligence framework is helping our clients look at the overall, ho w to leverage their intelligence and then build applications on top of it. So, that is really working well. The agents associated with legacy modernization, that's finding a lot of traction. We've also built specific industry level agents that help in thin gs like fraud detection, automation of testing and things like that. So, definitely there is a lot of traction and in the coming days, we expect that this will drive further growth on our AI space.
Keval Bhagat : Yes, that was helpful. Thank you.
Moderator: Thank you. Our next question comes from the line of Girish Pai from BOB Capital Markets Limited. Please go ahead.
Girish Pai: Thanks for the opportunity. Manish, you had mentioned that you would asp

ire for a double digit growth in FY'26. So, that would have meant a fairly decent quarter on a QOQ basis in 2Q. So, did this slow growth come as a surprise to you? And this CAPEX that you're talking about being done by the high tech customers has been happening for a while now. So, did something change? Was there some vendor consolidation exercise that you lost out on , stuff like that? If you can give some color on this?
Manish Tandon: There is no, as I said, this is a secular trend that we are observing. There is no vendor consolidation that has impacted us to the best of my knowledge. And I think my knowledge is pretty good on this front. So, that was on TMT. What was your first question, Girish, on double digits?
Girish Pai: Yes, you mentioned double digit growth. And did the quarter come as a surprise to you?
Manish Tandon: Yes, the quarter came as a surprise to us. But the industry growth rate of 4% to 6% or even less. NASSCOM's revision downwards of the industry growth rate also came as a surprise to me. And I think it's high time we recalibrate what we expect from the ind ustry.
Girish Pai: Okay. Do you think FY'26 is going to be a better growth year compared to FY'25 now that we are facing, I mean, we are in Q3 with furlough situation and stuff like that?

Manish Tandon: Girish, see, I don't want to comment on future. We don't give guidance, as you know. So, I don't want to comment on growth rate for the rest of the year. So, I would guess that you have to make your own estimates based on the commentary that you are hearing.
Girish Pai: Okay. And just on the margin walk on a QOQ basis, you mentioned something like 200 basis point headwind from salary hike. So, what were the offsets for that?
Pulkit Bhandari: So, what we had called out, I think, last quarter as well, is that roughly around $3.2 million is the cost of salary increase, which comes into this quarter. That has been offset largely by better utilization, improved shore mix and some targeted cost control initiatives that we had planned for. So, I would say all that came together to help us absorb this headwind on basically salary increase in a successful way.
Girish Pai: Was there any FOREX tailwind? And can you quantify how much that was?
Pulkit Bhandari: So, there is no quantification that we will give on the FOREX part. But was there some partial benefit on account of FOREX ? Yes, there was partial benefit on account of FOREX as well.
Girish Pai: Okay. My last question is on margins. Do you think we are underinvesting either from wins perspective or from a capability building perspective or from an AI platform perspective? And has this come late or should we aspire for slightly lower margins?
Pulkit Bhandari: No. So, the short answer is that are we underinvesting? No, we are not. And one of the key reasons as to why we give broader guidance on margin, not specific, is because we want to keep the flexibility of investment at our end. So, no, we are not underinvesting. We are rightfully investing in all the areas that we should be focusing on.
Girish Pai: Okay. Thank you.
Moderator: Thank you. Our next question comes from the line of Shradha Agarwal from AMSEC. Please go ahead.
Shradha Agrawal: Hi. Two questions from my side. So, Pulkit, did we see any impact of the new ESOP scheme which got effective this quarter? And if yes, what was the impact and what should we build in for second half of the year?
Pulkit Bhandari: So, Shradha, basically the new ESOP scheme was approved mid of September. So, the impact that you saw is only for 18 days. That is point number one.
Second, rather than basically building a specific impact or number on ESOP, what I would request you is to triangulate the margins in the mid -teen range that we have been talking about, which gives us the flexibility to invest not just in people bu

t also in capabilities. So, I think that is where we will be for the next few quarters. And that is what we have been guiding as well.
Shradha Agrawal: But what should be the ballpark range of ESOP impact on margins?

Pulkit Bhandari: Whatever the impact…
Shradha Agrawal: Not 18 days, but I am saying for a full quarter impact.
Pulkit Bhandari: That is what I am saying. Even for the coming quarter, what you have to triangulate is roughly the same mid -teen guidance that you are seeing.. So, there is no real reason to give a specific number. But mid -teens is what you should be working with.
Shradha Agrawal: Got it. And if I look at your margin composition, actually on gross profit, we improved our margins by 100 bps despite the 200-bps impact of salary hike, one -time bonus, and 18 days impact of ESOP cost that you are talking of. So, I do understand that rupee depreciation would have helped margins. But apart from that, what was the lever that helped us sail through all these negatives and still show 100 bps gross profit margin expansion?
Pulkit Bhandari: So, as I said, rupee , utilization , mix, and there were certain targeted cost control initiatives as well. So, ASR is something that we knew is going to basically come, which we knew basically in Q1. And we at least had no plans to defer it like say some players would do. And to that extent, we planned around it. And to that extent, those cost actions helped us neg ate the ASR increase.
Shradha Agrawal: Got it. Thanks. And one question for you, Manish. I know there have been a lot of views around layoffs in tech companies. But when we look at the growth numbers reported by your peers in the same segment of high tech, broadly, to my best recall, most companies have reported sequential growth, despite the same industry head winds impacting them as well. So, what was the specific reason that you would attribute to Zensar that has led to a very sharp decline for us in particular?
Manish Tandon: I would just say that don't look at a quarter, a single quarter in isolation. One swallow doesn't make a summer. So, look at the overall trend and see, for some of us it might hit us early. People with more discretionary spend as a part of the revenue mix will get impacted earlier. Those who have more annuity -based spend will get impacted later. And that's why I wanted t o highlight that I am seeing this as a secular trend. And we should not be reading it as just an individual Zensar trend. As I said, for some, it will come now. For some, it will come later. And hopefully, things will improve. For some, it may not come at all, even in maybe Q4 or Q1. But that would be more related to nature of business and their client portfolios, rather than t hat this secular trend is not there.
Shradha Agrawal: Got it. And just one clarification, Manish, if I can. So, there was no preponement of furloughs that we had seen last year in 2Q that had an additional bearing?
Manish Tandon: No, there is no preponement of furloughs. And Shradha, you've been asking about margins. I just want you to know that as a management team, we are very committed to maintain margins. There will be things every quarter, up, down, etc. But again, we plan fo r it, we look at it, and we make sure that we try and stick to that range that we have guided for. Takes a lot of effort, and

it takes a lot of planning to get it done. So, I would say, I would advise that we all focus on the overall margin profiles rather than the individual elements of it.
Shradha Agrawal: Got it. This is helpful. Thanks, Manish. Thanks, Pulkit.
Moderator: Thank you. Our next question comes from the line of Jalaj from Swan. Please go ahead.
Jalaj: Thanks for the opportunity. Manish, apologies at the start for again harping on the TMT vertical. But j

ust one question. So, should we consider this as the newer base in terms of the absolute numbers or there is more pain to see from here? Because what you called out look s like a structural change, then the priorities of the spends will change. And if we are not present in those areas, obviously in the CAPEX related, then the revenue streams would not flow to us. So, how should we understand this? An d then maybe not just next quarter or broadly, so I am trying to understand.
Manish Tandon: See, the sector has been stressed for quite some time. So, I don't know and I don't really have a crystal ball to say that, okay, this is the worst and is behind us or the best is ahead of us or whatever. But the sector has been under stress, not only for us, but for others also across the board. And so this is not a one-time thing. And I would say something or the other keeps happening in this sector. Now, this time it is GPUs. Then last couple of years, they had overspent after COVID and they were trying to rationalize the cost. So, till now, I would say this is a sector under stress. I frankly don't know. And whoever says they know, maybe I should seek their advice because the way AI is evolving is changing pretty much every day. So, I am not sure how I can be certain as to what will happen next quarter or quarter after. But as I said, this sector has been under stress for quite some time.
Jalaj: Got it. Manish, just a follow up on that part. So, I get what you were saying and it makes logically sense. But considering the discussions you are having with the clients since you are the closest

to them, what sort of discussions are you having as in there is more to come or in the near term, what sorts of discussions with the clients are you having?
Manish Tandon: Clients in this space only talk of one thing, AI. As simple as that. Rest, they are very keen on showing to the world that AI can drive productivity improvement. The best way of showing that is by showing that they can do the same with less number of peop le, period. So, that is the conversation that I am having with almost all the clients in this space. Everyone is very bullish about AI. Everyone wants to prove that they are at the bleeding edge of this and everyone wants to prove to the rest of the world that AI is delivering value and improving productivity. Now you can figure out how you want to interpret it. So, that is where you asked me truthfully. I am answering truthfully. This is what I am hearing.
Jalaj: Thank you. That was very helpful. And the second question was around that while you had started this journey at Zensar, there was an objective or an aspiration to start to move towards the top quartile or every year to move to the next quartile in terms o f growth amongst our peers. So, where are we on that journey and has there been any change in that aspiration or that phase?

Manish Tandon: Last year we were number four in the industry performance and revenue growth in terms of INR terms. And this was when at least two of those three players ahead of us had done inorganic stuff and we had not done anything material inorganically. So, I think we are doing well on the overall target that we have set for ourselves. And again, I would say in terms of INR terms, if you see our year -over-year growth, we would still be somewhere in the top half of the range rather than in the bottom ha lf of the range irrespective of this quarter.
Jalaj: Got it. My only point was as an investor or somebody who's involved with you guys, we would want that journey to accelerate. So, I just wanted to know your thoughts.
Manish Tandon: I also want that journey to accelerate. But again, we are part of the same market, right? So, if there are headwinds in the market, then it impacts all of us. I am still running at 100 miles an hour. But if the headwind is 50 miles an hour, t

hen the average speed is 50 only, right?
Jalaj: Understood. So, what I wanted to understand is if there is any more investments you need to put in for any sorts of capability building that you are aspiring for or investing in, just some thoughts around that?
Manish Tandon: No, as Pulkit rightly said, we solve for our investments. As a management team, we are deeply committed to our shareholders. We use our cash judiciously. We invest in things judiciously. And believe me, if we have to invest for growth, that investment is being made. We are not shirking away from making that investment.
Jalaj: Understood. Got it. Thanks a lot and best of luck.
Manish Tandon: Thank you.
Moderator: Thank you. Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Thanks for the follow up. Manish, just in the 1Q earnings call, you said worst seems behind in TMT. But you also made a statement, will it lead to a Q -on-Q growth? You said you are not sure about the same. So, is it, that there is a sudden change which given you a negative surprise in 2Q versus 1Q? And on a longer term basis, as you are saying, it's a secular trend, what are the corrective measures we are taking in terms of diversification and making sure that the TMT journey does not impact the growth? Because that has been the cause in the last many years.
Manish Tandon: Yes, true. Thanks, Sandeep. I mean, you have been following us for very long. Our share of TMT has been progressively coming down year -over-year. And really, the only solution is to grow other parts of the business much faster than what TMT can decline. A nd as the share of TMT business has declined overall, we find that we are progressively improving our risk profile from TMT. So, just to put things in perspective, FY'24, 27.1% of our revenue was TMT. Now it is only 20% in this quarter. So, we have been and despite this decline, we have still been delivering revenue growth, right? So, that strategy still remains in play. As you can see, all other

verticals, we have seen growth. And we will continue to play on that strategy. I mean, there's no point in going after, if there is a secular decline in a vertical, then there's no point in investing excessive energy into that. The marginal rate of return is fairly limited.
Sandeep Shah: And just on manufacturing consumer service, you were expecting growth to come back in this quarter. Though the decline is lower, but still there is a constant currency decline of 0.6% in this quarter. So, how do you see growth prospects in this segment?
Manish Tandon: Good pipeline is all I can say. We have a fairly good pipeline in this thing. And good news is that in normal currency , it still grew 0.1%. MCS still grew 0.1%. And I think this quarter is also

a quarter where there is a lot of spend in retail because of season time, and so on. So, we also have a decent pipeline in this sector. So, I am not too concerned about this sector.
Sandeep Shah: Okay. And just curiosity about how is the dependence on the H1B visa for us now? And how do we see to reduce that going forward?
Manish Tandon: See, we are not H1B dependent at all. Out of, I mean, there is some information that we have, we hardly have less than 3% of our people using H1Bs of the overall workforce, less than 3%. Also, as a company, we have been consciously trying to hire locally for a very long time. So, we are not as dependent on H1B as some of our peers. And anyway, Sandeep, this is going to impact only in November of next year. And because this new rules are applicable only in the new lottery. And one year is a lo ng time in any business and it's a very long time in politics.
Sandeep Shah: Thanks and all the best.
Moderator: Thank you. Our next question comes from Dhanshree Jadhav from Choice Institutional Equities. Please go a

head.
Dhanshree Jadhav: Thanks for taking my question. My question is pertaining to discretionary spending. I would like to get your thoughts on how your client conversations have been this quarter regarding the discretionary spend. I mean, the discretionary spending is higher c ompared to peers, so on that front. And also on AI -led productivity gains, if you can share how that is infusing or improving our margins, some qualitative aspect would be helpful. Thanks.
Manish Tandon: So, on discretionary spend, any AI -related discretionary spend is very welcome by clients. Any non-AI-related discretionary spend is a tough call to take by clients. As you know, with Liberation Day tariffs and things changing every day, there are enough and m ore uncertainties. And in an uncertain environment, typically you will do mostly non -discretionary projects. But as I said, as far as AI is concerned, it's open season for discretionary projects also. Regarding the benefits of AI, produc tivity benefits of AI, it's too early to call it out. And what we are trying to do is making sure that the benefits of whatever are shared significantly with our clients. So, that is where we are using it more as a competitive lever rather than a productivity edge.
Dhanshree Jadhav: Thank you. That is helpful.

Moderator: Thank you. Our next question comes from the line of Kuber from Axis Securities. Please go ahead.
Kuber: Thank you for taking my question. Most of my questions have been answered. Just one question. In terms of demand, where we are witnessing growth in terms of geography?
Manish Tandon: As I said, except for TMT, we are seeing pretty good pipe line. In terms of geography, I mean, if you leave aside TMT, then we are seeing growth in US; we are seeing growth in UK and Europe; we are seeing growth in South Africa.
Kuber: And moving ahead, because we have seen a sequential decline in the US, so are we expecting any sequential decline further or is it going to get revived?
Manish Tandon: No. See, again you can't mix vertical. See, as I said, except for TMT as a vertical, which is concentrated primarily in the US, we are seeing positivity everywhere, at least in our business.
Kuber: Okay. That's it from my side.
Manish Tandon: All right, I think hopefully this was the last question. We are at the end of this time. So, first of all, again, I want to thank you all for spending your time on a Friday evening, and wish you all a great weekend ahead. And as we look ahead, we can see the uncertainty in today's global market landscape. But we see this not, we see this AI particularly as an opportunity. It is not a threat. It's a big opportunity for all of us. And as your management team responsible, we are very, very keen on making sure that we come out winners in this AI opportunity that is presented to us. We remain focused on delivering differentiated value through innovation, operational discipline and deep commitment to client success. So, road ahead is dynamic, we all know, but we are very confident of our strategy, our people and our ability to turn market shifts into momentum. Once again, thank you for being on this call on a Friday night, and have a good weekend, everyone. Thanks.
Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

“Zensar Technologies Limited
Q3 FY '26 Earnings Conference Call”
January 23, 2026

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
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MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER – ZENSAR TECHNOLOGIES
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MR. PULKIT BHANDARI – CHIEF FINANCIAL OFFICER
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MODERATOR : MR. AMIT CHANDRA – HDFC SECURITIES

Moderator: Ladies and gentlemen, good morning, and welcome to the Zensar Technologies Q3 FY '26 Earnings Conference Call hosted by HDFC Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Amit Chandra from HDFC Securities for opening remarks. Thank you, and over to you, Amit.

Amit Chandra : Yes. Thank you, operator. Good morning, everyone. On behalf of HDFC Securities, I welcome you all to the Zensar Technologies Quarter 3 FY '26 Earnings Call. We have with us Mr. Manish Tandon, CEO and Managing Director; Mr. Pulkit Bhandari, Chief Financial Officer; and other members from the senior management team.

Before I hand over the call to Manish, I would like to highlight that the Safe Harbor statement on the second slide of the earnings presentation is assumed to be read and understood. Thank you, and over to you, Manish.

Manish Tandon : Thank you, Amit. Hello, good morning , good afternoon , good evening everyone. And first of all, wish all of you a very, very happy 2026. And thank you for taking time to join us today to discuss Zensar's financial results for the third quarter of FY '26.

With me on this call are the usual suspects. We have Pulkit Bhandari, our CFO; Vijayasimha, our COO; and Vivek Ranjan, our CHRO. One of the best operating teams in the industry is on the call with you.

Zensar delivered a modest yet resilient revenue performance this quarter. This was supported by healthy volume growth, and I want to emphasize that, and also emphasize that this was predominantly driven from offshore.

While the resulting mix shift, coupled with typical seasonality and furlough -related softness, moderated our revenue growth momentum, our disciplined execution ensured continued operating strength . Notably our profitability metrics, order book and cash position all reached their strongest levels in recent quarters, underscoring the discipline of our execution and the robustness of our financial foundation.

We begin 2026 with a singular commitment to lead as a truly AI-native technology services company, redefining the value we deliver, guided by a strong execution framework, nearly 60% of our workforce is AI certified and 20% of this year's order book is AI influenced, demonstrating the tangible value we deliver through our strategic investments across the entire

AI stack from experience to engineering to engagement.
Moving towards the financial performance. The company posted revenue of $160.5 million, a year-over-year growth of 2.2% in reported currency and 1.3% in constant currency. In INR terms, this equates to year-over-year growth of 7.9% and sequential Q-o-Q growth of 0.7%.

On a year-over-year reported currency basis :
• Revenue grew by 12.2% in Banking and Financial Services
• 5.2% in Healthcare and Life Sciences, while
• In Manufacturing, Consumer Services and also in Telecommunication, Media and Technology vertical , revenue declined by 2.7% and 11.6%, respectively.
We are pleased to inform that after absorbing the impact of furloughs, our:
• Gross profit improved to 33.7% sequential growth of 270 basis points.
• Our EBITDA improved to 17.4%, sequential growth of 200 basis points.
• Net cash and cash equiva

lents positions improved to $322.4 million, sequential growth of $29.4 million
• Order book improved to $180.2 million, sequential growth of 13.6% .
• This, coupled with industry -leading 9.5% attrition demonstrates our commitment to disciplined execution and our enriching culture that foster long-term relationships while continuing to execute our strategic priorities.
With that, I will now invite Pulkit, our Chief Financial Officer, to provide an update on critical financial data. Over to you, Pulkit.
Pulkit Bhandari : Thank you, Manish. Good day, everyone, and wish you a very happy New Year. Thank you all for joining this call. I will take you through some of the key business and financial metrics for the quarter ending December '25.
IT industry has been navigating a pivotal transformation, driven by accelerated adoption of AI. Due to economic uncertainty, enterprises are prioritizing cost optimization and vendor consolidation over discretionary spend that leverages AI. Client conversations have shifted decisively towards building AI-ready data foundations and outcome -based data analytics. We remain committed to delivering enterprise -grade solutions that align with client expectations and enable measurable business outcomes.
The reported revenue for the third quarter of financial year '26 stood at $160.5 million in USD terms, reflecting a growth of 2.2% Y-o-Y and a degrowth of 1.4% sequentially in reported terms. In constant currency terms, Y-o-Y revenue grew by 1.3% and sequentially, it de-grew by 1.3%.
Our EBITDA this quarter expanded by 200 basis points, sequentially driven by:
• Positive forex impact of 0.7%,
• Improved offshore effort mix by 1.4%,
• Leave utilization benefit of 1.0%,
• Other operational efficiencies of 0.7%.
This was offset partially by:
• Impact of furloughs to an extent of 1.0%,
• ESOP, and this is a full quarter of ESOP cost coming in, of 0.9%.

While we have expanded our margins, we continue to invest in augmenting capabilities, specifically around AI and sales. We maintain our mid-teen margin guidance.
Our PAT for the quarter stood at 13.9%. This includes an impact of INR 25 crores on account of new labour code changes. We continue to monitor and assess the clarifications as we go into this new law changes.
Some other key highlights :
• Our order book for the quarter stood at $180.2 million. Our book -to-bill ratio for the quarter is 1.12.
• Cash, including investments stood at $322.4 million with an impressive DSO of 71 days. Our attrition improved to 9.5%.
• Diluted EPS grew to INR 8.7 per share, which is 9.4% growth quarter -on-quarter.
The Board has agreed to pay an interim dividend of INR 2.4 per share this quarter.
With that, I will now invite Vijay, our Chief Operating Officer, to comment further on Q3 FY '26 results.
Vijayasimha Alilughatta : Thank you, Manish and Pulkit. Greetings, everyone.

I will now share details about our operational efficacy, service line performance and AI journey.
Our utilization for the quarter stood at 83.5%, which grew by 60 basis points Y-o-Y and decline of 130 basis points Q-o-Q due to the seasonal furloughs. The rigor associated with accelerated fulfilment and capability enrichment continued. We had a gross addition of 988 employees in the quarter. Our voluntary attrition was 9.5%. This is the fourth successive quarter where our voluntary attrition has been below 10%.
The offerings from our service lines and industry services group continue to resonate well with our clients.
• The share of revenue from our service lines increased

to 69% in Q3, which is 220 basis
points higher Y-o-Y.
• On a Y-o-Y reported currency basis :
o Cloud Infrastructure and Security services grew by 10.9%.
o Data Engineering and Analytics grew by 13.1%.
o Products and platforms, including CMO services grew by 3.0%.
o Enterprise Application services had a degrowth of 3.6%.
The AI talent transformation initiative has seen significant growth in Q3. Our transformative Ignite AI Academy has impacted 7,300 plus unique employees with over 10,000 course completions in AI, generative AI and agentic AI. This demonstrates our unwavering commitment to developing future -ready talent at scale.

Industry -recognized certifications have also seen a strong uptake, thereby strengthening our technical credibility in the AI domain. The AI for leaders programs has gained significant traction, driving innovation and leadership in AI adoption. We continue to deliver significant value to our clients in key AI engagements.
A couple of examples of value delivered to clients are as follows:
• We have established a physical AI lab for a Fortune 50 client, which is focused on large -scale physical simulation and world model development. The lab enables multi - agent simulation, synthetic data generation and closed -loop training to build high fidelity world models that reflect real-world dynamics.
• Leveraging ZenseAI, our agentic AI platform, we delivered an end-to-end modernization assessment program for a prominent financial services client for its retail credit processing platform. The engagement reverse engineered 300-plus complex mainframe programs and interfaces and established an execution -ready road map, achieving up to 60% faster documentation, 50% faster rule extraction and materially lower scoping risk.
With that, we can now open the line for questions.
Moderator: We take the first question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan : Congrats on the solid execution on margins despite the weakness. I had a couple of questions. So the first is, I think last quarter, Manish, you had mentioned an all-time high deal pipeline. Just wanted your thoughts on the conversion there. And second, when do you think we start seeing consistent predictable growth? Where do you see the pain points lie today?
And finally, I think what you mentioned on the AI side, saying 20% of the order book is AI influenced. When we look at peers, people indicate higher -- reasonably higher numbers there. So I just wanted your thoughts there as well. Is it that we're sort of lagging there? Or is it just a massive classification?
Manish Tandon : Yes. So first of all, let me answer the third question first. When we say 20% of our order book is AI influenced, we believe that -- we believe in tracking that only EN and NN can be ordered -- can be AI influenced. We do not believe that renewals can be AI influenced.
And if you take that number, then this 20% actually goes up to a very high number overall, okay .
So, I think that is where most likely the disconnect is. And Nitin, I don't want this to treat AI like people used to treat digital, but suddenly 100% of their revenues became digital overnight.
So, I don't want to do that. So, we are very disciplined in the way we report our AI influenced order book.
The second question on areas of softness. Areas of softness remains TMT. Other sectors, there are pluses and minuses here and there. The area of weakness remains TMT. And while I point out to the area of weakness, I would say the area of strength remains financial services and insurance, okay .

So that -- and third is you said a strong pipeline. So, I just want to point out that while you guys are focusing too much on revenues, look at the volume growth also. Ultimately, the volume growth, what has happened this quarter also besides the furlough is that there has been a change in the on-site mix. And we have done more work offshore. And that is also reflected in the margin improvements that we have shown. So also, I think next quarter, if this volume growth is, I think it is, sustainable along with the higher number of working days that we see, we should start seeing a reflection in revenue numbers also.

I also want to point out that while revenue growth is very exciting for everyone, I'm a bit old school. I still focus on the bottom line. And we have grown year-over-year in dollar terms; we have shown 18.2% growth in bottom line. And in rupee terms, 25.0% growth. So as I said, I'm a bit old school. I will not go in for revenues that don't lead to profitability and margins.

And as I have said before also we as a management team, solve for shareholder value and shareholder value is a combination of revenue growth and EBITDA percentage. And that is what we will continue to solve as we go forward.

Nitin Padmanabhan : Yes, sure. That's helpful, and I agree with that. The only question is that I think at some point, growth will also become important, right? I think when we -- our thought process was that we will be in line with peers and higher than peers over a period of time from a growth perspective. And so I was just asking from that angle. The profitability, I completely agree, profitability has been extremely strong. But obviously, our growth ultimately feeds everything. So just wanted your thought there on achieving higher than peer growth over time, yes.

Manish Tandon : Nitin, I absolutely agree with you. But when you know -- as a management team, when you know that this is a seasonally weak quarter , right . And this is a seasonally weak quarter for everyone. The best way of generating shareholder value in a quarter like this is to try and improve the bottom line because top line is difficult or you can achieve certain -- only certain levels of this.

We are not saying that we are focused exclusively on bottom line. We are actually very, very, very focused on top line growth also. And God willing, we will start seeing the results soon. But as I said, in the interim, I would just say when one says growth, one can look at profit growth, or one can look at revenue growth.

I would rather look at profit growth than revenue growth. And on that front, I think we have delivered stupendously, 18.2% year-over-year growth in dollar terms. I would challenge others to see if anyone has delivered this kind of growth in profits.

Moderator: We take the next question from the line of Amit Chandra from HDFC Securities Limited. Please go ahead.

Amit Chandra : Congratulations on a very strong margin expansion. So you mentioned about that we saw the volume growth in this quarter. So if you can quantify what was the volume growth, just to give a context. And also, you mentioned that the stress area is like TMT, which obviously has been

there over the last 11-12 quarters now, and it has been -- the Y-o-Y growth has been negative over the last 11 quarters.

So how do we see the stress there in the TMT, whether it's an ongoing stress and we don't have a visibility there? Or we can assume that there is some light at the end of the tunnel, and we can see some recovery there in terms of the TMT b

ecause earlier also, you mentioned that ex of the top client or the TMT last year also, our growth was pretty healthy. So if you can throw some more colour in terms of how the growth is ex of the stress in the large account?

Manish Tandon : So, I would say -- Amit, my challenge now to myself and the team is that can we deliver double - digit growth despite TMT not delivering. That is the challenge that we have taken up as a team. And there is no point in -- today in the Board meeting also, I said the same thing. There is no point in saying TMT, TMT, TMT. I mean let's get beyond it now.

And now the proportion of TMT to the overall mix has come down from the past. So that is what we want to look forward and look ahead, not on the basis of -- and still deliver -- try and deliver growth despite whatever happens in TMT. As to TMT, I mean, my commentary has been consistent, that we are seeing a lot of spend moving away from services to AI, capital investment towards AI, particularly in buying hardware, etcetera .

So I am not looking at TMT improving significantly. If TMT can stay flat for us, that will be good for us. As to the volume growth, Vijay or Pulkit -- Vijay, maybe you can comment on it or Pulkit, you can comment on it, the exact numbers?

Vijayasimha Alilughatta : Yes. So we had a volume growth of 3.1% at offshore and overall of 1.7%, that translated to

1.7%. There was a decline at on-site because of movement from on-site to offshore.
Amit Chandra : Okay. And now coming on to the strong areas, which is BFSI and also, we have seen some recovery in the MCS. So, if you can throw some light in terms of specifically BFSI, what's happening there in terms of clients because BFSI has been a strong area where like most of the peers and where the growth is coming for the sector.
And obviously, we are also seeing some strong growth there. But if you can split it between what's happening between US and Africa because we have a strong presence in BFSI in Africa also. So, if you can give us some insights there? And also on the manufacturing, are we seeing some reversals in terms of the priorities in terms of clients? And can you confidently say that the worst is behind for manufacturing?
Manish Tandon : Okay. So on BFSI, we are seeing a decent amount of growth -- secular growth, be it in Europe, be it in Africa, be it in US and particularly in the US, we are seeing reasonable growth. So that is your first question. On manufacturing, as I have said before, our exposure to manufacturing is fairly limited. And hence, we don't get impacted too much by manufacturing.
When we call -- what we call manufacturing and consumer services is primarily retail. And there, this quarter is the seasonal sort of quarter. So there are -- as you know, retail spending -- retail 40% of sales happen in this quarter. So most retailers ramp up. And -- but we are seeing good

amount of -- some amount of green shoots. I would not say a good amount of green shoots, but some amount of green shoots in this sector.
Life Sciences, although you have not asked, there we are seeing -- continued headwinds and primarily because in one or two accounts, we have been at the wrong end of consolidation.
Amit Chandra : Okay. And sir, like, lastly, on the margin front, obviously, we have seen healthy growth. So is there any, like, one-off component in terms of the margin expansion that we have seen? And obviously, we are at the higher end of the guidance in terms of the mid-teens. So, are we planning to invest some of these gains back into fuelling the growth?
And also, in terms of cash p

osition, we have very healthy cash, which is 18%-19% of market cap right now. So how do you plan to give it back to shareholders? And in terms of acquisitions, what are our plans ?
Manish Tandon : So there are lots of questions, Amit. So let Pulkit answer all the financial questions. I think between Pulkit and Vijay, the two people who are most responsible for delivering this, I think they should answer. Pulkit, over to you.
Pulkit Bhandari : Sure. So, Amit, I think the way we look at basically margin is that part of it is structural improvement and p art of it is basically specific to this quarter. So, when you look at the overall expansion, there is an improved offshore effort mix, which is roughly around 1.4%. And that's the structural shift, and I would say, slightly more long-term than anything else, which is going to stay.
Impacts like -- the benefits like leave utilization, some part of other operational efficiencies may actually go away next quarter. Yes. At the same time our endeavour is, to answer your first part, we want to invest continuously in AI and sales. And to that extent, basically, some of the expansion will go back and get flowed back in these two areas.
The long-term guidance still stays at mid-teens. But at the same time, some of these improvements should basically sustain. And if not invested back, they will help us expand the margins. But the endeavour is to, of course, invest them back. That's part one.
Second, our cash position stays strong. Our DSOs, as I called out, is strong. Our collections every quarter have been improving. Overall, do we look at capital allocation ideas? Absolutely, yes. Do we evaluate M&A situations? Yes, very actively, but we are very mindful in terms of how they will be accretive, not just to the revenue but also to the bottom line.
So, our decision -making is centred around the ability of any idea, which can help us, again, in the mid-term to long-term. They're not short -term solutions. So that's how we look at cash. You said distribution back to the shareholders, this quarter, again, like last year, same time, we had an interim dividend that we announced. This time, it is 120%. Last year, it was roughly around 100% of the face value.
So we are improving in terms of our distribution ratios. And we would kind of do that balancing act between distribution and, of course, keeping cash for growth.

Moderator: We take the next question from the line of Sandeep Shah from Equirus Securities. Please go

ahead.
Sandeep Shah : Congrats on a strong execution on margin in a difficult quarter. Sir, the first question is when you joined at that point in time itself, you were knowing that TMT could be a pain portfolio, especially because of a large account client -specific issue. So, any view why we were not able to compensate that by acting proactively in some of the other verticals? Is it more to do with the portfolio mix outside BFSI and TMT, which is hurdling us in terms of a proactive aggression. Is it more to do with macro?
Or is it more to do with our sales aggression where we are not able to act proactively in terms of adding more deals, more pipeline, converting more pipeline into deals and into revenue to compensate TMT because now as a percentage to sales, if I'm not wrong, would have come down from high teens to closer to high single digit. So any view on this? And any change of gears in terms of acting aggressively on a proactive basis?
Manish Tandon : So, Sandeep, you are assuming that the platform that I inherited, I mean we, the management team, inherited was a stable managed se

rvices platform. That assumption is wrong. What we inherited was really a slightly more advanced form of a staff augmentation company, to be very frank. So we were grappling with multiple problems.
And as I had said before this, if we didn't fix the margin issue first, then there will be no investment available to invest in the business to transform the business. And that is why we took the important problems first. We positioned the company in a fashion that it can take advantage now of the new trends and the new things that are happening.
And I'm very pleased to say that we are now in a position , be it M&A, be it investing in AI, be it launching new verticals, we have created the framework and the scaffolding in the organization to be able to do all those things. TMT is also now less than 10% of our revenue , if I'm not mistaken. So its impact is going to be less going forward. That's the other thing.
And almost all the sectors were struggling when we joined. So please do not forget that the run rate of the company was less than -- when I took over was $140 million a quarter, if I'm not mistaken. So from there, we have come a long way. And I feel very confident that now the company is really positioned to take advantage of the opportunities that the environment is presenting.
Sandeep Shah : No, no. Fair enough. Great reply to the question. And sir, just in terms of further to what Nitin asked, and you have replied, you said we generally prioritize on a profitable business. So that's a good strategy because what investor wants is an EPS growth as well. But in that scenario, why we are not increasing our EBITDA margin goal post?
Because at one end, if we are saying we want to become profitable, at the other end, we are saying we are investing, but that is not yielding growth turnaround yet. So why not increase the margin goal post where currently, the margin is much higher than the goalpost?

Manish Tandon : So, Sandeep, again, see, I outlined this philosophy very early in my tenure, that I'm trying to maximize shareholder value and for me, maximizing shareholder value, in some cases, may mean lower revenue but higher margin.
But in most cases, it means higher revenues and lower margins, okay . So at this stage, as I was mentioning to Nitin, when you go into a quarter and you realize that this is going to be a soft quarter for everyone, what can you do to maximize shareholder value? You can only shore up and execute much better, execute to higher margins. And that's what we have done.
If this quarter, I get a large deal, for example, which is not margin accretive in the first year, it gives me that cushion to take up that large deal, even though it might not be accretive in the first year, right, margin accretive in the first year. So this is a -- while we can view it from a quarter -to-quarter lens, we can -- but as a leader, I think and as a management team, we are playing the long game.
We are fixing the company Zensar structurally, and we are positioning it for much better things to come. When I joined, one of the things I told the team that the best is yet to come. And I'm very confident even today that the best is still to come. And we have traversed that journey.
Sandeep Shah : Yes. Yes. Fair enough, sir. Just last two questions. In terms of offshoring, if business has grown on the offshore volume side, why on a Q-on-Q, the offshore revenue mix has just improved by 20, 30 bps?
And second, is it fair to assume fourth quarter there could be a material growth bounce back as we recoup the furloughs and the worst in the TMT may be behind in the four

th quarter, where it may not grow -- weak, but it may not grow and remain stable.
Manish Tandon : So hope is eternal, hope runs eternal is all I can say. Ultimately, volume growth will translate

into revenue growth. In fact, if there is no volume growth and there is revenue growth, then we as a management team get worried. So this is very encouraging.

As to why the proportion, etcetera , I mean, see, there are so many factors, Sandeep, dollar appreciation, some this thing, that has an impact, then the number of -- I mean, two people going off from on-site will have an impact -- equivalent impact on offshore of, say, five people being added or something like that. So those ratios are also there.

So it's a very -- from a revenue perspective, it's a very fine calculation, especially with the appreciating currency. But being an industry veteran, we can tell you that ultimately, offshore leads to higher margin. Higher offshore volume growth leads to higher margins, and that is what we are focused on.

Sandeep Shah : Okay, okay. Sir, just a clarity, fourth quarter, one can expect growth to turnaround?

Manish Tandon : Sandeep, we don't give guidance, as you know, but hope runs eternal.

Moderator: We take the next question from the line of Debashish Mazumdar from Svan Investments. Please go ahead.

Debashish Mazumdar : I had a few sets of questions. So my first question was around TMT vertical. Sir, I know last time also you had alluded to that the clients have started to spend more on capex on hardware instead of on these services.

But this time or as a whole, how are you seeing this? Has it come to a surprise to us in the extent of the impact on our revenue stream on this? Has it come to you as a surprise, or you were sort of prepared for it? And should we assume -- second part to it is, should we assume that it has bottomed out or there is some more recalibration, which is left there?

Manish Tandon : No, I wouldn't say that it has bottomed out or recalibration. I won't take a guess on that. But if I have to guess, then I would guess on the downside than on the upside, okay. So I would say -- and frankly, as I commented to Nitin and to Amit, I have, myself, and I have asked the team to look beyond TMT. I mean now it's a smaller percentage of our revenue. And I have said that TMT is no longer going to be a crutch that they can fall on as we move forward.

I can tell you that overall, the headwinds in the TMT sector remain. I don't think that the spending that these large companies are doing on capex and so on is going away. And a lot of in-sourcing is also happening in these sectors. And wherever people are able to retain businesses, they are giving hefty discounts of the order of 30%.

Debashish Mazumdar : Thanks. So just a follow -up on this one. Is the headwind we are facing in TMT is a broad -- all across clients? Or is there a few, let's assume one, two, I'm not even alluding to the top one. Is it a few set of client -specific issue? Or is it a broader theme you are seeing across?

Manish Tandon : See, we don't have too many TMT clients, to be honest with you. So at least in our portfolio, we are seeing it as a broader issue. But as I said, we don't have -- it is not that we have 100 TMT clients.

Debashish Mazumdar : Fair enough . That answers it well. Sir, my second question was around the -- I just wanted to understand the cost item of employee cost and wanted to relate it with the decline or a flattish offshore revenue. Could you help me understand -- help me tie this up because there has been a sharp decline in employee cost during this quarter. So

how should I understand this?

And was it -- is it a fair assumption that a few contracts or ramp -ups have been delayed or we have reached to a phase where newer ramp -ups are taking time? How should we understand this?

Manish Tandon : As I explained to Sandeep just before this, see, tying up -- when the currency is stable, then you will see direct correlation. When the currency is depreciating so much, then you will not see correct correlation, okay. But everyone in the industry knows that offshore is more lucrative than on site.

So when you look at total revenue, that has been -- there is an interplay of currency and the utilization and volume in there. So as to sharp decrease in the costs, I mean, all credit goes to Vijay particularly and Pulkit and Vivek also as to how they have been able to manage the cost.

Some of it, I can tell you, it is because of leave provisioning because this is a quarter where a lot of people take a lot of leaves and furloughs happen. So some of it -- and Pulkit has also mentioned that there is a 0.7% benefit, correct Pulkit? based on leave that we have got.

Pulkit Bhandari : Yes. So just to basically add to what Manish said. One is basically higher leave utilization, which is roughly around 1% on overall basis. Part of it would have gone into gross margin. Part of it

would have come to SG&A.
The on-site headcount reduction is roughly around 52 in the current quarter. Last quarter as well, on-site headcount reduction came down by around 90, which was towards the end of the quarter. So the full quarter impact of that benefit is coming in Q3.
Debashish Mazumdar : Got it, got it. That explains. Sir, specifically, my third question was around the deal wins. So could you give some flavour as to what parts -- what forms the existing new or a net new part on to it?
And the second part was -- so it was -- are we comfortable with the current run rate of deal wins? And how should we understand that? And what steps are we taking to -- just to improve this or to give it a larger number because we have had a higher number in the past also.
Manish Tandon : Yes. So as I -- as we have been maintaining, we are fairly comfortable as long as the numbers, the order bookings are somewhere between 0.9x to 1.2x quarterly revenues. We are very comfortable with that. This time, it was 1.12 book -to-bill. So that answers, I think, some question -- first part of the question.
The second part of the question is before order booking, you have pipelines, we don't disclose our pipeline, but I can tell you that the pipeline has fairly strong that we see. How much we'll be able to convert and in what time frame, that will -- that we have to accelerate, and we continue to focus on doing that.
Debashish Mazumdar : Sir, part two question was the renewals and the new part of the deal.
Manish Tandon : Yes. So if you look at -- out of the -- Pulkit, do we disclose EE and NN or...
Pulkit Bhandari : No, we won't do it.
Debashish Mazumdar : So a certain flavour to it, just -- I know I understand that you don't give the exact numbers, but just a flavour to it. I mean a year back, how it was or has the proportion changed? Or how are we seeing that?
Manish Tandon : I would say it usually is about 25% to 27% to somewhere between 20% to 30% is about EN and NN normally. Sometimes if you have a large deal or something, it's slightly higher. But usually, it is in this range.
Debashish Mazumdar : And no major shift in terms of a year's back and today's order book. It has predominantly been in the similar range, you're saying?

Manish Tandon : No, no. EN and NN order book has been in the similar range. But our order book -- average order book is -- last 4 quarters, the average order book was somewhere around 185 180 or something, if I'm not mistaken . And this quarter also, it is in the same range. I'm looking at the order book numbers. So last quarter, it was 158.7. Before that, it was 172 and this quarter, it is 180.2.
Moderator: We take the next question from the line of Nikhil Choudhary from Nuvama Institutional Equities. Please go ahead.
Nikhil Choudhary : My first question is on offshoring. We have decently improved offshoring by more than 400 basis points in the last 1-year. Where we are in this journey? And do you intend to increase offshoring further? And if there is any target?
Moderator: Ladies and gentlemen, we have lost the line of Manish. Please stay connected while I rejoin Manish sir. Thank you. Thanks for your patience, ladies and gentlemen. Nikhil, if you could please repeat your question.
Nikhil Choudhary : Yes. Thank you. Just want to understand what's your view on offshoring. We have already increased it by 400 basis points from last year. Any target you have of, let's say, reaching it 60% of overall revenue ? Any timeline? Thank you.
Vijayasimha Alilughatta : Yes. So, look, we don't have a specific target in terms of increasing the offshore ratio. This is based on the type of work that we are getting. And with AI, the advent of AI, we are able to do a lot of these stuff at offshore, and that has been the reason why it is actually progressing. But to your specific question, we don't have a target saying, this is the offshore percent. I think we are in a range -bound stuff, and this is the right range when it comes to offshoring.
Nikhil Choudhary : Got it. Thank you. Second one on growth. With us delivering 1.3% growth, which is lower than the industry growth, compared to our guidance of moving up in a growth quarter from bottom quadrant to top quadrant in next 3 years.
Do you think -- is it possible for us to, let's say, deliver even mid-single -digit to high single -digit growth next year, especially in the backdrop of our 9-month deal win has declined by high single digit and most of the verticals outside of BFSI is actually facing headwind. So how -- what's the timeline or journey you plan to reach the double -digit growth? And can we at least deliver, let's say, mid-to-high single digit growth in FY '27. So some colour there. Thank you.
Manish Tandon : You want revenue growth or you want profit growth?
Nikhil Choudhary : Revenue growth, sir.

Manish Tandon : And profit, if you don't grow, that's fine, right?
Nikhil Choudhary : No, sir, profit growth is obviously very surprising and encouraging. I just want to...
Manish Tandon : Our profit growth in dollar terms is 18.2% year-over-year. I challenge you to find any large - scale players who have delivered 18.2% profit growth year-over-year.

Nikhil Choudhary : Without any doubt, sir. But any colour in terms of revenue growth perspective, just from our own model ling, how should we...
Manish Tandon : How much revenue growth do you want? Tell me. Maybe I can also buy revenue. So I mean, look at the overall picture. Ultimately my job is to deliver -- our job is to deliver shareholder value. Shareholder value comes from, as I'm old school, I know. But shareholder value comes from profit growth, EPS growth. Our EPS growth was 24.1% year-over-year. Our profit growth is 18.2% year-over-year in dollar terms.
Nikhil Choudhary : Got it, Manish. So let me think of this way. Can we sti

ll deliver double -digit profit growth going ahead as that will be the target of the management?
Manish Tandon : Yes. We want to -- yes. Yes, we will deliver -- we want to deliver double -digit profit growth. And we are committed to doing that.
Moderator: We take the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah : Manish sir, you said in the Healthcare and Lifesciences, a couple of accounts where we were on the wrong side of vendor consolidation. So what exactly that has happened? And do you believe the impact of this may start from 4Q and maybe a headwind for the growth in 4Q, 1Q or do you believe the headwind is already in the numbers in 3Q?
Manish Tandon : No, no. I mean, there will be some impact in Q4, but I mean, this is not like it was a $100 million account or anything. So, you know, it's -- we were doing some project with -- we got consolidated out. It is not that in an account, we got consolidated out.
Healthcare and Lifesciences overall size of the revenue -- the size of the vertical is only 60 million, 70 million or so. Then even a 2 million, 3 million things consolidation has an impact, correct? So that is the only thing. Nothing for you to be -- nothing -- I mean, overall, at the company level, nothing to worry about.
Sandeep Shah : Okay, okay. Fair enough. And sir, based on the commentary, it looks like 70% of the portfolio, both on BFSI and MCS has been doing well, and we are confident, but will it be enough for you to drive the growth or do you believe we have to add organically and inorganically new portfolios, which will help us for a long-term growth aspirations.
Manish Tandon : So we are actively looking for inorganic opportunities , frankly. And -- but again, cash that we hold, it belongs to the shareholders, and we want to use it very judiciously, not just to go and arbitrarily buy revenue s. We are not interested in buying revenue s. We are invested in doing strategic acquisition that can lead to long-term shareholder value. So we are cautious, but we are aggressively looking at opportunities.
Moderator: Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to Mr. Manish Tandon for his closing comments.

Manish Tandon : Thank you. Thank you, everyone. It's pretty late. Actually, interestingly, I got dropped out because my cell phone went into do not disturb mode. So, before we conclude, those of you who are in the US and in India, I want to reiterate my gratitude for being on this call.
Most of all, I want to convey my gratitude to our clients for their continued trust, to all the Zensarians for their unwavering dedication and to, of course, all of you for your confidence and support as we embark on this shareholder value creation journey.
I think Q3 reflected the expected seasonal softness, combined with the impact of change in volume mix. Yet our year-over-year revenue growth, profit growth, significant market expansion, the order book and robust cash position, all reinforce our confidence in the path ahead.
As we move into the final stretch of FY '26, our priorities remain clear, maintain disciplined execution, deepen the value we deliver to clients, and continue advancing our AI native thought process. Thank you once again for taking the time to join Zensar's Q3 FY '26 Earnings Call. And I look forward to interacting with some of you in the various analyst forums. Thank you.
Moderator: Thank you. On behalf of HDFC Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your l

ines.

Call: May 2026

"Zensar Technologies Limited
Q4 FY '26 Earnings Conference Call"
April 24, 2026

MANAGEMENT : MR. MANISH TANDON – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – ZENSAR TECHNOLOGIES
LIMITED
MR. VIVEK RANJAN – CHIEF HUMAN RESOURCES
OFFICER – ZENSAR TECHNOLOGIES LIMITED
MR. VIJAYASIMHA ALILUGHATTA – CHIEF
OPERATING OFFICER – ZENSAR TECHNOLOGIES
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MR. PULKIT BHANDARI – CHIEF FINANCIAL OFFICER
– ZENSAR TECHNOLOGIES LIMITED

MODERATOR : MR. JIMIT GANDHI – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to Zensar Technologies Limited Q4 FY '26 Earnings Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand conference over to Mr. Jimit Gandhi from Emkay Global Financial Services. Thank you, and over to you, Mr. Gandhi.

Jimit Gandhi: Thank you, operator. Good evening, everyone. On behalf of Emkay Global Financial Services, I welcome you all to the Zensar Technologies Quarter 4 FY '26 Earnings Call. We have with us Mr. Manish Tandon, CEO and Managing Director; Mr. Pulkit Bhandari, Chie f Financial Officer; and other members from the senior management team. Before I hand over the call to Manish, I would like to highlight that the safe harbour statement on the second slide of the earnings presentation is assumed to be read and understood. Thank you, and over to you, Manish.

Manish Tandon: Thank you, Jimit , and hello, good morning, good afternoon and good evening, everyone. Thank you all for taking the time to join us today to discuss Zensar's financial results for the fourth quarter and full year FY '26. With me on this call are the usual attendees , Chief Financial Officer, Pulkit Bhandari; Chief Operating Officer, Vijay asimha; and Chief HR Officer, Vivek Ranj an.

Let me start with talking about the macro environment . Geopolitical uncertainty and sudden policy shifts have become the new normal. The rules of business are evolving, and tighter immigration policies are beginning to leave their mark. Despite these headwinds, we in the IT industry have demonstrated remarkable resilience.

Turning to Zensar's performance. We delivered a modest yet resilient revenue performance this year, centered around offshore -led volume growth. Importantly, our annualized order book, profitability and cash position collectively reached to their strongest levels, demonstrating our disciplined execution and continued operating strength.

Our AI native offerings scaled to enterprise -level adoption in Q4, driven by multiple high -value AI-led wins, validating our early and decisive investments in this space. With 85% of our workforce AI certified, we are systematically transitioning to a deli very model where AI is embedded in every engagement, driving accelerated technology modernization and measurable productivity gains .

Our strategic large deal win further underscores the bold forward -leading capabilities and client acceptance of our solution s.

Moving towards our financial performance for Q4 and full year FY '26 :

For Q4 FY '26, the company posted revenues of $158.4 million, a year -over-year growth of 1% and a sequential decline of 1.3% in reported currency.

In INR terms, this equates to a year -over-year growth of 6.7% and a sequential growth of 1.4%.
For the full year FY '26, the company posted revenues of $643.7 million, year -over-year growth of 3.1% in reported currency. In INR terms, this equates to year -over-year growth of 7.7%.
For full year reported currency basis, revenue :
• Grew by 11 .4% in Banking and Financial Services,
• 8% in Healthcare and Life Sciences.
• In Manufacturing, Consumer services and Telecom, Media and Technology verticals, revenue declined by 0.6% and 9.7%, respectively.
Additionally, we are pleased to inform that :
• Our annua l profit after tax improved to $87.2 million, a year-over-year growth of 13.6%.
• Net cash and cash equivalents position stood at $319.5 million, a year -ov

er-year
growth of 10%.
• Order book supported by the large deal win increased to an all -time high level of $401.8 million this quarter, a sequential growth of 122.9%.
• Utilization improved to 84.3% sequential quarter growth of 80 bps.
• Our annual customer satisfaction score improved by 470 bps to its highest ever level, positioning Zensar in the top 3 of industry CSAT.
• This, coupled with the industry -leading 9.8% attrition demonstrates our commitment to disciplined execution and our enriching culture that fosters long -term relationships while continuing to execute our strategic priorities.
With that, I will now invite Pulkit Bhandari to provide an update on critical financial data.
Pulkit Bhandari: Thank you, Manish. Good day, everyone. Thank you all for joining this call. I will take you through some of the key business and financial metrics for the quarter ending March '26.
The AI ecosystem is evolving rapidly with clients expressing willingness to expand adoption.
However, a majority of AI spend is being repurposed from existing engagements such as application development and testing, creating pressure on renewals and pricin g.
Our ability to adopt this evolving service model, combined with long -term strategic client partnerships, positions us well to deliver tailored solutions by integrating AI enhancements into our core service offerings. We aim to drive measurable sustainable value for clients.
The reported revenue for the fourth quarter financial year '26 stood at USD 158.4 million, reflecting a growth of 1% Y -o-Y and a degrowth of 1.3% sequentially in reported terms. In the constant currency terms, sequentially, it de -grew by 1.9%.
Our EBITDA this quarter contracted by 130 bps sequentially driven by :
• Lower volumes due to lower working days. That's around 0.3%,

• Reversal of leave utilization benefit of Q3, which has been a past p ractice as well of around 1.1%.
• Increase in other costs, 1.1%, which includes initial costs with regards to large deal implementation and SG&A, which has been offset by a positive forex impact of around 1.2%.
Our PAT margin for the quarter stood at 14.4%, expanded by 50 bps.
Some other key highlights.
• We opened a delivery centre in Belgrade, Serbia. We intend to leverage this for our clients for tapping in high -quality talent and nearshore benefits.
• Our order book for the quarter stood at USD 401.8 million, which includes large deals signed during the quarter.
• Cash, including investments stood at USD 319.5 million.
• Our attrition increased to 9.8%.
• ETR for the quarter is 23.7%.
• Diluted EPS grew to INR 9.2 per share, which is 5.6% growth quarter -on-quarter.
• FY '26 saw an improvement of our ESG scores across rating agencies. For instance, now we are 87th percentile in Eco vadis, leadership category in CDP and 88th percentile in S&P Global.
The Board of Directors have approved a final dividend of INR 12.6 per share for financial year 2026, which is 630% of face value subject to the approval of shareholders in the upcoming Annual General Meeting of the company. With this, our total dividend for the year adds up to 750% of face value.

With that, I will now invite Vijay, our Chief Operating Officer, to comment further on Q4 FY '26 results.
Vijayasimha Alilughatta: Thank you, Manish, and Pulkit. Greetings, everyone. I will share details about our operational efficacy, service line performance, annual CES and AI journey.
On the operational efficacy front, our utilization for the quarter stood at 84.3%, which is an 80 basis point growth quarter -on-quarter. The rigor associated with accelerated fulfilment and capability enric hment continued in Q4.
We had a gross addition of 968 employees in this quarter. As Manish stated, voluntary attrition was 9.8%. This is the fifth successive quarter where our volunta

ry attrition has been below 10%.
The offerings from our service lines and industry services grou ps continue to resonate well with our clients.
• The share of revenue from our service lines increased to 71.6% in Q4, which is 440 basis points higher Y -o-Y.
• On a Y -o-Y reported currency basis :
o Cloud Infrastructure and Security services grew by 13%.

o Data Engineering and Analytics grew by 8%.
o Products and Platforms, including CMO services grew by 6%.
o Enterprise Application Services grew by 1.2%.
As spoken by Manish previously, the annual client experience survey was conducted in Q4. We clocked our highest ever score on both the overall client experience index as well as the satisfaction, advocacy, loyalty and business value dimensions. Our experie nce index improved by 470 basis points, and we have moved further up within the top quartile of industry ranking.
The AI talent transformation initiative has seen significant growth in FY '26. We upskilled 85% of our workforce in AI by leveraging the multilevel training programs of our Ignite AI Academy as well as the various certification drives that we have institu ted in collaboration with our alliance partner. The number of AI learning hours per person increased by 136% i n FY '26 as compared to FY '25.
This demonstrates our unwavering commitment to developing future -ready talent at scale. We continue to deliver significant value to our clients in key AI engagements. We are continuously reimagining our offerings, leveraging AI technology. Some of the refi ned offerings that we provided to our clients in Q4 are :
• Agentic foundry that solves complex workflow issues for BFSI clients,
• Quality intelligence,
• Context intelligence,
• FinOps for AI and
• ZenseAI.Guidewire.
With that, we can now open the line for questions.
Moderator: Thank you very much. We have the first question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Manish, for the quarter, if you could give some colour on why we have seen a sort of a broad -based kind of a decline? Any change in client behaviour because our CSAT scores are pretty good. Normally, one would think that would mean automatically more business. And if you could layer it up with whether this was seen in the early p art, later part of the quarter? And would that mean that at least in the near term, Q1 also could see a similar kind of a decline kind of an impact as the run through. Some colour and context around what really happened and why it's happened?
Manish Tandon: Thank you, Nitin. I think it’s a very relevant question. So, 2 things. One is the usual suspects have caused the problem, which is TMT sector as a whole. The second thing was that we were expecting the large deal to close in Q3 and start in Q4, but the deal closure actually happened in February. So, we were not able to recognize any revenues -- or any material revenues from the large deal. So those were the biggest things that we saw. TMT will remain under pressure for next few quarters.

As you have seen, large companies like Oracle have let go of 30,000 people. There are companies like Snap and there are companies like Box, which have let go of nearly 50% of their people. And that is going to reflect on other thing s.

I would say that EU and SA is back , we have righted the ship, and we should see good growth there.
TMT will continue to be under stress, at least for us. BFSI will continue to grow. Healthcare/Life Sciences will be under stress, and that is primarily because as mentioned to you last call that we have been consolidated out of a couple of accounts. And MCS also, we are not expecting any declines. We are expecting some growth. Hopefully, I've answered your question.
Nitin Padmanabhan: Yes,

you did. So, I think the broad take is that because growth is back in quite of EU and SA and BFSI will grow and MCS will also grow. So, would that mean that at least in the near term, we are not going to have a decline quarter, it should be a growth quarter broadly?
Manish Tandon : Yes. We are -- as we stand, we don't see a degrowth quarter in Q1 for sure. But as you know, I mean, things are changing so rapidly Nitin, not just from a market perspective, but also from the geopolitical situation and tariffs and so many of these things that it is becoming very difficult to predict with surety. But I can say that where we stand today, we are not seeing a degrowth scenario.
Nitin Padmanabhan: Got it. Just 2 more quick ones. One is on the deal ramp, how should we think of how this ramp goes through, the ramp -up of the deal? And the second one was the deal -related costs, which we saw the initial cost of 110 basis points this quarter. How should we see that playing out through the year?
Pulkit Bhandari: Sorry, Nitin, what's the second part? What is the cost that you mentioned?
Nitin Padmanabhan: The deal -related initial cost -- how should we see that sort of panning out through the year?
Pulkit Bhandari : Yes. So let me take that. Now when you look at the first part of your question in terms of how does the ramp -up around revenue looks like for large deals, While we are on track, we have started basically kind of working with them very closely. The ramp -up will take some time because it has its own complexities. Transition always is a lengthy process, where basically multiple variables come s into play. But it's going and we are tracking it. Difficult to give you an exact number, but we would hope that Q1 should see some part of revenue coming in.
And the full-fledged revenue should come from Q3. Q2 should also basically benefit a little bit.
But the proper and the full ramp -up, I would say, basically is Q3. When you look at the cost structure, we have already started kind of hiring for the large deal. And to that exte nt, there's been an expansion in number of people and costs associated with them in the P&L that you see today.
But as what we have called out earlier as well, during the transition time frame, during the ramp -up period, there will be some pressure on the margins, while we will try and see how we can

cover and plan for them, but there will be some pressure, which you should be expecting at least in Q1, Q2.
Nitin Padmanabhan: Okay. Sure. Got it. And one more, if I may. From a deal pipeline perspective and closure, -- how do you see that? Because of late, I think a lot of earnings calls, a lot of talk was on hyper competitiveness and sort of pressure on margins. So just wanted your thoughts on that ? And that's all from my side.
Manish Tandon: Yes, Nitin, so again, a very relevant question. See, the competitive intensity is going up tremendously. And so much so that we are seeing Tier 1s competing for deals, which a few months back, they wouldn't even look at . I can tell you that almost everywhere, we are encountering a Tier 1 in our competitive set, which was not the case a few months back. As far as our pipeline is concerned, it is pretty good from where I see things.
At least I'm not worried too much about our pipeline as of now. And even the order booking that you see, even if you exclude the large deal, our order booking has been of the order of $200 million plus.
Pulkit Bhandari: $206 million...
Manish Tandon: $206 million or so. So, while the competitive intensity has increased tremendously, we are stepping up to the plate and making sure that we are not only bidding, but winning as much as we can.
Moderator: Sir, we have next question from the line of Sandeep Shah, Equirus Securities.
Sandeep Shah: Manish, we clearly understand that the sector is facing too

many headwinds at the same time,
which are led by tech as well as the geopolitical issue and macro issue. But answer to that could be a consistent traction in the order intake, which helps us in terms of driving a predictable, consistent growth quarter after quarter. So I think we did this in this fourth quarter. But as a phenomenon, you believe we need to further strengthen our large deal team ?
And I'm not saying every quarter we can have a mega deal or large deal, but at least the order

intake continues to remain above 1.3, 1.4x for a company like a mid -cap, which helps to have a sustainable growth on an ongoing basis. So how are you looking at this angle and strengthening the large deal formation team to perform on a consistent basis?
Manish Tandon : Sandeep, thank you for that question. See, we are all in on AI. And as you can see, one of the reasons for our large deal win was our AI solutioning. And we have taken this to the next level.
Now none of our large deals go without a significant AI compone nt to it. We have created new solutions, new offerings.
And through use of AI, we are targeting newer segments and shaping more large deals.
Obviously, we'll still wait for the results to come out. But I believe that having a healthy order book and having a healthy pipeline is directly reflects on our focus on AI and how we have changed our go -to-market perspective.

Sandeep Shah: Okay. And just in the TMT top client, one can assume the growth could be flattish or marginal decline rather than a significant decline may continue on a going forward basis because the contribution of that client to the revenue would have been now between 6% to 8%..
Manish Tandon: We will see continued decline in that account very clearly because that account itself, there is an in -sourcing paradigm that is being talked about. They are cutting costs significantly in line with other technology companies. So , if you look at it in our projections, we have not taken any growth in that account. We have, in fact, budgeted for continuous decline in that account.
Sandeep Shah: Yes. And in the backdrop of that, do you believe the coming year, the growth outside the mega deal could still be a decent growth and higher than what we have registered in the FY 2026?
Manish Tandon : Hope runs eternal, if we didn't have hope, there would be too many suicides in general. So , hope runs eternal, but we have taken a pragmatic view of where we stand. Our budgets and so on are not a statement of aspiration, but a statement of reality as we see today. I would also say that the reality that we see today keeps changing .
And that is the whole issue that we have -- the good news is as a smaller agile organization, we are better suited to respond to those changes, and that is what we are trying to do. But I can tell you that our FY '27 performance will be contingent on our perfo rmance on our large deal.
Actually , I won't even call it a large deal, it's a mega deal. And it will be contingent to some extent on what we do on the mega deal...
Sandeep Shah: Okay. And on this mega deal, can you give us colour what has led us to win that deal?
If I'm not wrong, we have replaced one of the Tier 1 incumbents and how we are replicating this across sectors, verticals and make this phenomena at least not quarter after quarter or 1 or 2 such instances in the whole year?
Manish Tandon : I don't want to comment too much on the large deal because we have given whatever we had to in our press release. But I would say that it really enhances our capabilities to do deals of this size. Our clients and prospects and the analysts and advisers have noticed that. Also, as we are executing this mega deal, we are becoming demonstrably competent to all these people. And hence, we are hoping that we'll be able to at least bid for more larger deal s even if we win

or we
don't win.
Moderator: We have next question from the line of Baidik Sarkar from Unifi Capital.
Baidik Sarkar: Cong rats on navigating a tough environment. A couple of questions. In the past, you've always given us a qualitative flavour on the size of deal pursuits and deal pipeline, right? If you had to kind of quantify that statement relative to perhaps where we were same time last year, would you say that size has shrunk or if it has expanded? If you could just help us imagine that pursue pipeline there? That's point number one.
And the second question is on the mega deal. A very simple back of the envelope calculation indicates the revenue potential of roughly $9 million to $10 million per quarter, right, starting Q2. Is that a similar ballpark your delivery is working with as w e get into Q2 of FY ‘27. And

lastly, on the margin front, if you could just walk us through the incremental labor costs. Is that entirely attributable to investments for the megadeal -- or is there an organic part to that wage cost inflation as well?
Manish Tandon : Yes. So Great questions. The first question i f I'm not mistaken is pipeline related. So see, there are 2 parts to that answer. One is, have we increased our addressable market? The answer is definitely yes. And second is, have we increased our pipeline? The answer to that is also yes.
But again, pleas e remember that we have converted a $210 million deal, which dropped from

the pip eline ..
We wish to convert even more of those. So just looking at the pipeline change may not give us the right answer. And this is something that we monitor on a pretty much weekly to monthly basis as to how the pipeline is doing. And I can say that I feel good a bout the pipeline that we have.

Baidik Sarkar: I mean if I can just stretch on that, net of that large deal, right? I think the deal that we kind of booked this quarter was about $192M. I think one of your coll eagues mentioned the number of $206M. I'm just kind of netting off the $210M from the reported Q4 number. What's the right numbe r? Is it $196M or is it $210M?

Pulkit Bhandari: So basically, the gross value of the deal is $210M, and that's what we have taken. There are basically certain, I would say, large deal related elements, which basically makes it net. And to that exte nt, we called it out whatever, $195M. But from your perspective and calcu lations, you can go ahead with $210M for now. And that's the number that you should keep it as a reference point.

Baidik Sarkar: My question actually was, if I have to net off this $402M with $210M, we did got $192M, right, as against $180M in the previous quarter. So is the environment and your pursuit strong enough for you to maintain this cadence in -- over the short term -- over the very short term, next 2, 3 quarters?

Pulkit Bhandari: So the overall order book, so if you're commenting in terms of the order book, excluding this, the overall order book has been in line with what we've been targeting and aiming at. I would say anything which is above 1.1 x is somewhat acceptable and good, which gives -- which ensures that we have enough traction, which is what it translates into. So I would say anything which is between $180M to $200M on a standard basis is a reasonable number.

Baidik Sarkar: Got it. And the scale up, would that be about $9 M to $10 M starting Q2?

Manish Tandon : We don't want to comment on that just now because at this stage, essentially, our focus is to scale up as quickly as possible. So, at this stage, we wouldn't like to comment on it. But I would also like to say that from a pipeline perspective, we have been comfortable pretty much every quarter because for us, pipeline is generating new business has not been too much of a problem. Our problem has been that the revenue attrition that is happening, especially in TMT has be

en
hurting us quite a lot. So, we continue to be positive about our pipeline and our ability to get new business from existing clients and even to some extent, new business from new clients.

Baidik Sarkar: Right. And just on a question of attrition, barring your topmost client, is there a degree of attrition in other TMT customers as well? Or is this majorly related to the top client?

Manish Tandon: I think the most material deterioration is there. But otherwise, it's business as usual, otherwise. I mean, some accounts we will add, some accounts will go away. It is more business as usual on the other side of things.

Baidik Sarkar: Sure. And on the employee cost, if you could please clarify how much of it was new deal related and how much of it was organic?

Manish Tandon: Sorry, come again?

Baidik Sarkar: Yes. So I was referring to steep increase in your employee cost. I mean you did mention in your opening remarks that there was a bit of upfronting of investment relating to the new deal. I'm just trying to understand how much is organic and how much is ne w deal related, the increase in your employee cost?

Pulkit Bhandari: No. So employee cost, I would say the addition on account of the new deal will be somewhere close to around 0.5% to 0.6%.

Baidik Sarkar: Okay. And does this go up in Q1 as well? That is , does this go up sequentially in Q1? Or does it stabilize from here on?

Pulkit Bhandari: So, it will go up. So, the cost around this deal will go up in Q1 and Q2. And that is why in the beginning, I had called out that as we ramp up during the transition time frame, there will be some pressure around margins, but they will stabilize the moment basically we start cl ocking revenue and transition phases over.

Baidik Sarkar: Got it. And the expected cadence in Q1, Q2 will be in the same ballpark, 0.5%?

Pulkit Bhandari: No, difficult to triangulate and give it to you now because as what we called out, right now, the objective is to scale up and difficult to give you an exact cost number around that today.

Baidik Sarkar: Okay. And if I just squeeze in one bookkeeping question. The expected tax rate for the whole of '27?

Pulkit Bhandari: So, this year has been good. We've basically kind of done well on ETR. I would say, while we would not give an exact guidance, I think normal corporate tax rate, a plus/minus 0.5% is a range to work with.

Moderator: We have next question from the line of NGN Puranik from Enam Securities.

NGN Puranik: I want to understand from you your readiness to be in the large AI deals, meaning AI deals are not large yet, but whatever size they are, $5 million, $10 million. And in terms of people readiness and project readiness and the experience that you have gain ed over a period of time, is it enough for you to bid for a pure -play AI service? And also, if you can give the list of service lines you have developed over time on the AI?

Manish Tandon: Yes. So great questions, as always, sir. I would say on AI, we are very, very bullish . I am personally driving the effort along with my senior management team and Vijay, Pulkit, Vivek and others. We are looking at all aspects of AI. Almost every service line that we have today, we have rethought it, and we have made it AI native rather than AI infused. And this philosophy has percolated not just to our delivery and sales organization, but also to our support organizations in terms of finance, HR and everything.
85% of our workforce is AI enabled. So we are ready to take advantage of that. And not only we are ready to take advantage, but we are taking proactive steps to make sure that the benefits of AI are seen by our employees and by our clients. So I believe that for companies of our size, this is the next turn in the road. And as in Formula

1, they say that you always win in the turns , we believe we must win this.
NGN Puranik: And how significant is AI usage within your organization, both in finance, HR, admin, product management everywhere ?
Manish Tandon: Pulkit and Vivek, maybe you should answer that question. Pulkit is our CFO and Vivek is our CHRO.
Vivek Ranjan: Thanks a lot, sir. It's a brilliant question. In fact, just adding to what Manish mentioned, I'm Vivek, I'm CHRO Zensar. So one, in fact, we have invested significantly in the training of our people. And as Manish mentioned, 85% of our employees are AI re ady. Second, from HR process perspective, from pre -onboard to retire, there are various touchpoints, including hiring, engaging, developing our employees. For each of these touchpoints, we have identified areas where we can bring in generative AI and agentic AI.
So for example, our recruitment is completely AI -enabled. So each of these touchpoints, we are also making it sure that we bring in AI to ensure that we are not only selling AI to our customers, we are role modelling that and infusing that in all of our processes. So that's from HR perspective. Pulkit, do you want to add on that?
Pulkit Bhandari: Yes. So I think good question in terms of how are we using it internally. Vivek gave you a perspective around HR. From a finance side, I would say a lot of business process -oriented functions, say, something like an AR/AP, right? We are trying to basicall y infuse AI in those areas. SG&A, which is again based around data and how do we basically comprehend and use that data. So we are using AI around that.
The third element is contracting contract er when you look at legal contracts. We have designed and using in -house agents who are basically helping us basically shorten the time frame of the entire contracting.
NGN Puranik: And the saving in terms of number of people who are deployed for this would be significant?
Pulkit Bhandari: So what we have done, an interesting thing that we have done is within our own support functions, whether it is HR, whether it is finance, we are hiring engineers as well who are only focused on infusing AI into our processes in support functions.

NGN Puranik: Very good. That's a good way to introduce AI to the organization, right . Can you also mention about the service lines you have developed? Because I want to understand from you, for example, if somebody says that I want to spend $10 million on AI -related projects with the oriented organization. So what service lines do you thin k he should adopt for a $10 million project? Do you have enough services to deliver?
Manish Tandon: On a lighter note, we will create any service line that they want us to create for a $10 million project. But to answer your question more directly, I think one is, as I said, we have reimagined all our services ground up using AI. One of the key new offe rings that we have launched is QI, which is quality intelligence, okay ! Quality intelligence is -- see, what is happening is as you would have heard of Vibe Coding and so on. So , instead of writing code, people are giving prompts.
So essentially, you have to test against the prompts, not against the code. So you have to do against intent, not against functional requirements or functional specs. So that is an example of

a service, which we have launched, and it can easily become a $10 million service line. In fact, on a couple of deals, we are bidding QI -related stuff in that range. So we have created many more, but this is just a classical exampl e of a service line.

NGN Puranik: But do you have any specific service lines, like what you used to have in the traditional ADM world?

Manish Tandon: So quality intelligence is in the ADM world, , it was known as IVS or testing, as you know, I started that business. Now I'm starting quality

intelligence here.

NGN Puranik: Interesting. Manish, I also have to understand from your mega deal, how much of that mega deal will have productive AI and what percentage is predictive AI in terms of people, processes and all?

Manish Tandon: So see, it's both productive and predictive. So for example, the transition, okay...

NGN Puranik: And you will need a lot of prompt engineers there also?

Manish Tandon: No, not really. Not really. I mean, I'll have to spend a couple of hours explaining both the productive and predictive part of it.

NGN Puranik: Wanting to do that?

Manish Tandon: Maybe in our one -on-ones or so on ...

NGN Puranik: We'll do that. So -- but this is a significant investment, AI would be in this project in megadeal?

Pulkit Bhandari: Sir, we would like to refrain from commenting on the...

NGN Puranik: Yes, I understand...

Moderator: We have next question from the line of Girish Pai from BOB Capital Markets Limited.

Girish Pai: I just want to understand what was the AI deflation impact in FY '26 because your -- for the full year, you've grown at about 1.7% in constant currency terms. And you have digital application services, which forms almost like 75%, 80% of your revenue, whi ch I suspect would see a fair amount of deflation because of AI. So can you quantify the deflationary impact in FY '26? And what do you see happening in FY '27 with all these new models dropping almost every other week? How do you see that defla tion playing out in FY '27?

Manish Tandon: So first of all, we are slightly unique in that sense that we don't have too many annuity type of contracts. And that is one of the reasons why we have to literally earn our business and our clients' trust quarter after quarter. So we are not seeing so mu ch of deflation because of the nature of work that we are doing is not annuity based. And the newer projects that we are going after, I believe that it is making us much more competitive rather than looking at it as deflation.

So the lens that I am using to look at AI is a positive lens rather than focusing on the negative parts, mainly because the negative part is not impacting us as much as far as our business is concerned. But if the negative part is impacting our clients, t hen it has an impact on us. So as I mentioned, there are companies who have let go of 30,0 00 people.

If they are letting go of 30,000 of their own people, imagine how many of the outsourced people must be going out. So that impact is anyway there, and that is accounted for in the revenue attrition overall. But we are not seeing yet that we were doing a pr oject for 100 and now because of AI, we have to do the same project at 70.

Girish Pai: Okay. Manish, in your opening remarks, you mentioned -- I don't know maybe opening remarks or elsewhere. You mentioned about larger companies, Tier 1 companies bidding for some of the projects, which they never used to do previously or at least you didn't see them do that a few months back. Against Tier 1 competition in these projects, what is our right to win? Why do you think we should win some of those contracts?

Manish Tandon: So I would say one is our AI native offerings are making an impact, number one. Number two, as you see that our customer satisfaction and our employee satisfaction is really excellent, okay !

And I have said this before that ultimately, I run a very simple business where if you take care of your clients and if you take care of your employees, then things should be good.

So that is the second thing. And the third, I would say is while a heavy car has momentum, a lighter car is more agile and more manoeuvrable . And this is the time for manoeuvrability rather than momentum. So I would say those are the 3 reasons that we can claim.

Girish Pai: Okay. My last question is, are you seeing any rise of new players in the ma

rket? Are you --
because now you don't require those thousands of employees to deliver a project. So are you seeing newer players coming to the market? Or do you think it's a littl e too early, maybe that phenomenon is going to pick up maybe 6 months or 12 months down the road?

Manish Tandon: See, I would say the newer players coming in is when the industry attractiveness is high and the margins are higher, both, as you know, have been declining relatively for the industry as a whole.

So we are not really seeing new boutique firms. And anyway, these boutique firms are 1 or 2

account vendors usually. So we are not seeing too many of those entrants of new competitors per se because the attractiveness of the industry has come down over a period of time.
Girish Pai: Yes. Lastly, is decision -making pushed back because of either macro concerns or because of AI -related issues in the sense that the clients think that you're going to get more from the same vendors, maybe 3 months down the road or 6 months down the road. S o is decision -making impacting deal flow?
Manish Tandon: See, I have no purview of client decision -making cycles, to be honest with you. I would say I'm not seeing that the same client who was taking a decision in 6 months is now taking 9 months for the decision. It has more to do with the culture of the client rather than on the macro situation. Macro situation is impacting the overall budgets. AI also is impacting the budgets. But I am not the right guy to comment on decision -making cycles per se. It's a very intimate thing that you have to look at for each client and figure out whether culturally they have become more cautious or not.
Moderator: We have next question from the line of Pankaj, Renaissance Investment Managers.
Pankaj Murarka: This is Pankaj Murarka here. Manish, you mentioned on the call about the layoffs by tech companies, including Oracle and Snap. And now in the last few days, that has only accentuated because we've seen something similar from Meta and Microsoft as well. So if you can share some more industry perspective as to what is driving that?
Is it these companies are reaping AI efficiency gains and which is what it is leading to? Or what's the trend that's playing out there? And if that is the case, meaning is it next few quarters or you think it's a slightly more medium -term trend? That's the first question. And also in that context -- sorry, just to complete also in that context, what it means for where does our business from that segment stabilize?
Manish Tandon: So first of all, there is some amount of AI washing happening . Second is if you have to buy , if you have to make capital investments worth hundreds of billions of dollars, that money has to come from somewhere. And one way that money is being generated is by letting go of people who are not adding full value or whatever. So one, as I said, it's t he capital investment that these companies have to make, which forces them to cut costs. And the second is some amount of AI washing, et cetera, that is happening.
The answer for us is we have to use AI to expand the addressable market much more. And for example, we are not a BPO company. But we are using AI to go after some of that traditional BPO business because our proposition is what you are doing with 200 peop le, I can do it with 50 people and 150 agents, AI agents. And by the way, because we are doing it ourse lves, we can assure you those]…
Moderator: Management line has been disconnected. We are quickly reconnecting the management line. Please hold the line. Participants, thank you for your patience, we have management line reconnected.
Manish Tandon: All right. Is there something that we need to answer because we got disconnecte d. So that's why?

Pankaj Mura

rka: Yes. We could only hear partly your answer to the question. So if you could answer that ?
Manish Tandon: If you can repeat the question, please?
Pankaj Murarka: I was saying we were talking about on the TMT side, we've seen acceleration of layoffs from the likes of Microsoft and Meta as well now?
Manish Tandon: Okay. At what point did we lose you?
Pankaj Murarka: No. You were mentioning that essentially companies have to reap those benefits to fund their AI capex ?
Manish Tandon: Okay. So you lost us very early in the cycle. Okay. So the issue is that they have to fund the capex , and that is number one. And number two, I -- and this could be my personal view that these companies had over hired in the post -COVID boom. And hence, they are working on reducing the excess fat, if I may say so. And some amount of AI washing is also happening.
The answer to the second part of your question is what should companies be doing? I would say that what we are doing is trying to increase our addressable market and increasing our addressable market, we can do it today because of AI. And that means gettin g out of our comfort zones, which is just the CIO organization and moving to adjacent organizations that spend a lot of money on technology, including CMO, content organizations, BPO or operations, HR, finance, et cetera. So that would be our response to t his market.

Pankaj Murarka: And the other question was, where do we see this stabilize for us given the fact that we continue to face headwinds here on this side of the business?
Manish Tandon: That is a very important question. I wish I knew the answer, too. But I can tell you that our aim is to make sure that we continue to grow and create value for our services despite the headwinds. Sometimes when we are not able to create value through reve nue growth, we still create value through EPS growth , through profitability and so on. But the focus is on creating shareholder value quarter after quarter.
Pankaj Murarka: Sure. That's helpful. And one last thing. When you -- meaning you highlighted that you're seeing a very high level of competitive intensity, which is an industry -wide phenomenon and you're seeing, let's say, in some of your accounts, Tier 1 companies, whi ch you would have not otherwise seen. Meaning what's your take from where you're sitting and as you foresee things, how long do you think this competitive intensity probably might just persist? Or do you think that persisting throughout the course of the year, this year? Or how would you think this whole phenomena plays out?
Manish Tandon: Until the situation with AI stabilizes, this will continue to see, competitive intensity is a function of the changes happening in the environment. And a lot of changes are happening in the environment in terms of introduction of a new technology, which i s AI. So till this situation around AI stabilizes a little bit, we will continue to see increased competitive intensity because the market size is not increasing dramatically, right?

Unlike previous technologies where be it digital, be it Internet, be it mobile, be it cloud, the market size increased. But with AI, the market size is not increasing with services, at least in services. It might be increasing on spends on LLMs and tokens and so on, but it is not increasing on the services side. So this competitive intensity, we should learn to live with it till the situation with AI stabilizes.
Moderator: We take the last question from the line of Mr. Sandeep. Please go ahead.
Sandeep: The question is on margins. So we generally treat 14% to 16% as a comfortable band, while 4Q is at the upper end of the band. And we understand there would be a large deal transition cost in the first half. So Pulkit, is it fair to assume 14%, 16% as a fu ll year would also be true for the upcoming year FY '27?

Pulkit Bhandari: So I would say, yes, mid -teens is something which we have always maintained. We would like to continue with that overall guidance for the year. There may be a quarter where it can basically vary slightly, but that's how we are looking at FY '27 as a whole .
And Sandeep, like what I have also maintained is that basically, there's a trade -off from a growth and a margin perspective. And while from a long -term perspective, your question is very fair, and as I said, long term, we will stay in this guided range. T here may be blips which I can't call out today. But if there are, then the trade -off around that will be for growth.
Sandeep: Okay. And just the last question in terms of margin in this quarter, more than 100 bps or closer to 100 bps has been defined as a large deal transition cost and investment. So can you also believe those transition costs is already captured for the mega de al in the fourth quarter number?
Pulkit Bhandari: Not at all,. There's only a very small part. So the cost that I spoke about, while I kind of mentioned it, please do not get anchored that this is all the cost which has come into it. And I would like to reiterate that as we go into the transition phase, these costs will increase. The one which I mentioned is that in the planning process, right, once we got, I would say, some certainty that there is a chance of getting in there, we started planning ahead of time. We started hiring ahead of time. We started investing ahead of time, but these are very, very miniscule costs which have come in now. The large part of these costs will come in Q1 and Q2.
Sandeep: Okay. And last question, if I can squeeze in. Manish sir, outside the top client in TMT...
Pulkit Bhandari: I just want to make it amply clear that do not assume that all the cost with regards to this has come in this quarter. That is not the case at all.
Sandeep: Yes. Got it. And just the last question, Manish, sir, if I can squeeze in. Except for the top client in TMT, is there any other large specific client -related issue in other sectors or in T MT?
Manish Tandon: As I mentioned before, I mean, see, other clients, small ups and downs will happen, which is business as usual, which we plan for certain amount of revenue attrition and so on. So as I mentioned in the last call also, there have been a couple of consolida tion plays that have happened against us in healthcare and life sciences. But those kind of things are to be expected. So we are ready for those kind of things.

Sandeep: And that wallet share loss in the healthcare, will that impact in the coming year or the impact is already reflected in the FY '26?
Manish Tandon: No, actually, FY '26, healthcare and life sciences actually has grown by 8%. While for FY '27, we are hoping that we can remain at least flat in Healthcare , Life Sciences .
Moderator: Ladies and gentlemen, I now hand conference over to Mr. Manish Tandon for closing comments.
Manish Tandon: Yes. Thank you, everyone, for being on this call. Before we conclude, I want to reiterate my gratitude, first of all, as always, to our clients for their continued trust, to all Zensarians for their unwavering dedication and to our shareholders for their confidence and support.
In summary, while the demand environment remains mixed, our annualized revenue growth, significant margin expansion, healthy order book and robust cash position collectively reinforces our confidence in the path ahead. As we move into FY '27, our prioriti es remain clear: maintain disciplined execution, deepen the value we deliver to clients and continue advancing our AI native capabilities. Thank you once again for taking the time to join Zensar's Q4 and FY '26 earnings call. Thank you very much.
Moderator: Participants, on behalf of Emkay Global Financial Services, that concludes this conference. Tha

nk you for joining us, and you may now disconnect your lines. Thank you.